



RISK DISCLAIMER:

PARTICIPANTS AND PROSPECTIVE PARTICIPANTS ARE ADVISED IN THEIR OWN INTEREST TO CAREFULLY READ THE CONTENTS OF THIS OFFERING DOCUMENT IN PARTICULAR THE RISK FACTORS MENTIONED IN CLAUSE 7.10 AND WARNINGS IN CLAUSE 15 BEFORE MAKING ANY INVESTMENT DECISION

OFFERING DOCUMENT OF

State Life Islamic Retirement Savings Fund (SLIRSF)

A Voluntary Pension Fund

(Wakalatul Istithmar based fund)

Duly vetted by Shariah Advisor namely

Muhammad Hassan Kaleem

for

MANAGED BY

State Life Insurance Corporation of Pakistan

(Pension Fund Manager)



Key Fact Statement

State Life Islamic Retirement Savings Fund (SLIRSF)

Managed by State Life Insurance Corporation of Pakistan

Disclaimer

This document is not a replacement of Offering Document (OD). Before you invest, you are encouraged to review the detailed features of each Sub-Fund in the Fund's OD and/or Monthly Fund Manager Report.

1-Investment Overview

i.	Investment Objective	a) Investment Objectives of SLIRSF -Equity Sub-Fund: The Investment Objective of the Equity Sub-Fund of the Pension Fund is to earn returns from investments in Sharia Compliant Pakistani Capital Markets. b) Investment Objectives of SLIRSF -Debt Sub-Fund: The investment objective of the Debt Sub-Fund is to earn returns from investments in Sharia Compliant debt markets of Pakistan, thus incurring a relatively lower risk than equity investments. c) Investment Objectives of SLIRSF -Money Market Sub-Fund: The Investment Objective of the Money Market Sub-Fund is to earn returns from investments in Sharia Compliant Money Markets of Pakistan, thus incurring a relatively lower risk than debt investments.
ii.	Investment Policy	The Pension Fund Manager shall invest assets of The Pension Fund in those securities which are declared eligible by the Shariah Advisor of the Pension Fund. The Pension Fund Manager shall make investment of the Pension Fund in a transparent, efficacious, prudent and sound manner. The Pension Fund will initially consist of three Sub Funds.
	a. Allocation policy	SLIRSF -Equity Sub-Fund: Shariah Compliant Listed Equity Securities. SLIRSF -Debt Sub-Fund: Shariah Compliant government securities, placement in the Islamic banks or Islamic windows of commercial banks, money market placements, deposits, certificate of deposits (COD), certificate of musharaka (COM), TDRs, commercial paper, TFC/ Sukuk or any other Islamic mode of placement, deposits/placements with Microfinance Banks and any other approved debt/money market security issued from time to time. SLIRSF -Money Market Sub-Fund: Shariah Compliant government securities, cash and near cash instruments which include cash in bank accounts (excluding TDRs) of Islamic Banks/ Islamic Windows of Conventional Banks, Shariah Compliant money market placements, Shariah Compliant deposits, Shariah Compliant certificate of deposits (COD), certificate of musharaka (COM) or any other Islamic mode of placement, TDRs, commercial papers, reverse repo.
		SLIRSF -Equity Sub-Fund: KMI-30 Index. SLIRSF -Debt Sub-Fund: 75% Twelve (12) months PKISRV + 25% six (6) months average of



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

	b. Performance Benchmark	the highest rates on savings account of three (3) AA rated scheduled Islamic Banks or Islamic Windows of Conventional Banks as selected by MUFAP. SLIRSF -Money Market Sub-Fund: 90% three (3) months PKISRV rates + 10% three (3) months average of the highest rates on savings account of three (3) AA rated scheduled Islamic Banks or Islamic Windows of Conventional Banks as selected by MUFAP.					
	Shariah Compliance	The fund is Shariah Compliant.					
	Launch date	-----					
	Minimum contribution amount	Initial: Rs. 1,000/- & Subsequent: Rs. 500/-					
	Management fee	(a) Equity Sub-Fund up to 2.5%. (b) Debt Sub-Fund up to 1.25% and (c) Money Market Sub-Fund up to 1.00%.					
	Subscription/ Withdrawal Days and Timing	<table><tr><th>Business Hours</th><th>Cut off Time</th></tr><tr><td>Monday to Friday 9:00 am to 5:00 pm</td><td>Monday to Thursday 9:00 am to 4:00 pm. Friday 9:00 am to 4:00 pm</td></tr></table>		Business Hours	Cut off Time	Monday to Friday 9:00 am to 5:00 pm	Monday to Thursday 9:00 am to 4:00 pm. Friday 9:00 am to 4:00 pm
Business Hours	Cut off Time						
Monday to Friday 9:00 am to 5:00 pm	Monday to Thursday 9:00 am to 4:00 pm. Friday 9:00 am to 4:00 pm						

2 – Risk Profile and Product Suitability

i.	Who is this product suitable for?	The State Life Islamic Retirement Savings Fund is designed for individuals seeking long-term savings for retirement, offering diversified shariah compliant investment options suited to meet their risk preferences.				
a.	Return objectives	It is a flexible savings cum-investment scheme which facilitates individuals to save for their retirement in a systematic way, topping up their savings with investment returns at their desired investment exposures and variable options before, at and after retirement.				
ii.	Risk profile of the fund	The risk profile of the fund depends on the allocation scheme selected by the participant. If the High Volatility scheme is chosen, the risk profile is high, suitable for aggressive investors. Selecting the Medium Volatility scheme results in a medium risk profile. The Low Volatility scheme carries a low risk profile, while the Lower Volatility scheme has a very low risk profile. The Customized Allocation Scheme offers flexible risk, allowing 0-100% allocation across Debt, Equity, and Money Market Sub-Funds based on investor preference. The details are outlined in the table below:				
		Allocation Scheme	Risk Profile	Equity Sub-Fund	Debt Sub-Fund	Money Market Sub-Fund
		High Volatility	High	Min 65%	Min 20%	Nil
		Medium Volatility	Medium	Min 35%	Min 40%	Min 10%
		Low Volatility	Low	Min 10%	Min 60%	Min 15%
		Lower Volatility	Very Low	Nil	Min 40%	Min 40%



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

		Customized Allocation Scheme	High-Very Low	0-100%	0-100%	0-100%
		Life Cycle	Varying allocation between the sub -funds in accordance with the age and risk tolerance capabilities of the participant.			
iii.	Fund’s investment risks.	Disclaimer: All investments in the Pension Fund are subject to market risks. The value of such investments vary subject to market fluctuations and risks inherent in all such investments. Participants should read this Offering Document carefully to understand the investment policies, risks and tax implication and should consult legal, financial or tax advisors before making any investment decision.				
iv.	Any other key information peculiar to the product which would help to determine if the product is suitable for them.	State Life Islamic Retirement Savings Fund acts as a partner in retirement planning, helping individuals to save and invest for their needs after retirement. It provides opportunities for attractive shariah compliant returns along with tax benefits (in line with existing tax laws), which can significantly enhance the overall returns on investments. The Fund is professionally managed by State Life Insurance Corporation of Pakistan, ensuring compliance with prudent investment practices.				

3 – Withdrawals, Drawdowns and Benefits

	Minimum retirement age.	The retirement age for the participants shall be any age between sixty and seventy years or twenty-five years since the age of first contribution to a pension fund, whichever is earlier. Provided that the participant may change his retirement age between sixty and seventy years by giving notice in writing to the Pension Fund Manager.
	available to participants upon retirement?	At the date of retirement of the participant, where no option is selected by the participant, all the units of the sub-funds to his credit shall be redeemed at the net asset value notified at close of the day of retirement and the amount due shall be transferred to his individual pension account, in the lower volatility scheme offered by the Pension Fund Manager. The Participant shall then have the following options, namely: (a) <u>To withdraw any percentage of the amount from his individual Pension account subject to payment of tax in accordance with requirements of Income Tax Ordinance, 2001.</u> (b) To use the remaining amount to purchase an annuity from an Insurance/Takaful Company of participant choice of his/her choice or to purchase an annuity from Pension Fund Manager, such payment shall be made directly to the Insurance/Takaful Company by the Trustee of the Fund on the instruction of the Pension Fund Manager; or (c) To enter into an agreement with the Pension Fund Manager to withdraw from the remaining amount, monthly installments following the date of retirement, according to an income payment plan, approved by the Commission. Details of the Approved Income Payment Plan shall be disclosed in the offering document of the fund (d) the transfer of an individual income payment plan account from one Pension Fund Manager to another Pension Fund Manager or from one income payment plan to another income payment plan shall only take place once in a financial year and notice for the change, specifying the name of new Pension Fund Manager and the income payment plan shall be sent by the participant at least seven working days before the effective date of the proposed change. (e) At the expiry of the income payment plan according, the participant shall have option to use the out- standing balance in his/her individual pension account to purchase an approved annuity plan from a Life Insurance Company/Takaful Company [or a pension fund manager], of his/her choice and/or buy an approved income payment plan for another term and/or withdraw the amount from his/her account subject to the conditions laid down in the Income Tax Ordinance, 2001.



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

		(f) The annuity purchased may be single life, joint or survivor life, level (with or without guarantee period increasing, investment-linked and retail price index linked or with any additional features as may be offered by the Life Insurance/Takaful Companies [or pension fund managers]
iii.	Early withdrawal conditions and implications	Participants at any time before retirement are entitled to withdraw the whole or any part of the Units held to their credit in their Individual Pension Account. Tax may be applicable in accordance with the requirements of the Income Tax Ordinance, 2001 and, if applicable, will be deducted by the Pension Fund Manager from the amount withdrawn.
	Any other key information which would help investors to determine if the product is suitable for them.	N/A

4 – Brief Information on Product Charges

Front-end Load	Distribution Channel	Percentage
	Direct Investment Through PFM	Up to 3.0%
	Digital Platform of PFM/Third Party	Up to 1.5%

Total Expense Ratio (TER)

Participants are advised to consult the Fund Manager Report (FMR) of the respective Pension Fund for the latest information pertaining to the updated TER.

5 – Key Stakeholders

- Pension Fund Manager:** State Life Insurance Corporation of Pakistan (Address: Principal Office, State Life Building No. 9, Dr. Ziauddin Ahmed Road, Karachi UAN- (021) 111 329 725)
- Trustee:** Digital Custodian Company Limited (DCCL) (4th Floor, Pardesi House, 2/1 R-Y, Old Queens Rd, Lalazar, Karachi)
- Shariah Advisor:** Mufti Muhammad Hasaan Kaleem SECP /IFD/SA/002 Address: DAR-UL-ULOOM KARACHIM - PAKISTAN



Clause	Contents	P.No
1	Introduction to State Life Islamic Retirement Savings Fund	9
1.1	Structure of Pension Fund	10
1.2	Silent Features of Pension Fund	10
2	REGULATORY APPROVALS AND CONSENT	13
2.1	Registration of the Pension Fund Manager	13
2.2	Appointment of the Trustee	14
2.3	Registration of the Trust Deed	14
2.4	Approval of the Offering Document	14
3	CONSTITUTION OF THE PENSION FUND	16
3.1	Constitution of State Life Islamic Retirement Savings Fund (SLIRSF)	16
3.2	Trust Deed (the “Deed”)	16
3.3	Modification of Constitutive Documents	16
3.4	Seed Capital Provided or Arranged by the Pension Fund Manager	17
4	OPERATORS AND PRINCIPALS	18
4.1	The Pension Fund Manager	18
4.1.1	Organization.....	18
4.1.2	Rating of the Pension Fund Manager	18
4.1.3	Principal Shareholders	19
4.2	BOARD OF DIRECTORS OF THE CORPORATION	19
4.2.1	Senior Management:.....	24
4.2.2	Performance of Subsidiary Company	24
4.3	Existing Schemes under Management and their performance:	25
4.4	Role of the Fund Manager of State Life Islamic Retirement Savings Fund Manager (SLIRSF)	27
4.4.1	Appointment of Distributors.....	27
4.4.2	Back Office Accounting	29
4.5	Disclaimer	29
4.6	Obligations of the Pension Fund Manager	29
4.7	Restriction for Pension Fund Manager	32
4.8	Retirement or Removal of the Pension Fund Manager	33
4.9	Obligations of Trustee of Pension Fund	34
4.10	Retirement or Change of Trustee	37
4.11	Transfer Agent	39
4.13	Auditor.....	40
4.14	Legal advisor.....	41
4.15	Bankers.....	41
4.15.1	Bank Accounts.....	42
4.16	Shariah Governance Framework	42
4.17	Underlying Shariah Structure	42
4.18	Objective of Shariah Governance	43
4.19	Responsibilities of the Pension Fund Manager in relation to Shariah Compliance	43
4.20	Shariah Advisor	44
4.20.1	Duties and Responsibilities of Shariah Advisor	45
5	CHARACTERISTICS OF THE PENSION FUND	46
5.1	Eligibility	46
5.2	Application Procedures.....	47



5.3	Allocation/ Issue of Units.....	49
5.4	Contribution Procedures and Minimum Contribution.....	49
5.4.1	Minimum Investment Amounts	50
5.5	Options and Procedures in case of Cessation, Temporary or Permanent, of Contributions by the Participants	51
5.6	Individual Pension Account	51
5.7	Change of the Pension fund/ Pension Fund Manager	52
5.8	Retirement Age	53
5.9	Benefits on Retirement.....	54
5.11	Benefits on Death before Retirement	56
5.12	Nomination of the Heir/ Survivor	57
5.13	Instruction from the Participants	57
5.14	Allocation Scheme.....	57
5.15	Allocation among the Sub-Fund	61
5.16	Allocation Policy	61
5.17	The Method of Determining Net Assets value of the Pension Fund	62
5.18	Frequency of Valuations of the Net Assets value and Dealings etc;	63
5.19	Unit Pricing and the Circumstances under which it can Change.....	63
5.20	The Mode of Announcement of Net Asset Value and unit price.....	63
5.21	Payment of Proceeds on Withdrawals and Transfers	63
5.22	Withholding Tax.....	65
5.23	Dealing, Suspension, and Deferral of Dealing.....	65
5.23.1	Temporary Change in the Method of Dealing ‘Or’ Suspension of Dealing.....	65
5.23.2	Suspension of Fresh Issue of Units	66
5.23.3	Refusal to Accept the Contributions	66
5.23.4	Suspension of withdrawal of Units/ Withdrawal of Funds	66
5.24	Queue system	67
5.25	De-authorization and winding up of the Pension Fund	68
5.26	Features of Group Takaful in the Pension Fund	69
6	FEES, CHARGES AND EXPENSES	69
6.1	Front-end fee (Sale Charges) Out of the Contributions	69
6.2	Remuneration of the Pension Fund Manager.....	70
6.3	Remuneration of the Trustee	71
6.4	Formation Cost	72
6.5	Other expenses	72
6.6	Fees, Charges, Costs, etc. To be charged to the Sub-Funds	73
7	INVESTMENT POLICY, RESTRICTION, RISK DISCLOSURE AND DISCLAIMER	73
7.3	Investment Objective and Investment Policy of the SLIRSF Equity Sub-Fund.....	74
7.4	Investment Objective and Investment Policy of the SLIRSF Debt Sub-Fund.....	75
7.5	Investment Objective and Investment Policy of the SLIRSF Money Market Sub-Fund	76
7.6	Performance Benchmark	77
7.7	Investment Restrictions	78
7.8	Financing Restriction.....	79
7.9	Participants Rights in terms of Investment Choice.....	80
7.10	Risk Disclosure.....	80
7.11	Other Risks Involved:.....	82
7.12	Disclaimer	83
8	Change of the Pension Fund Manager / Pension Fund.....	83
9	Safeguard of Money	84
10	DISTRIBUTION RESTRICTION POLICY.....	84
11	TAXATION	84



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

11.1	Tax Credit for Contributions to the Pension Fund.....	84
11.2	Tax Exemptions.....	85
11.3	Withholding Tax	85
11.4	Zakat	86
11.5	Disclaimer	86
12	Annuity Plans Offered by State Life Insurance Corporation of Pakistan to Participants Upon Retirement	87
13	REPORTS AND ACCOUNTS	87
13.1	Fund Accounts	87
13.2	Annual Accounting Period	87
13.3	Periodic Reports to be sent to Participants	87
13.4	Periodic Reports to be sent to Commission	87
14	SERVICE TO PARTICIPANTS.....	87
14.1	Availability of Forms	88
14.2	Register of Participants	88
14.3	Statement of Accounts	90
15	WARNINGS	90
16	COMPLAINTS	90
16.1	Procedure for lodging a complaint with the Federal Insurance Ombudsman	91
16.2	Contact Details of Office of Federal Insurance Ombudsman	91
17	TRANSACTIONS WITH CONNECTED PERSONS	91
18	ARBITRATION IN CASE OF DISPUTES BETWEEN THE PENSION FUND MANAGER AND THE TRUSTEE	92
19	DISPUTES BETWEEN THE PARTICIPANTS AND THE PENSION FUND MANAGER	92
20	GENERAL INFORMATION	92
21	STATEMENT OF RESPONSIBILITY	92
22	TERMINATION OF THE PENSION FUND	92
22.1	Termination and Liquidation of The Trust	93
23	GENERAL.....	93
24	Additional Disclosure by Shariah Compliant Scheme	94
25	DEFINITIONS	94
26	INTERPRETATION	103
27	HEADINGS.....	104



**Offering Document
of
State Life Islamic Retirement Savings Fund (SLIRSF)
A Voluntary Pension Scheme
MANAGED BY**

State Life Insurance Corporation of Pakistan

The **State Life Insurance Corporation of Pakistan**, acting as **Pension Fund Manager (SLICPFM)**, is registered with the **Securities and Exchange Commission of Pakistan (the “Commission”)** as a Pension Fund Manager under the **Voluntary Pension System Rules, 2005** (hereinafter referred to as the “Rules”, which expression shall include any amendments, substitutions, regulations made or directives issued by the Commission thereunder), to, inter-alia, establish and operate pension funds through **Certificate of Registration No. SECP/LRD/LD/01/PF/SLICP dated April 11, 2025** (appended hereto as **Annexure “A”**).

Date of Publication of Offering Document is -----

The Shariah Advisor of the Fund has reviewed this Offering Document and provided their consent that this Offering Document adheres to the principles of Shariah.

1 Introduction to State Life Islamic Retirement Savings Fund

State Life Islamic Retirement Savings Fund (SLIRSF) is established in Pakistan as a Voluntary Pension Fund through a Trust Deed, dated 9th February 2026 on the basis, entered in between **State Life Insurance Corporation of Pakistan in its capacity as the Pension Fund Manager** and **Digital Custodian Company Limited (DCCL)** in its capacity as the Trustee and authorized under the Voluntary Pension System (VPS) Rules, 2005.

The Pension Fund shall initially consist of three (3) Sub-Funds to be called:

- i. **SLIRSF - Equity Sub-Fund (the Equity Sub-Fund);**
- ii. **SLIRSF - Debt Sub-Fund (the Debt Sub-Fund); and**
- iii. **SLIRSF - Money Market Sub-Fund (the Money Market Sub-Fund)**

After successfully managing the above-mentioned Sub-Funds, the Pension Fund Manager (SLICPFM) may, with the approval of the Commission, launch other Sub-Funds through a



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

Supplementary Offering Document for investments in other asset classes (for avoidance of doubt, additional Sub-Funds may include combinations of new and existing classes of assets. Thereafter, any reference to the Sub-Funds in the Trust Deed or the Offering Document shall be construed to include any such new Sub-Fund(s) launched at a later date.

1.1 Structure of Pension Fund

The Pension Fund shall be in the form of a trust being made up of Shariah Compliant equity Sub Fund, Shariah Compliant debt Sub- Fund and Shariah Compliant Money Market Sub-Fund and such other Sub-Funds as may be allowed by the Commission. The Pension Fund shall have different Allocation Schemes that may be specified by the Commission from time to time. Details of Allocation Schemes currently being offered by the Pension Fund Manager is given in this Offering Document. When the Additional Allocation Schemes or Sub-Funds are launched, the Pension Fund Manager shall announce the same by Supplementary Offering Document. The Pension Fund established is perpetual in life.

1.2 Silent Features of Pension Fund

Term Sheets

Name	State Life Islamic Retirement Savings Fund (SLIRSF)
Fund Structure	Unit Trust Scheme consisting of Sub-Funds under the VPS Rules 2005 on the basis of Wakalah tul Istismar (Investment Agency Agreement)
Sub-Funds	State Life Islamic Retirement Savings Fund will initially consist of three Sub Funds, to be called “SLIRSF - Equity Sub Fund” (the “Equity Sub-Fund”), “SLIRSF -Debt Sub Fund” (the “Debt Sub-Fund”) and “SLIRSF-Money Market Sub Fund” (the “Money Market Sub-Fund”)
Fund Objective	To provide a secure source of savings and regular income after retirement to the Participants
Eligibility	Every Pakistani national over the age of 18 years holding a valid National Tax Number or a CNIC or NICOP or Pakistan Origin Card (POC)
Minimum Contribution	The minimum amount of Contribution to open an account is Rs.1,000/- and the minimum amount of contribution to an existing account is Rs.500/- per transaction. There is no maximum limit of contribution. However, Tax Credit will be available to the extent specified in the Income Tax Ordinance, 2001.
Contribution Frequency	Annual, Semi-Annual, Quarterly or Monthly or as desired by the participant.



Contribution Mechanism	Cheque, demand draft, pay order (crossed account payee only), banker cheque or online transfer; titled: “DCCL-Trustee State Life Islamic Retirement Savings Fund” payable to the Trustee on any Dealing Day. Any other electronic form of Transfer as may be acceptable to the Pension Fund Manager and the Trustee Contribution in the form of Cash shall not be made accepted.																																		
Investment Mechanism	Takaful contribution (for optional Takaful covers) shall be deducted from Contributions made by the Participant, followed by deduction of front end load (sales charge) (if applicable). The remaining Contribution amount is then credited to the Participant’s Individual Pension Account and is invested in the underlying Sub-Funds of the State Life Islamic Retirement Savings Fund (SLIRS) as per the Allocation Scheme selected by the Participant. Front-end fee (Sale charges) and Takaful contribution will be transmitted in the name of Pension Fund Manager and specified takaful operator (i.e. State Life Tayyab Takaful – Window Takaful Operations) respectively.																																		
Allocation of Contributions & Allocation Schemes	Contributions shall be allocated among the Units of Sub-Funds at Net Asset Value, as per the selected Allocation Scheme, from amongst the following Six (6) Schemes being offered by the Pension Fund Manager: <table><tr><th>Allocation Scheme</th><th>Risk Profile</th><th>Equity Sub-Fund</th><th>Debt Sub-Fund</th><th>Money Market Sub-Fund</th></tr><tr><td>High Volatility</td><td>High</td><td>Min 65%</td><td>Min 20%</td><td>Nil</td></tr><tr><td>Medium Volatility</td><td>Medium</td><td>Min 35%</td><td>Min 40%</td><td>Min 10%</td></tr><tr><td>Low Volatility</td><td>Low</td><td>Min 10%</td><td>Min 60%</td><td>Min 15%</td></tr><tr><td>Lower Volatility</td><td>Very Low</td><td>Nil</td><td>Min 40%</td><td>Min 40%</td></tr><tr><td>Customized Allocation Scheme</td><td>High-Very Low</td><td>0-100%</td><td>0-100%</td><td>0-100%</td></tr></table>					Allocation Scheme	Risk Profile	Equity Sub-Fund	Debt Sub-Fund	Money Market Sub-Fund	High Volatility	High	Min 65%	Min 20%	Nil	Medium Volatility	Medium	Min 35%	Min 40%	Min 10%	Low Volatility	Low	Min 10%	Min 60%	Min 15%	Lower Volatility	Very Low	Nil	Min 40%	Min 40%	Customized Allocation Scheme	High-Very Low	0-100%	0-100%	0-100%
Allocation Scheme	Risk Profile	Equity Sub-Fund	Debt Sub-Fund	Money Market Sub-Fund																															
High Volatility	High	Min 65%	Min 20%	Nil																															
Medium Volatility	Medium	Min 35%	Min 40%	Min 10%																															
Low Volatility	Low	Min 10%	Min 60%	Min 15%																															
Lower Volatility	Very Low	Nil	Min 40%	Min 40%																															
Customized Allocation Scheme	High-Very Low	0-100%	0-100%	0-100%																															



	Life Cycle	Varying allocation between the sub -funds in accordance with the age and risk tolerance capabilities of the participant.
Investment Strategy	The Pension Fund Manager shall design investment strategy to optimize returns on investments within the parameters of Investment Policy specified by the Commission. The Pension Fund Manager shall also offer different Allocation Schemes up to a maximum of six allocation schemes in the first five years as enlisted above to the Participants to choose from, allowing them to adopt an investment strategy, according to their risk / return requirements.	
Reallocation Policy	Units held in the Individual Pension Account shall be reallocated by the Pension Fund Manager between the Sub-Funds at least once a year to ensure that the allocation of Units of all Participants is in line with the Allocation Scheme selected by them or where no selection has been made according to the specified allocation policy.	
Wakalah tul Istismar/ Wakalah Fee	The amount charged by the Fund Manager as Wakeel from the fund in form of Front-end fee (Sale Charges) & Management Fee.	
Management Fee	The Management fee calculated on per annum basis of average daily net assets of each sub funds will be charged within allowed management fee caps viz., for Equity sub-fund up to 2.5%; Money Market sub-fund up to 1.0%; Debt sub-fund up to 1.25%.	
Front-end fee (Sales Charge)	Upto 3% on all Contributions	
Taxation	Tax Credit will be available to Participants on contributions during any Tax Year subject to the limits prescribed under Income Tax Ordinance 2001.	
Benefits/Withdrawal on Retirement	At the date of retirement, of the Participant, where no option is selected by the participant, all the units of the sub funds of participant account shall be redeemed at the net asset value notified at close of the day of retirement and the amount due shall be credited to participant individual pension account in the lower volatility scheme, offered by the Pension Fund Manager. The Participant shall then have the following options, namely: 1) withdraw any percentage of the amount from his individual pension account; Tax on the subject withdrawal shall be deducted in accordance with the provisions of the Income Tax Ordinance, 2001 as amended from time to time; and	



	2) use the remaining amount to purchase an annuity from a Insurance Company or the pension fund manager of his/her choice; or 3) enter into an agreement with the Pension Fund Manager to withdraw from the remaining amount, monthly installments following the date of retirement, according to the Approved Income Payment Plan by the Commission.
Withdrawal before Retirement	Participants at any time before retirement are entitled to withdraw the whole or any part of the Units held to their credit in their Individual Pension Account. Tax shall be applicable in accordance with the requirements of the Income Tax Ordinance, 2001 and, if applicable, will be deducted by the Pension Fund Manager from the amount withdrawn.
Transfers to and from Other Pension Funds	Participants shall be entitled to transfer part or whole of their Individual Pension Accounts from this Pension Fund Manager to another Pension Fund Manager or from one pension fund to another pension fund and this shall only take place as per the discretion of the participant by giving at least seven working days' notice before the effective date of the proposed change. The Pension Fund Managers shall record such transactions as transfer in the statement of account of the participant. There shall be no Tax or charges on such transfers. Similarly, Participants are allowed to transfer-in their funds from other approved Occupational Savings Schemes or approved superannuation funds to this Pension Fund without having to pay any charge including front-end fee (Sale Charges) to the Pension Fund Manager.
Pricing	Daily calculation and announcement of NAV or Offer price of each Sub fund.
Distribution Restriction	Any income earned shall be retained and accumulated in the respective sub-funds and no distribution / Dividend shall be made from the Pension Fund

2 REGULATORY APPROVALS AND CONSENT

2.1 Registration of the Pension Fund Manager

State Life Insurance Corporation of Pakistan, a corporation registered under The Life Insurance (Nationalization) Order, 1972 having its registered address at Principal Office, State Life Building No.9, Dr. Ziauddin Ahmed Road, Karachi, Pakistan.

The State Life Insurance Corporation of Pakistan, acting as Pension Fund Manager (SLICPFM), is registered with the Securities and Exchange Commission of Pakistan (the "Commission") as a



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

Pension Fund Manager under the **Voluntary Pension System Rules, 2005** (hereinafter referred to as the “Rules”, which expression shall include any amendments, substitutions, regulations made or directives issued by the Commission thereunder), to, inter-alia, establish and operate pension funds through **Certificate of Registration No. SECP/LRD/LD/01/PF/SLICP dated April 11, 2025**.

Authorization of the Pension Fund

State Life Insurance Corporation of Pakistan as a Pension Fund Manager has been authorized by the Commission through its letter **No. CS/SECP/PD/SLIRSF/2025/196/218 dated April 29, 2026, appended hereto as Annexure “B”** to constitute the Pension Fund under the name and title of State Life Islamic Retirement Savings Fund (SLIRSF) (hereinafter referred to as the, “Islamic Pension Fund” or SLIRSF, or “Trust”) and authorized the formation of a scheme, under the name, “State Life Islamic Retirement Savings Fund”, under rule (9) of the Voluntary Pension System Rules, 2005.

2.2 Appointment of the Trustee

Digital Custodian Company Limited, a public limited company, incorporated under the Companies Ordinance, 1984, having its office at 4th Floor Pardesi House Old Queens Road `Karachi, has been appointed trustee of the fund.

2.3 Registration of the Trust Deed

The Pension Fund Manager has been authorized by the Commission to execute and to register the Trust Deed. Approval of Trust Deed is appended hereto as **Annexure “C”**.

- Assistant Director of Industries and Commerce Directorate of the Department has issued a certificate of registration bearing reference no. KAR/ST/014/2026 upon registration of the Trust under Sindh Trust Act 2020.

2.4 Approval of the Offering Document

The Commission has, through its letter **No. -----** appended hereto as **Annexure ‘D’** approved this Offering Document pursuant to sub-rule (5) of the Rule (9) of the Rules and as per the guidelines for Authorization of Pension Fund under Sub-Rule (1) of Rule (9) of the Rules.

This Offering Document sets out the arrangements covering the basic structure of **State Life Islamic Retirement Savings Fund**. The provisions of Voluntary Pension System Rules, 2005, Non-Banking Finance Companies and Notified Entities Regulations, 2008, the Trust Deed, Shariah Governance Regulations, 2023 and the guidelines provided by the Shariah Advisor and Shariah guidelines issued by SECP from time to time, hereafter govern this Offering Document and in case of any ambiguity in the constitutive documents of **State Life Islamic Retirement Savings Fund**, the VPS Rules 2005 and NBFC & NE Regulations, 2008 shall prevail. In case of any conflict with the requirements of Shariah, the matter may be referred to the



Shariah Advisory Committee of SECP for decision. It sets forth information about the Fund that a prospective Participant should know before contributing to the Pension Fund. Participants should read this Offering Document carefully prior to contributing to / participating in the Pension Fund, and retain the Offering Document for future reference.

However, it must be distinctly understood that such an approval or authorization by the Commission neither implies official recommendation by the Commission to participate in/Contribute to the Pension Fund nor does the Commission take any responsibility for the financial soundness of the Pension Fund and its Sub Funds or forth correctness of any statements made or opinions expressed in this Offering Document.

If the participant have any doubt about the contents of this Offering Document, he/she should seek independent professional advice, from his/her Shariah Advisor, legal, financial or tax advisor.

This Offering Document contains necessary information for the public to make an informed decision to participate in the Pension Fund described herein. The Participants are advised, in their own interest, to carefully read the contents of the Offering Document, in particular, the risks mentioned in Clause 7.10 and Warnings in Clause 15, before making any participation/contribution decision. Participants may note that this Offering Document remains effective until a material change occurs and they should retain this Offering Document for future reference. Material changes shall be filed for approval with the Commission with prior consent of the Trustee and subsequently be circulated to all Participants or may be notified by advertisements in the newspapers, or on the Pension Fund Manager's website, subject to the applicable provisions of the Trust Deed and the Rules.

Participants must recognize that all investments involve varying levels of risk. The portfolios of the Sub Funds of the Pension Fund consist of market-based investments and are subject to market fluctuations and risks inherent in all such investments. It should be noted that the value of Units of the Sub Funds can fall as well as rise, in response to market conditions. It should also be noted that under certain circumstances the issuance/redemption of Units may be restricted. All Investments of the Fund and of the Sub Funds shall be in adherence to the Shariah. Due to limited number of Shariah compliant securities, it is possible that adherence to the Shariah will cause the Fund and/ or the Sub-Funds to perform differently from funds with similar objectives, but which are not subject to the requirements of Shariah.

This Offering Document shall be subject to and be governed by the Laws of Pakistan including the Ordinance, the Rules and all other applicable laws, rules and regulations and it shall be deemed for all purposes whatsoever that all the provisions required to be contained by the Rules and Regulations are incorporated in this Offering Document and in the event of any conflict between the Offering Document of the Fund and the Rules/Regulation, the latter shall supersede and prevail over the provisions contained in this Offering Document, unless specific exemption has been granted by the Commission.



3 CONSTITUTION OF THE PENSION FUND

3.1 Constitution of State Life Islamic Retirement Savings Fund (SLIRSF)

The Pension Fund has been established as a trust under the Sindh Trust Act, 2020 through a trust deed dated 9th February 2026 executed between **State Life Insurance Corporation of Pakistan (SLIC)** (the Pension Fund Manager) as party of the one part,

AND

The **Digital Custodian Company Limited**, a public limited company, incorporated under the Companies Ordinance, 1984, having its office at 4th Floor Pardesi House Old Queens Road `Karachi and registered by SECP to act as a Trustee of the Collective Investment Scheme & Voluntary Pension Scheme, as the Trustee.

3.2 Trust Deed (the “Deed”)

The Trust Deed shall be subject to, and governed by the Voluntary Pension System Rules, 2005 (Rules) and all other applicable laws and regulations and shall be deemed, for all purposes, whatsoever, to incorporate the provisions required to be contained in a trust deed by the Rules and Regulations as a part and parcel hereof and, in the event of any conflict between the Trust Deed and the Rules/Regulations, the latter will supersede and prevail over the provisions contained in the Trust Deed unless specific exemption has granted by the Commission.

The terms and conditions in the Trust Deed, and any Supplementary Trust Deed shall be binding on each Participant as if he has been a party to it.

3.3 Modification of Constitutive Documents

This Offering Document will be updated to take account of any relevant material changes, circular, and directives from the Securities and Exchange Commission of Pakistan (SECP). In case amendments are proposed in the Constitutive Documents due to change in regulatory requirements, the same shall be incorporated with the consent of Trustee and Shariah Advisor and notified within seven days to the Participant(s) subject to the provisions of the Rules and the Regulations and duly posted on official website of the Pension Fund Manager.

In case modification is required in the fundamental attributes of Pension Fund and / or amendments with respect to offering of units to Participant(s) shall be subject to 30 days prior notice to Participant(s) consent of the Trustee and prior approval of Commission subject to the provisions of the Rules and the Regulations and duly posted on official website of the Pension Fund Manager.



3.4 Seed Capital Provided or Arranged by the Pension Fund Manager

The seed capital of the Pension Fund shall be provided, invested or arranged by the Pension Fund Manager. Seed Capital Units have been issued to the Seed Investor as under:

Name of Sub-Fund	No. of Units	Initial Par Value of each Unit (PKR)	Amount (PKR in Millions)
SLIRSF-Equity Sub Fund	500,000	100	50
SLIRSF-Debt Sub Fund	500,000	100	50
SLIRSF-Money Market Sub Fund	500,000	100	50

The Seed Capital Units subscribed by the Seed Investor have been issued at a par value of Pakistan Rupees One Hundred per Unit (Rs. 100/-Unit) and shall not be redeemable/transferable or tradable for a minimum period of three (3) years from the date of issue or as may be specified by the Commission from time to time. Such restriction and its termination date shall be entered into the Register and shall be noted on any Accounts Statement or certificate issued in respect of such units.

3.5 Type / Feature of Units of the Sub-Funds

The Pension Fund shall initially consist of three Sub-Funds to be called:

- i. **SLIRSF - Equity Sub Fund (the Equity Sub Fund)**
 - ii. **SLIRSF - Debt Sub Fund (the Debt Sub Fund) and**
 - iii. **SLIRSF - Money Market Sub Fund (the Money Market Sub Fund)**
- (a) All Units and fractions thereof represent an undivided share in the respective Sub-Fund and rank pari passu as to their rights in the Net Assets and earnings of that Sub-Fund. Each Participant has a beneficial interest in the Pension Fund proportionate to the Units held by such Participant in the respective Sub-Fund in participant Individual Pension Account. The liability of the Participant shall be limited to the amount paid against the number of Units or in certain circumstances cash, as may be allowed by the Rules, held by each Participant in participant Individual Pension Account.
 - (a) All Units shall be issued in a non-certificated form, except the Seed Capital Units that may be issued in a certificated form, if required by the Seed Investor.
 - (c) The Units in the Sub-Funds issued to the Participants would be non-transferable to another Participant/person. They shall only be redeemable in case of retirement (including retirement in the instance of disability), premature encashment/ withdrawal,



death of the Participant, and change of pension fund manager, change of Allocation Schemes and/or rebalancing of the portfolio/ Allocation Schemes.

- (d) The initial Par value of the Units of each of the Sub-Funds is Pakistan Rupees One Hundred (Rs. 100), which is applicable to the first offering. The amount received from the Seed Investors has been allocated to each Sub-Fund. From the Launch Date, the Pension Fund Manager shall open participation in the State Life Islamic Retirement Savings Fund to the eligible Participants on a continuous basis, through offer of Units of Sub-Funds issued at NAV calculated in the manner prescribed under the Rules or as may be specified by the Commission from time to time, after deduction of Front-end fee (sale charges) and Takaful contribution (other than complimentary Takaful benefit), if opted by the participant, from the Contribution amounts received.
- (e) Units of the relevant Sub Fund shall be issued to each Participant as per the selected 'Allocation Scheme', identified in clause 5.14, for the contributions among the Sub-Funds.

4 OPERATORS AND PRINCIPALS

4.1 The Pension Fund Manager

State Life Insurance Corporation of Pakistan is the Pension Fund Manager of State Life Islamic Retirement Savings Fund (SLIRSF), having its registered office as mentioned below:

State Life Insurance Corporation of Pakistan
Principal Office,
State Life Building No 09, Dr. Ziauddin Road
Karachi, Pakistan UAN: (051-111-777-542)
URL: www.statelife.com.pk

Any change in the registered office address of the Pension Fund Manager shall be notified by the Pension Fund Manager to the Commission and the Trustee from time to time.

4.1.1 Organization

State Life Insurance Corporation of Pakistan was incorporated on November 01, 1972 under the Life Insurance Nationalization Order, 1972. The Corporation has obtained a Pension Fund Manager (PFM) license from the Securities and Exchange Commission of Pakistan vide Certificate of Registration No. SECP/LRD/LD/01/PF/SLICP dated April 11, 2025, under the Voluntary Pension System Rules, 2005.

4.1.2 Rating of the Pension Fund Manager

Currently SLICP has been rated as '**AM1**' by **Pakistan Credit Rating Agency (PACRA)**. The rating reflects the Corporation's high investment management industry standards and benchmarks with noted strengths in several of the rating factors.



4.1.3 Principal Shareholders

The current shareholding structure of the State Life Insurance Corporation of Pakistan ("SLIC") is given as under:

Sr. No.	Sponsors	Shareholding Percentage
1	Government of Pakistan	100%
	Total	100%

4.2 BOARD OF DIRECTORS OF THE CORPORATION

1. Mr. Saleem Zia	Chairman
2. Mr. Shoaib Javed Hussain	CEO
3. Mr. Khaqan Murtaza	Director
4. Mr. Sheharyar Iftikhar Khan	Director
5. Mr. Shoaib Mir	Director
6. Mr. Syed Hamid Ali	Director
7. Mr. Muhammad Asif	Director
8. Mr. Muhammad Aslam Ghauri	Director

Mr. Saleem Zia, Chairman Board of Directors

Senator Saleem Zia is a distinguished legal and political leader with a career spanning over three decades in public service and governance. He holds an L.L.B. from the University of Karachi and furthered his academic credentials with a year of study at the University of California, Berkeley, USA. As a seasoned legal practitioner, he has over ten years of experience as Advocate at Sindh Bar Counsel.

In his extensive political career, Mr. Zia has served at the highest levels of both provincial and national government. He was elected to the Senate of Pakistan for the 2015–2021 term, where he held the influential role of Chief Whip and chaired the Senate Standing Committee on Health. Previously, he served as a Member of the Provincial Assembly of Sindh and held ministerial portfolios for Law, Parliamentary Affairs, and Public Health. His foundational experience in governance includes 19 years of service in local government as an Elected Councilor and Vice President of the Clifton Cantonment Board in Karachi.

Mr. Zia currently leverages his vast administrative background to provide strategic leadership across several specialized sectors. His core professional priorities lie in Law, Administration, and General Management. Based in Karachi, he remains active in executive directorship roles, combining his legal acumen with high-level institutional experience.



Mr. Shoaib Javed Hussain, Chief Executive Officer

Mr. Shoaib Javed Hussain, CEO, State Life Insurance Corporation is also the Chairman of the Insurance Association of Pakistan. He has over 25 years of management experience at leading Global Insurance Groups & Consultancies in the United Kingdom and Asia. Through his global engagements across Europe, North America and Asia, Mr. Hussain brings on board his deep understanding and knowledge of finance, audit, risk and strategy matters with a proven track record of:

1. Proactive, dynamic, driven leadership with effective delivery from capital management conceptual stage to successful implementation
2. Expert analysis and decision-making skills; utilizing technical acumen and strategic depth
3. Leading and delivering strategic projects including M&A, due diligence and capital and liquidity management.
4. In-depth experience of leading financial audits and risk management programs
5. Initiating policy and control improvements and driving programs that enhance transparency, governance and control
6. Strong experience of industry and regulatory engagement on global supervisory developments and lobbying with international regulators and supervisory authorities including GSII.
7. Regulatory transformation experiment including SII and RBC.

Beyond his corporate achievements, Mr. Hussain is a dedicated contributor to the global actuarial profession. He has served on key working parties for the Institute and Faculty of Actuaries and is a frequent speaker at international conferences on Enterprise Risk Management (ERM) and ALM strategies. His ability to navigate evolving regulatory landscapes makes him a vital strategic partner and a distinguished voice in the global industry.

Before joining State Life, Mr. Hussain has held senior leadership and management positions with AIA Group Ltd, Milliman, Prudential plc, EY and HSBC. He began his career at an Actuarial consultancy in Pakistan, holds an MSc in Actuarial Management from Cass Business School, City University, London and is a Fellow of the Institute of Actuaries (UK).

Since 2021, Mr. Hussain has spearheaded the strategic and financial evolution of the State Life Insurance Corporation (SLIC). Initially taking charge as Chairman, he transitioned to the role of CEO following the enactment of the SOE Act, 2023. In this capacity, he continues to lead SLIC through critical governance reforms and a comprehensive transformation, driving soaring financial performance aligned with the latest regulatory frameworks.

He holds the Directorship on the Boards of the following companies:

1. Fauji Fertilizer Company Ltd.
2. Pakistan Cables Ltd.
3. Bank al Habib
4. Chairman IFMP



Mr. Khaqan Murtaza, Director

Mr. Khaqan Murtaza is a distinguished civil servant and senior executive with nearly three decades of leadership experience in public administration, institutional governance, and policy implementation. He has held several key positions across major public sector organizations, contributing significantly to institutional strengthening and operational excellence in Pakistan.

He presently serves as Chief Operating Officer at SIUT Trust Hospitals, Karachi, where he leads strategic operations and organizational management in one of the country's leading healthcare institutions. Prior to this, he served as Chairman of the Employees' Old-Age Benefits Institution (EOBI) under the Ministry of Overseas Pakistanis and Human Resource Development, and as Director General of the Pakistan Civil Aviation Authority (PCAA) in the Ministry of Aviation. In these capacities, Mr. Murtaza led critical policy reforms, modernized institutional processes, and enhanced organizational performance through innovation and governance improvement.

Throughout his career, Mr. Murtaza has demonstrated an unwavering commitment to integrity, efficiency, and public service. His expertise spans policy management, project planning, human resource and risk management, and institutional development. With a results-oriented and collaborative leadership style, he continues to play an instrumental role in advancing corporate governance and organizational excellence.

Sheharyar Iftikhar Khan, Director

Sheharyar I. Khan is a seasoned financial leader with over 25 years of global experience in corporate and investment banking space across Pakistan and the United Kingdom. He currently serves as Senior Executive Vice President and Group Head of the Corporate & Investment Bank at Askari Bank Limited, where he oversees a corporate asset book exceeding PKR 400 billion along with other verticals such as Investment Banking, Transaction Banking, Financial Institutions & the bank's only off shore operations franchise (Wholesale Banking, Bahrain). Sheharyar is a key member of the bank's leadership committees, including the Management Committee (MANCOM) and the Asset and Liability Committee (ALCO) & Investment Committee (IC).

Prior to his current role, Mr. Khan held senior leadership positions at United Bank Limited (UBL) and the Royal Bank of Scotland (RBS) in London. At RBS UK, he served as the Global Head of Supply Chain Finance, where he managed a global portfolio of approximately \$9 billion and led a cross-functional team across the Americas, EMEA, and APAC regions. His extensive expertise includes structuring complex offshore financing, managing sovereign relationships, and spearheading significant trade finance growth in multiple international jurisdictions.

Beyond his executive responsibilities, Mr. Khan is a dedicated professional with a strong commitment to governance and public service. He has served as the Chairman of the Board for Askari Securities Limited and held independent directorships, including Chair of the Audit Committee for State Life Insurance Company Ltd. He is also serving as an Independent Director/Member on the National Highway Council (NHC) – the apex policy making body for



National Highway Authority (NHA). He holds an MBA from the University of Newcastle, Australia, and is an alumnus of the Leadership Development Program at Brown University, USA

Mr. Shoaib Mir, Director

Shoaib Mir is a distinguished retired BS-22 officer of the Pakistan Administrative Service with over 36 years of experience in senior management, finance, and public administration. He has held prestigious positions including Federal Secretary to the Government of Pakistan, Chief Secretary of Balochistan, and Member of the Federal Public Service Commission. During his previous tenures as Chairman of State Life Insurance Corporation, he led a significant financial transformation, overseeing the growth of the Life Fund to over PKR 1,500 billion and achieving a "AAA" PACRA rating for the corporation.

A Qualified Director from the Pakistan Institute of Corporate Governance, Mr. Mir possesses extensive experience in corporate oversight across diverse sectors. He currently serves as an independent director at the National Investment Trust Limited (NITL). His past board experience is vast, encompassing roles at Sui Northern Gas Pipelines Limited (SNGPL), Digital Custodian Company Limited, Fauji Fertilizer Company, ORIX Leasing, HUBCO and Pakistan Reinsurance Company Limited (PRCL), where he frequently contributed to Audit, Investment, and Risk Management committees.

Mr. Mir holds an MBBS degree alongside a diploma from the Kennedy School of Government at Harvard University. His professional expertise extends to investment portfolio management, social health insurance implementation, and facilitating high-level government relations.

Mr. Syed Hamid Ali, Director

Syed Hamid Ali is a distinguished civil servant of the Pakistan Customs Service (BS-21) with over 30 years of expertise in international trade, fiscal policy, and organizational restructuring. Currently serving as Special Secretary at the Ministry of Commerce, he holds advanced degrees in Mathematics and an MBA in Finance and Accounting. His career is defined by high-level roles across the Federal Board of Revenue (FBR) and the Prime Minister's Secretariat, where he has consistently bridged the gap between complex financial analysis and national policy execution.

Throughout his tenure, Mr. Ali has been a key architect of trade and tariff reforms, serving in pivotal capacities such as Member (Customs Policy) and Director General of CPEC at the Board of Investment. His leadership has been instrumental in managing Special Economic Zones (SEZs), supervising multi-billion-dollar investment initiatives, and representing Pakistan's economic interests abroad as a Commercial Attaché in Indonesia. He possesses a deep technical mastery of audit mechanisms, anti-money laundering frameworks, and legal adjudication, ensuring both revenue protection and trade facilitation.

Beyond his technical contributions, Mr. Ali is a seasoned strategist in human resource management and digital transformation, having overseen the career progression of thousands of officials and championed e-payment and automation systems. His holistic approach to governance combines rigorous academic foundations with practical experience in legislative



coordination and public policy. Outside the office, he is an avid reader of applied economics and strategy, and maintains an active lifestyle through trekking, tennis, and orchard management.

Mr. Muhammad Asif, Director

Mr. Muhammad Asif is a distinguished public financial management and policy expert and legal professional with over two decades of experience in governance, policy formulation, public administration, public financial management, and Revenue administration. He holds a Master's in Public Management from the prestigious Harvard Kennedy School of Government (USA) and LKY School of Public Policy (Singapore), where he specialized in public policy, economic reasoning, leadership, conflict resolution, and negotiation skills. His academic background is complemented by a Master's in English (Language & Literature) from Punjab University, Lahore, and an LL.B. from B.Z. University, Multan.

Mr. Asif's broad experience, coupled with his international exposure, equips him to provide valuable insights into governance, policy, and public administration, making him a key asset on the board. He has vast experience of sitting Boards of Public Sector Companies to represent Ministry of Industries and Production and Ministry of Finance. A Civil Servant from 28th Common Training Program (CTP), he has served in various positions like Joint Secretary (Admin & Finance), Industries & Production Division, Joint Secretary (Budget, Expenditure and Investment) in Finance Division, General Manager NHA, Collector Customs, Islamabad and Special Assistant to the Minister for Finance and Revenue. He is certified Director of Boards by IBA.

Mr. Muhammad Aslam Ghauri, Director

Muhammad Aslam Ghauri is a distinguished civil servant from the 21st Common (Secretariat Group) with a career marked by leadership in governance, finance, and public administration. He is currently serving as Special Secretary (BS-22) in the Ministry of National Health Services Regulations & Coordination, Government of Pakistan. Previously, he has held senior roles including Special & Additional Secretary Military Finance and Joint Secretary in the Finance Division, where he managed critical financial oversight and policy formulation at the national level.

At the provincial tier, Mr. Ghauri has served as Secretary in the Environment, Climate Change and Coastal Development Department, the Information Department, and the Training Management & Research Wing of the Government of Sindh. His leadership extended to specialized institutions as Director General of the Sindh Coastal Development Authority and Managing Director of the Sindh Public Procurement Regulatory Authority. He also contributed as Special Secretary in the Law and Home Departments, and represented Pakistan internationally as Community Welfare Attaché at the Consulate General of Pakistan in Barcelona, Spain. His federal assignments include Deputy Secretary in the Ministry of Interior and Director at the National Vocational and Technical Education Commission in the Prime Minister's Secretariat.



Academically, Mr. Ghauri is recognized for his excellence and versatility. He holds an M.Sc. in Social Policy and Planning in Developing Countries from the London School of Economics (LSE), an MBA in Information Technology from SZABIST Karachi where he graduated as Gold Medalist, an M.A. in Islamic Culture from the University of Sindh, and a Bachelor of Engineering in Electronics from NED University of Engineering & Technology. His strong academic foundation, combined with his wide-ranging administrative experience, reflects his commitment to institutional development, strategic governance, and public service at both national and international levels.

4.2.1 Senior Management:

1.	Mr. Shoaib Javed Hussain	Chief Executive Officer
2.	Mr. Abdul Shakoor Shaikh	Executive Director
3.	Mr. Muhammad Amjad	Chief Financial Officer
4.	Syed Shahnawaz Nadir Shah	Chief Investment Officer
5.	Mr. Faisal Mumtaz	Chief Actuary
6.	Mr. Muhammad Izqar Khan	Chief Risk & Compliance Officer
7.	Mr. M. Sohaib Usmani	Chief Internal Auditor
8.	Mr. Tariq Saeed Chaudhry	Chief Takaful Officer
9.	Mr. Mushtaq Ahmed	Board Secretariat
10.	Mr. Mian Rizwan Majeed	Divisional Head (Marketing)
11.	Dr. Sajjad H. Zaidi	Divisional Head (Group & Pension)
12.	Ms. Riffat Sultana	Divisional Head (Legal Affairs Division)

4.2.2 Performance of Subsidiary Company

State Life Insurance Corporation holds investments in three subsidiaries:

- i. Alpha Insurance Company Limited
- ii. State Life (Lakie Road) Properties (Private) Limited
- iii. State Life (Abdullah Haroon Road) Properties (Private) Limited

The performance of these subsidiaries for the year 2024 is summarized below:

The Corporation's interests in its subsidiaries were as follows:	Year 2024						
	Rs,000						
	----- Rs in '000 -----						
Name		Assets	Liabilities		Revenues		



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

	Country of Incorporation			Break-up value per share		(Loss) / Profit	% of interest held
Alpha Insurance Company Limited	Pakistan	1,652,439	824,511	16.56	369,971	39,669	95.15%
State Life (Lakie Road) Properties (Private) Limited	Pakistan	2,899	9,669	(8.68)	121	(5,348)	100%
State Life (Abdullah Haroon Road) Properties (Private) Limited (Note 6.2.1)	Pakistan	125,653	10,973	276.39	11,491	10,216	100%
Total at the end of 2023		1,780,991	845,153		381,583	44,537	

4.3 Existing Schemes under Management and their performance:

State Life Insurance Corporation of Pakistan is currently managing Life Insurance Fund, Overseas Life Insurance Fund, Pension Fund, Accidental and health Fund and Family Takaful Fund. The performance of each fund in a year 2024 is given as under:

STATE LIFE INSURANCE CORPORATION OF PAKISTAN FOR YEAR ENDED 31 ST DECEMBER 2024 REVENUE ACCOUNT	Statutory Funds							Aggregate	Aggregate
	Pakistan Life Fund	Overseas Life Fund	Pension Fund	Accident & Health	Family Takaful Fund			2024	2023
					Sub Funds				
					Life	Group	Health		
Income									
Premium less reinsurances	163,278,823	3,593,411	64,252	95,417,141	1,893,405	17,437	109,766	264,374,235	267,844,182
Net Rental income from investment property	931,648	-	-	-	-	-	-	931,648	841,722
Net investment income	351,976,554	2,482,119	68,119	10,783,334	450,165	4,244	6,716	365,771,251	256,437,051
Total net income	516,187,025	6,075,530	132,371	106,200,475	2,343,570	21,681	116,482	631,077,134	525,122,955
Claims and Expenditure									



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

Claims, including bonuses, net of reinsurance recoveries	143,297,108	4,270,611	60,828	80,566,875	13,651	8,540	110,785	228,328,398	247,512,791
Management expenses less recoveries	48,207,964	905,694	2,306	3,446,652	871,806	1,732	12,836	53,448,990	48,310,591
Total claims and expenditure	191,505,072	5,176,305	63,134	84,013,527	885,457	10,272	123,621	281,777,388	295,823,382
Excess of income over claims and expenditures	324,681,952	899,225	69,237	22,186,948	1,458,113	11,409	(7,139)	349,299,747	229,299,573
Net change in insurance liabilities (other than outstanding claims)	(301,905,384)	(878,676)	(10,977)	(1,672,712)	(1,462,694)	(10,827)	(52,682)	(305,993,952)	(190,989,511)
Surplus/(deficit) before tax	22,776,568	20,549	58,260	20,514,236	(4,581)	582	(59,821)	43,305,795	38,310,062
Tax chargeable to statutory funds									
Current tax	-	-	-	-	-	-	-	-	9,294
Surplus/(deficit) after tax	22,776,568	20,549	58,260	20,514,236	(4,581)	582	(59,821)	43,305,795	38,300,768
Movement in policyholders' liabilities	301,905,384	878,676	10,977	1,672,712	1,462,694	10,827	52,682	305,993,952	190,989,511
Transfers to and from shareholders' fund									
-Surplus appropriated to shareholders' fund	(4,357,314)	(43,284)	-	-	-	-	-	(4,400,598)	(7,484,953)
-Fund transferred to general reserve	-	-	-	-	770,000	75,000	160,000	1,005,000	-
-Capital contributed from shareholders' fund	-	-	-	-	-	-	-	-	400,000
Net transfer to shareholders' fund	(4,357,314)	(43,284)	-	-	770,000	75,000	160,000	(3,395,598)	(7,084,953)
Balance of statutory fund at beginning of the year	1,561,032,966	45,371,566	668,562	44,339,931	1,534,168	-	-	1,652,947,193	1,430,741,867
Balance of statutory fund at end of the year	1,881,357,605	46,227,507	737,799	66,526,879	3,762,281	86,409	152,861	1,998,851,342	1,652,947,193
Represented by:									
Policyholders' liabilities	1,796,778,743	36,549,040	176,824	2,710,168	2,585,690	10,827	52,682	1,838,863,974	1,532,870,023
Retained earnings attributable to policyholders	84,578,862	9,678,467	-	-	-	-	-	94,257,329	75,860,809



Surplus appropriated to shareholders' fund	-	-	-	-	-	-	-	-	-
Retained earnings on other than participating business (Ledger account C and D)	-	-	560,975	63,816,711	1,176,591	75,582	100,179	65,730,038	44,216,361
Capital contributed by shareholders' fund	-	-	-	-	-	-	-	-	-
Balance of statutory fund	1,881,357,605	46,227,507	737,799	66,526,879	3,762,281	86,409	152,861	1,998,851,342	1,652,947,193

4.4 Role of the Fund Manager of State Life Islamic Retirement Savings Fund Manager (SLIRSF)

The Pension Fund Manager shall designate a Fund Manager for State Life Islamic Retirement Savings Fund (SLIRSF), who shall, use his investment experience and knowledge of pensions and based on the input from the Research Department, structure the portfolios for the individual Sub-Funds.

Additionally, the allocation of the asset classes within the plans offered under the Pension Fund, will be reviewed by the Investment Committee from time to time and based on the assessment of key economic indicators, the Fund Manager will, in conjunction with the Investment Committee of the Pension Fund, decide on the relative attractiveness and valuation of various asset classes available (i.e. equity, debt and money market). In case of a change in the economic circumstances, the Fund Manager will re-allocate the relative weights of the asset classes within the Schemes with an appropriate increase or reduction in exposure in those asset classes that are expected to be most impacted. However, such changes shall be made within the limits set out in the Approved Allocation Policy specified by the Commission.

4.4.1 Appointment of Distributors

The Pension Fund Manager, shall from time to time appoint, remove or replace one or more suitable persons, entities or parties as Distributor(s) for carrying on Distribution Function(s) at one or more location(s) locally or internationally. The Pension Fund Manager may also itself act as a Distributor for carrying on Distribution Functions and updated list of distributors would be available on official website of the Pension Fund Manager.

The Pension Fund Manager shall ensure, where it delegates the Distribution Function, that:

- a) The Distributors to whom it delegates, have acquired license \ registration from SECP as registered service providers.
- b) The written contract with the Distributors clearly states the terms and conditions for avoidance of frauds and sales based upon misleading information.
- c) The Pension Fund Manager and Distributor shall not:
 - i. Involve either directly or indirectly in the mis-selling of Voluntary Pension Scheme; and



- ii. Sell units of Voluntary Pension Fund Scheme directly or indirectly by making a false and mis-leading statement, concealing or omitting material facts of the Scheme and concealing the risk factors associated with the Scheme;
- d) The Pension Fund Manager or distributor shall take reasonable care to ensure suitability of the scheme to the participant.
- e) The Pension Fund Manager or distributor shall ensure that;
 - i. Any performance reporting/ presentation is accompanied by all explanations, qualifications, limitations and other statements that are necessary to prevent such information from misleading participants;
 - ii. Promotional materials do not contain untrue statements or omit to state facts that are necessary in order to prevent the statements from being misleading, false or deceptive; and
 - iii. Performance is measured and presented after taking into account the risk-tolerance, investment objectives, level of understanding and knowledge of the recipient.
 - iv. Approved version of Key Fact Statement be provided before soliciting new investment.'
 - v. KFS for each Pension Fund is readily accessible to investors on its website/ online portal.
 - vi. at the point of sale, including through PFM's website or a third-party digital portal/website, investors acknowledge receipt of the KFS and confirm their review and understanding of its contents. This acknowledgment shall be obtained by requiring investors to sign off on the Investment Form for physical transactions and, in the case of online investments, through a pop-up screenshot incorporating a checkbox mechanism that allows participants to either accept or decline after review and validation. The investment form/pop-up shall clearly state the following with a check box;

"I acknowledge that I have received and read the Key Fact Statement at the time of investment, and I have read and understood the terms and conditions to the best of my knowledge and have retained copy of the same."
 - vii. the validity/correctness of the KFS including the incorporation of any subsequent amendments due to change in the fundamental attributes.
 - viii. It shall continue to make available updated copy of Offering Document(s) on its official



website and other digital means.

4.4.2 Back Office Accounting

The Pension Fund Manager has delegated its Back Office Accounting Function to IT Minds Limited in line with SECP Circular No. 24/2013 dated December 06, 2013, as amended from time to time under intimation to Trustee or maintain itself such function.

4.5 Disclaimer

The Pension Fund Manager shall not be under any liability except such liability as may be expressly assumed by it under the Rules, Regulations and the Constitutive Documents, nor shall the Pension Fund Manager (save as herein otherwise provided) be liable for any act or omission of the Trustee nor for anything except for its own gross negligence or willful breach of duty and the acts and omissions of all persons to whom it may delegate any of its functions as manager as if they were its own acts and omissions. If for any reason it becomes impossible or impracticable to carry out the provisions of the Constitutive Documents, the Pension Fund Manager shall not be under any liability therefore or thereby and it shall not incur any liability by reason of any error of law or any matter or thing done or suffered or omitted to be done in good faith hereunder. The Pension Fund Manager shall not be liable for any loss caused to the Fund or to the value of the Trust Property due to any elements or circumstances of Force Majeure.

4.6 Obligations of the Pension Fund Manager

A Pension Fund Manager shall ensure compliance with the obligations as specified in the Rules and Regulations and constitutive documents of the Pension fund. The Pension Fund Manager shall:

- a. be obliged to manage the assets of the Pension fund in the interest of the participants in good faith and to the best of its ability and without gaining any undue advantage for itself or any of its related parties or any connected persons or its officers and according to the provisions of the Rules, Regulation, directives of the Shariah Advisor and provisions contained in the Trust Deed and this offering document.
- b. be responsible for the acts and omissions of all persons to whom it may delegate any of its functions as Pension Fund Manager, howsoever designated, as if they were its own acts and omission;
- c. account to the trustee for any loss in value of the assets of the Pension fund where such loss has been caused by its gross negligence, reckless or willful act or omission;
- d. maintain at its principal office, proper accounts and records to enable a complete and accurate view to be formed of the assets and liabilities and the income and expenditure of the Pension fund, all transactions for the account of the Pension fund and contributions received by the Pension fund and withdrawals by the participants including detail of



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

withholding tax deducted at source and transfer or receipt of balances in the individual Pension accounts of the participants to or from other Pension Fund Managers;

- e. Prepare and transmit an annual report, together with a copy of the balance sheet and income and expenditure account and the auditor's report of the Pension fund within four months of closing of the accounting period to the Commission and the participants, and the balance sheet and income and expenditure account shall comply with requirements as set out in Schedule XIII of NBFC & NE Regulation 2008:

“Provided that the Pension Fund Manager may transmit or make available on its website annual report of the Pension fund for participants and it shall make the printed copy available to a participant free of cost as and when required”;

- f. within one month of the close of the first and third quarter of its year of account of the fund and within two months of the close of second quarter, prepare and transmit to the participants and the Commission a balance sheet as at the end of that quarter and a profit and loss account for that quarter, whether audited or otherwise, of the Pension fund and the balance sheet and income and expenditure account shall comply with requirements as set out in Schedule XIII of the Regulations. The Pension Fund Manager may transmit the said quarterly accounts through its website;
- g. maintain a register of participants of the Pension fund and inform the Commission of the address where the register is kept;
- h. appoint auditor with the consent of the trustee, at the establishment of the Pension fund and upon any vacancy, and such auditor shall not be appointed for more than five consecutive years;
- i. furnish to the Commission within one month of the close of any accounting period.
 - i. particulars of the personnel (executive, research and other) managing the Pension fund;
 - ii. total number of participants; and
 - iii. such other information that may be prescribed by the Commission from time to time.
- j. furnish to the Commission a copy of its annual report together with copies of the balance sheet, profit and loss account, the directors' report and the auditors' report within one month of its annual general meeting and shall furnish its half yearly report to the Commission within two months of close of its half year;
- k. send an account statement as at the 30th June and the 31st December each year, within thirty days after the end of each date, to individual participants, giving detail of the amounts received or withdrawn and tax deducted and the number of units allocated and



held, the current valuation of the units and such other information as may be specified by the Commission, free of charge.

- l. send an account statement each time when there is an activity in the participant's account within seven working days of such activity and the participant shall be entitled to receive any information, in respect of participant account, at any time, on written application either physically or online
- m. send any other statement or certificate to the participants which may be necessary under the rules / regulations; and
- n. send a notice to a participant at least thirty days before the chosen date of retirement informing him/her the options available to him/her on retirement. The notice should be sent physically on the mailing address as well as electronically on email or cellular phone number.
- o. specify a criteria in writing to provide for a diverse panel of brokers at the time of offering of a pension fund or for any subsequent change and shall not enter, on behalf of a pension fund, into transactions with any broker that exceed twenty-five percent or more of the commission payable by a pension fund in any one accounting year:

Provided that this restriction shall not apply to transactions relating to money market instruments or debt securities,
- p. not be under any liability except such liability as may be expressly assumed by it under the Rules/Regulations and the constitutive documents not shall the Pension Fund Manager (save as herein otherwise provided) be liable for any act or omission of the Trustee or for anything except its own negligence, reckless or willful breach of duty hereunder. If for any reason it becomes impossible or impracticable to carry out the provisions of the Trust Deed the Pension Fund Manager shall not be under any liability therefor or thereby and it shall not incur any liability by reason of any error of law or any matter or thing done or suffered or omitted to be done in good faith hereunder.
- q. ensure ongoing compliance and comply with the Shariah Governance Regulations, 2023, as amended from time to time.
- r. engage an external Shariah Auditor for a Shariah-Compliant scheme. An annual report by Shariah Auditors as required under Regulations 29(5) of the Shariah Governance Regulations, 2023 shall be submitted to the Board of Directors.
- s. provide and replicate all recorded information to the trustee and shall arrange the reconciliation of these records with the Trustee on a periodic basis as may be mutually agreed between the parties or as specified by the Commission.



4.7 Restriction for Pension Fund Manager

The Pension Fund Manager on behalf of Pension Fund shall not:

- a. merge with, acquire or take over management of any other Pension fund or Pension fund manager unless it has obtained the prior approval of the Commission in writing for such merger, acquisition or takeover;
- b. pledge any of the securities held or beneficially owned by the pension fund except for the benefit of the pension fund;
- c. make a loan or advance money to any person except in connection with the normal business of the Pension Fund;
- d. participate in a joint account with others in any transaction except for placement of orders under a single Universal Identification Number (UIN) subject to mechanism approved by the Commission;
- e. make any investment with the purpose of having the effect of vesting the management, or control, in the Pension Fund;
- f. employ as a broker, directly or indirectly, any of its director, officer or employee or a member of a family of such person which shall include spouse, parents, children, brothers and sisters and enter into transactions with any connected broker, which shall equal or exceed twenty-five percent or more of the brokerage or commission paid by the Pension fund in any one accounting year;
- g. Enter into a short sale transaction in any security.
- h. Purchase from or sell any security to any connected person or employee except with the approval of its Board of Directors in writing and consent of the Trustee
- i. No Pension Fund Manager on behalf of the pension fund shall lend, assume, guarantee, endorse or otherwise become directly or contingently liable for or in connection with any obligation or indebtedness of any person:

Provided that investment in sale and repurchase transactions involving Government securities or such eligible listed securities which are regulated by stock exchanges shall not be attracted by this sub-rule subject to the condition that risk management parameters are disclosed in the constitutive document of the pension fund approved by the Commission.

- j. Invest in any non-shariah complaint investment avenue



4.8 Retirement or Removal of the Pension Fund Manager

- 4.8.1 The Pension Fund Manager may, by giving at least three (3) months prior written notice in writing to the Participants with the prior written approval of the Commission, retire from management of the Pension Fund.
- 4.8.2 Where the Pension Fund Manager has given notice in accordance with above clause, its retirement shall be effective on the date being not less than three (3) months after the date of such notice on which, with the approval in writing of the Commission, it appoints a new Pension fund manager to manage the Pension Fund in accordance with the constitutive documents and the Rules.
- 4.8.3 If the Commission is of the opinion that the Pension Fund Manager has contravened any provision of the Rules, or has otherwise neglected or failed to comply with any order or direction of the Commission or with any requirement of the Rules or has failed or neglected to carry out its duties to the satisfaction of the Trustee, or the Commission, as the case may be, and considers that it would be in the interest of the Participants so to do, the Commission, on its own motion or on the report of the Trustee, by order in writing may immediately:-
- a. cancel or suspend the registration of the Pension Fund Manager;
 - b. remove the Pension Fund Manager managing the Pension Fund;
 - c. issue cease and desist orders to the Pension Fund Manager;
 - d. order compensation to be paid to the Participants;
 - e. ban defaulters to be employed within the security market temporarily or permanently;
 - f. impose fine; or
 - g. take combination of the above-mentioned actions.
- 4.8.4 The Trustee may, by giving notice in writing to the Pension Fund Manager with the prior approval of the Commission, remove the Pension Fund Manager if any of the following events have occurred:
- (i) the Pension Fund Manager has contravened the provisions of the constitutive documents in any material respect and has failed to rectify the contravention within (i)30 days from the date of notice in writing given by the Trustee to the Pension Fund Manager regarding the contravention, such notice to be given under intimation to the Commission, or (ii) such other period as may be specified by the Commission, in respect of the subject contravention; provided that such notice by itself shall not be considered as an admission of contravention on part of the Pension Fund Manager who shall have the right to defend such action;
 - (ii) the Pension Fund Manager goes into liquidation (other than voluntary liquidation on terms previously agreed to with the Trustee for purpose of reconstruction and amalgamation); or
 - (iii) a receiver is appointed over any of the assets of the Pension Fund Manager.
- 4.8.5 removal of the Pension Fund Manager from management of the Pension Fund by the Trustee shall be effective on the date on which, with the approval in writing of the Commission, as per the Rule 9 of the VPS Rules, 2005 the Commission the appoints a new Pension fund manager to manage the Pension Fund whose registration has not cancelled is eligible as Pension Fund Manager in accordance with the constitutive documents and the Rules.
- 4.8.6 The Commission may, in exercise of its powers under the Rules and/or the Regulations,



remove the Pension Fund Manager from management of the Pension Fund and appoint in its place a new Pension fund manager to manage the Pension Fund in accordance with the constitutive documents and the Rules and/or the Regulations.

- 4.8.7 The Commission may, in exercise of its powers under the Rules and/or the Regulations, cancel the registration of the Pension Fund Manager as a Pension fund manager, in which case the Pension Fund Manager, if not already removed from the management of the Pension Fund, shall stand removed from such management upon such cancellation.
- 4.8.8 If the Commission has cancelled the registration of the Pension Fund Manager as provided in above clause, the Commission shall appoint another Pension fund manager to manage the Pension Fund in accordance with the Rules.
- 4.8.9 Upon a new Pension fund manager being appointed, the Pension Fund Manager shall take immediate steps to deliver all the documents and records pertaining to the Trust to the new Pension fund manager and shall pay all sums due to the Trustee.
- 4.8.10 Upon its appointment the new Pension fund manager shall exercise all the powers and enjoy all rights and shall be subject to all duties and obligations of the Pension Fund Manager hereunder as fully as though such new Pension fund manager had originally been a party hereto.
- 4.8.11 If so, directed by the Commission, the Pension Fund Manager shall not receive any Contributions from any of the Participants or make any other transaction on account of the Pension Fund as from the date of issue of the notice as referred to in **Clause 4.8.3** or as from the date of issue of the Commission's order in writing under Rule 6 of the Rules.
- 4.8.12 The Trustee shall ensure that accounts of the Pension Fund till the day of the appointment of the new Pension Fund Manager are audited by the Auditors of the Pension Fund and the audit report is submitted, within one month from the date of such appointment, to the Commission, the Trustee and the new Pension Fund Manager. The Trustee with the approval of the Commission shall decide the cost of such interim audit and the same may be charged to the Pension Fund with the prior approval of the Commission.
- 4.8.13 The Pension Fund Manager, upon termination/removal/retirement, shall continue to manage the Pension fund until the entire balance in all pension accounts of the Participants are not transferred in the pension accounts of the respective Participants with one or more other Pension Fund Managers. For this purpose, the Pension Fund Manager shall share the relevant data with the new Pension Fund Manager(s). Both parties shall make best efforts to complete the process for transfer of Pension Fund balances within the stipulated period.

4.9 Obligations of Trustee of Pension Fund



4.9.1 The Trustee shall ensure compliance with the obligations as specified in the provisions of the constitutive document and the Rules and/or the Regulations when performing any act or matter to be done by it in the performance of its duties and such acts or matters may also be performed on behalf of the Trustee by any officer or responsible official of the Trustee or by any nominee or agent appointed by the Trustee in consultation with the Pension Fund Manager; provided that the Trustee shall be responsible for the acts and omissions of all persons to whom it may delegate any of its duties, as if these were its own acts and omissions and shall account to the Pension Fund for any loss in value of the Trust Property where such loss has been caused by negligence or any reckless or willful act and / or omission of the Trustee or of any of its directors, officers, nominees or agents.

4.9.2 The Trustee shall exercise all due diligence and vigilance in carrying out its duties and in protecting the interests of the Participants. The Trustee shall not be under any liability on account of anything done or not done by the Trustee in good faith in accordance with or in pursuance of any request of the Pension Fund Manager, provided that the Trustee's actions and the Pension Fund Manager's requests are not in conflict with the provisions of the constitutive document or the Rules/Regulations. Whenever pursuant to any provision of the constitutive document, any certificate, notice, direction, instruction or other communication is to be given by the Pension Fund Manager to the Trustee, the Trustee may accept as sufficient evidence thereof a document signed or purporting to be signed on behalf of the Pension Fund Manager by any person whose signature the Trustee is for the time being authorized in writing by the Pension Fund Manager to accept.

The Trustee shall;

- a. take into its custody or under its control all the Trust property, including proprieties of the Sub Funds of the Pension Fund and hold it in trust for the Participants in accordance with the applicable law, the Rules/Regulations and the provisions of the Constitutive Documents; and the cash and registerable assets shall be registered in the name of or to the order of the Trustee;
- b. be liable for any loss caused due to its willful acts or omissions or that of its agent in relation to any custody of assets or investments forming part of property of the pension fund;
- c. be liable for the act and omission of the lender and its agent in relation to assets forming part of the property of the Pension Fund and, where financing is undertaken for the account of the Pension Fund, such assets may be registered in the lender's name or in that of a nominee appointed by the lender;
- d. ensure that the issue, withdrawal/redemption and cancellation of units are carried out in accordance with the provisions of the Rules, Regulations and the Constitutive Documents of the Pension Fund;
- e. ensure that the methods adopted by the Pension Fund Manager in calculating the values



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

of the Units of each Sub- Fund of the Pension Fund are adequate and that the Net Asset Value is calculated in accordance with the provisions of the Constitutive Documents or as specified by the Commission;

- f. carry out the instructions of the Pension Fund Manager in respect of Investments unless they are in conflict with the Investment Policy, the Offering Document, the Rules, the Regulations or Trust Deed;
- g. ensure that the investment policy prescribed by the Commission from time to time and the financing limitations set out in the Trust Deed, the Rules, the Regulations and other conditions under which the State Life Islamic Retirement Savings Fund was authorized are complied with;
- h. issue a report to be included in the half-yearly and annual report to be sent to Participants whether, in the Trustee's opinion, the Pension Fund Manager has in all material respects managed the Pension Fund and the Sub-Funds in accordance with the provisions of the constitutive documents, and if the Pension Fund Manager has not done so, the respects in which it has not done so and the steps which the trustee has taken in respect thereof; provided that the trustee's report in the annual accounts shall include the trustee's opinion regarding the calculation of the management fee, Fee Payable to the Commission and other expenses in accordance with the applicable regulatory framework.
- i. ensure that Units are not allocated until Contributions have been received.
- j. ensure that the methodology and procedures adopted by the Pension Fund Manager are adequate and the pricing, issuance and withdrawal are carried out in accordance with the provisions of the Constitutive Documents and applicable regulatory requirement.
- k. immediately inform the Commission if any action of the Pension Fund Manager contravenes any provision of the Ordinance, the rules, constitutive document, offering document, guidelines, codes, circulars, directives or any other applicable laws; and
- l. comply with the directions of the Commission given in the interest of the participants.
- m. not invest or withdrawals from Pension Funds for which it acts as trustee in the cases where there is a likelihood of a change in investment objective of the scheme or there is a likelihood of change in account policy or a significant change in the valuation of any asset or class of asset and the same has not been communicated to the investors.
- n. from time to time appoint, remove or replace one or more Custodian(s) as an agent of the Trustee at one or more locations, on terms and conditions to be agreed between the Custodian and the Trustee



- o. make available or ensure that there is made available to the Pension Fund Manager such information as the Pension Fund Manager may reasonably require from time to time in respect of the Trust Property and all other matters relating to the Pension Fund.
- p. be entitled to require the Auditors to provide such reports as may be agreed between the Trustee and the Pension Fund Manager and as may be considered necessary to facilitate the Trustee in issuing the certification required under the Rules and/or the Regulations. The Trustee shall endeavor to provide the certification at the earliest date reasonably possible.
- q. The Commission may, if it is satisfied that it is necessary and expedient so to do in the interest of the Participants, or in the interest of the capital market and public, by an order in writing, give such directions to the Trustee which are essential to enforce the Rules and/or the Regulations including but not limited to deciding for safe custody of assets of the Pension Fund, submission of reports and disclosure of information
- r. if requested by Pension Fund Manager and may if it considers necessary for the protection of Trust Property or safeguarding the interest of Participants, institute or defend any suit, proceeding, arbitration or inquiry or any corporate or shareholders' action in respect of the Trust Property or any part thereof, with full powers to sign, swear, verify and submit pleading and affidavits, to file documents, to give evidence, to appoint and remove counsel and to do all incidental acts, things and deeds through the Trustee's authorized directors and officers. All costs, charges and expenses (including legal fees) incurred in instituting or defending any such action shall be borne by the Pension Fund and the Trustee shall be indemnified against all such costs, charges and expenses, provided that no such indemnity shall be available in respect of any action taken against the Trustee for negligence or breach of fiduciary duties in connection with its duties as the Trustee under the constitutive documents or the Rules.
- s. obtain and maintain replication of all the Records of the Participant maintained by the Pension Fund Manager or the Registrar, as the case may be, and shall keep the Records updated on fortnightly basis
- t. promptly provide proxies or other forms of power of attorney to the order of the Pension Fund Manager with regards to any voting rights attaching to any Investments.

4.10 Retirement or Change of Trustee

- 4.10.1** The Trustee shall not be entitled to retire voluntarily or otherwise except upon the appointment of a new trustee and the retirement shall take effect at the same time as the new trustee is appointed. In the event of the Trustee desiring to retire, the Pension Fund Manager with the prior written approval of the Commission and within a period of three months of the Trustee giving notice of its intention to retire to the Pension Fund Manager shall by a deed supplemental hereto under the seal of the Pension Fund Manager and the Trustee appoint a new trustee under the provisions of the Rules and/or Regulations in place of the retiring Trustee and also provide in such deed for the automatic vesting of all the assets



of the Trust in the name of the new trustee. The retirement of the Trustee shall take effect at the same time as the new trustee is appointed and the supplemental trust deed reflecting this appointment is executed. The Trustee shall ensure that accounts of the Pension Fund till the day of the appointment of the new Trustee are audited by the Auditors and the audit report is submitted within one month time from the date of such appointment to the Commission, the newly appointed Trustee and the Pension Fund Manager. The Trustee with the approval of the Commission shall decide the cost of such interim audit and the same may be charged to the Pension Fund with the prior approval of the Commission.

- 4.10.2** If the Trustee goes into liquidation (otherwise than for the purpose of amalgamation or reconstruction on terms previously agreed to with the Pension Fund Manager) or ceases to carry on business of trusteeship or a receiver of its undertaking is appointed or it becomes ineligible to act as a trustee of the Pension Fund or its registration as trustee has been suspended or cancelled by the Commission under the provisions of the Rules and/ or the Regulations, the Pension Fund Manager shall forthwith intimate the Commission and by instrument in writing remove the Trustee from its appointment under this Trust Deed and shall by the same or some other instrument in writing simultaneously appoint as trustee some other company or corporation duly approved by the Commission according to the provisions of the Rules, the Regulations and the Trust Deed as the new trustee.
- 4.10.3** The Commission after giving thirty days' notice, may remove the Trustee by order in writing on grounds of any material default or non-compliance with the provisions of the Rules, the Regulations or this Trust Deed, negligence of its duties or incompetence in performing its duties or if the Commission is of the opinion that the Trustee has otherwise neglected or failed to comply with any order or direction of the Commission and considers that it would be in the interest of the Participants so to do; provided that such notice shall not per se be regarded as an admission of contravention on part of the Trustee who shall have the right to defend such notice or action.
- 4.10.4** The Pension Fund Manager may also remove the Trustee with the prior approval of the Commission after giving thirty days' notice if the Pension Fund Manager feels that the Trustee is charging a remuneration that is not comparable to the market norm and it would be in the interest of the Participants to appoint another trustee. For this purpose, if the Pension Fund Manager, based on a firm quotation or offer received from an alternate institution (qualified to be appointed as trustee of a Pension fund) determines that the remuneration being paid to the Trustee is not comparable to the market norm and that for this reason it would be in the interest of the Participants to appoint another trustee on such favorable terms, it will issue a thirty days' notice of removal of the Trustee on this ground; provided that after receiving such notice from the Pension Fund Manager, the Trustee shall have the option to continue as trustee of the Pension Fund on such favorable terms offered by the alternate institution or to retire as trustee of the Pension Fund and notify the Pension Fund Manager accordingly. The change of Trustee shall become effective with the Commission's approval once the newly appointed trustee takes charge of all duties and responsibilities.



4.10.5 Upon the appointment of a new trustee, the Trustee shall immediately deliver all the documents and records to the new trustee and shall transfer all the Trust Property and any amount deposited in any Individual Pension Account held by or for the Trustee under any Approved Income Payment Plan to the new trustee and shall make payments to the new trustee of all sums due from the outgoing or retiring Trustee.

4.10.6 The new trustee shall exercise all the powers and enjoy all rights and shall be subject to all duties and obligations of the Trustee hereunder as fully as though such new trustee had originally been a party hereto as trustee of the Pension Fund.

4.10.7 Notwithstanding the removal or resignation of the Trustee and its subsequent discharge from its duties under the Trust Deed and the Rules and/or the Regulations. The Trustee shall remain entitled to the benefit of the terms of the Trust Deed till the removal or resignation of the Trustee is effective without prejudice to the Trustee's responsibility or obligation to liquidate any liability for which the Trustee may have become liable under the Trust Deed and / or the Rules and / or the Regulations.

4.11 Transfer Agent

4.11.1 The Pension Fund Manager has appointed **IT Minds Ltd** having its registered office at **CDC House, 99-B, Block 'B' S.M.C.H.S., Main Shahrah-e-Faisal, Karachi – 74400, Pakistan** as the Transfer Agents of State Life Islamic Retirement Savings Fund. The IT Minds will be responsible for maintaining the participant's Register, preparing, issuing account statements, and providing related services to the participants.

4.12 Service Provider

4.12.1 The Pension Fund Manager has signed an agreement with IT Minds having its registered address at House, 99-B, CDC, Main Shahr-e-Faisal, Block B Block A Sindhi Muslim CHS (SMCHS), Karachi, 74400 to appoint as service provider. The appointment has been made after due assessment of Service Provider capacity which includes availability of relevant IT infrastructure and Systems along with competent human resources to undertake the Back Office functions.

4.12.2 The Pension Fund Manager hereby indemnifies that rights of the participant either directly or indirectly would not affect due to any action / service performed under the agreement. Further, in the event of any conflict between Service Level Agreement executed between the Pension Fund Manager and service provider and the provision of the Offering Documents / Trust Deed, NBFC Rules, and NBFC & NE Regulations and VPS Rules, 2005 the latter shall supersede and prevail over the provisions contained in the Service Level Agreement.

4.12.3 The responsibility of the Pension Fund Manager/Trustee as contained in the Rules/Regulations and Constitutive Documents shall not be affected by the delegation of Back Office functions in line with SECP Circular No. 24/2013, as amended from time to time.



4.13 Auditor

- i. The Auditor of the Fund is **Crowe Hussain Chaudhry &Co. Chartered Accountants at registered address of Level 4, Plot 31-C, Khayaban-e-Shamsheer, Phase-V, DHA, Karachi.**
- ii. First Auditor term of office shall expire on the transmission of the first annual report and accounts but may be reappointed as in the Rules, Regulations, applicable Circular, Directive from time to time without need to alter/ amend constitutive document.
- iii. The appointment of a partnership firm as the Auditor shall be deemed to be the appointment of all persons who are partners in the firm from time to time
- iv. The Pension Fund Manager shall, with the consent of the Trustee, appoint as the Auditor a firm of chartered accountants who shall be independent of the auditor of the Pension Fund Manager and the trustee. The Pension Fund Manager may at any time, with the concurrence of the Trustee, and shall, if required by the Commission, remove the Auditor and appoint another Auditor in its place. At all times the Pension Fund Manager shall ensure that the Auditor is appointed from the panel of auditors, if any, prescribed by the Commission for this purpose. The appointment of Auditor and contents of the Auditor's report shall be in accordance with provision of the Rules and Regulations. The Auditors shall have access to the records, books, papers, accounts and vouchers of the Trust, whether kept at the office of the Pension Fund Manager, Trustee, Custodian, Transfer Agent, Registrar or elsewhere and shall be entitled to require from the Pension Fund Manager, Trustee and their Directors, Officers and Agents such information and explanations as considered necessary for the performance of audit. The Trustee shall be entitled to require the Auditors to provide such further reports as may be agreed between the Trustee and the Pension Fund Manager as may be considered necessary to facilitate the Trustee in issuing the certification required under the Regulations.
- v. The Auditors shall prepare a written report to the Participant on the accounts and books of accounts of the Trust and the balance sheet, profit and loss account, cash flow statement and statement of movement in participants' Funds and on every other document forming part of the balance sheet and profit and loss account, including notes, statements or schedules appended thereto.

In case the Rules or other Applicable Laws relating to appointment of auditors of Pension funds are amended or substituted, the amended Rules or other Applicable Laws, as the case may be, shall be deemed to become part of this Constitutive Document without the need to execute a supplemental constitutive document.
- vi. The contents of the Auditors report shall be as mentioned in the Regulations.
- vii. The Commission shall monitor general financial condition of the Pension Fund, and, at its discretion, may order special audit and appoint an auditor who shall not be the external



auditor of the Pension Fund, to carry out detailed scrutiny of the affairs of the Pension Fund, provided that the Commission may, during the course of the scrutiny, pass such interim orders and give directions as it may deem appropriate. On receipt of the special audit report, the Commission may direct the Pension Fund Manager to do or to abstain from doing certain acts and issue directives for immediate compliance which shall be complied forthwith or take such other action as the Commission may deem fit.

viii. The Pension Fund Manager shall also appoint a Shariah Auditor for conducting an independent and objective assessment of compliance of operations with the Shariah. The existing auditor of the Fund may also act as Shariah Auditor provided that he has necessary expertise and is well-versed with the principle of Shariah. The Shariah Auditor shall issue a report annually to be included in the Annual report of the Fund. The scope of Shariah audit includes:

- 1) Conducting an independent and objective assessment of compliance of operations with the Shariah principles and rules and to comply with any further conditions imposed by the Commission from time to time.
- 2) The external Shariah auditor shall assess the compliance of the Shariah compliant security with financial arrangements, contracts, and transactions with the Shariah principles and rules.
- 3) The external Shariah auditor shall prepare a report on the format, to be prescribed by Commission, for the board of directors giving their opinion on:
 - a) the status of Shariah compliance;
 - b) the risks associated with the Shariah non-compliance;
 - c) the capacity and quality of the internal controls to measure, manage and mitigate the Shariah non-compliance risks;
 - d) the adequacy and effectiveness of the Shariah governance framework;
 - e) the level of awareness and sensitivity of the management and the board of directors in addressing the Shariah risks; and
 - f) any other issues deemed significant by the external auditors with respect to Shariah compliance.

4.14 Legal advisor

M/S Liaqat Merchant & Associates with registered address at 2nd Floor, Dime Centre, BC-4 Block 9, KDA Scheme 9 Clifton, Karachi, Pakistan.

4.15 Bankers

The bankers to the Fund may include Islamic banks/Islamic windows of conventional commercial banks as per the discretion of the Pension Fund Manager to change from time to



time. The Trustee shall operate the bank accounts on instruction from the Pension Fund Manager

4.15.1 Bank Accounts

The Trustee shall, at the request of the Pension Fund Manager from time to time, open separate Bank Accounts in Islamic Bank or Islamic window of conventional bank titled **“DCCL Trustee – State Life Islamic Retirement Savings Fund”** for the Pension Fund and each Sub-Fund for, inter alia, (i) receipt of proceeds of Seed Capital Units and subsequent Contributions into the Pension Fund, (ii) credit of proceeds realized on account of any transfer or withdrawal at or before retirement or re-allocation in relation to Individual Pension Accounts, and (iii) withdrawals from Approved Income Payment Plans for the Pension Fund.

The Bank Accounts referred to in above clause shall be opened by the Trustee at such branches of Banks/Islamic bank or Islamic windows of conventional banks and shariah compliant financial institutions approved by the Pension Fund Manager having entity rating awarded by a credit rating agency approved by the Commission and at such locations as determined by the Pension Fund Manager, subject to compliance with Applicable Laws and after obtaining all necessary Approvals as may be required from time to time.

Notwithstanding anything in the constitutive documents, the beneficial ownership of the balances in the Bank Accounts opened by the Trustee shall vest at all times in the Participants collectively.

Further on the request of the Pension Fund Manager, the Trustee shall open Sub account(s) titled:

- 1- DCCL - Trustee SLIRSF Equity Sub-Fund**
- 2- DCCL - Trustee SLIRSF Debt Sub-Fund**
- 3- DCCL - Trustee SLIRSF Money Market Sub-Fund**

All bank charges for opening and maintaining Bank Accounts for the Trust shall be charged to the Fund.

4.16 Shariah Governance Framework

This section outlines the Shariah governance framework applicable to State Life Islamic Retirement Savings Fund (the “Fund” or “SLIRSF”), as required under the **Shariah Governance Regulations, 2023** issued by the **Securities and Exchange Commission of Pakistan (SECP)** and other applicable regulatory circulars, guidelines, directives etc. as issued from time to time. The Fund has been structured and will be managed in accordance with the principles of Islamic Shariah.

4.17 Underlying Shariah Structure

State Life Islamic Retirement Savings Fund is a Shariah-compliant fund managed under the principles of an Investment Agency (Wakalat-ul-Istithmar) arrangement. In this contractual relationship, the Participant acts as the Principal (Muakkil), while the Pension Fund Manager (PFM) serves as the Investment Agent (Wakeel), responsible for managing the fund’s investments



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

in accordance with the Shariah principles and the terms of the agency agreement. The key features of this arrangement are outlined below:

Stage	Shariah Consideration
1. Contact Formation	Under the Investment Agency arrangement, the participant acts as the Principal (Muakkil), while the PFM serves as the Investment Agent (Wakeel Bil Istithmaar).
2. Collection of Funds	Funds are collected from employers on behalf of participants and held in dedicated Shariah Complaint trust account under the Trust Deed
3. Pooling of Funds	Collected funds are pooled into a Shariah complaint fund.
4. Investment Deployment	The Investment Agent deploys funds into Shariah-Compliant avenues (as per the Offering Document).
5. Investment Management	The investment agent is responsible for managing and rebalancing the portfolio in line with the market outlook, risk appetite, regulatory framework, and fund objectives.
6. Profit Realization & Purification	Profits are derived from the Shariah complaint (halal) sources. Any income deemed Shariah non-compliant is purified by donating to charity, as per the approval of Shariah Advisor.
7. Return / Profit Reinvestment	After expenses, net profits are reinvested.
8. Withdrawal	At withdrawal request, units are redeemed to participants after deduction of taxes (if any) at their net asset value (NAV).

4.18 Objective of Shariah Governance

The objective of this framework is to establish and maintain a robust mechanism for ensuring that all activities of the Fund including its structuring, investments, operations, and fund management comply with the principles and rulings of Islamic jurisprudence as interpreted by the appointed Shariah Advisor.

4.19 Responsibilities of the Pension Fund Manager in relation to Shariah Compliance

The Pension Fund Manager shall appoint, or engage a Shariah advisor and shall comply with the following provisions:



- (a) shall not appoint or engage a Shariah advisor unless it is registered with the Commission under Shariah Governance Regulations, 2023;
- (b) shall disclose in financial statements of the Fund details of any compensation paid to its Shariah advisor, as the case may be, for providing Shariah supervisory services and any other ancillary professional services, including but not limited to education and training in Islamic financial services;
- (c) shall not replace the Shariah advisor without recording the reasons for such replacement and intimate the same to incoming and outgoing persons;
- (d) shall endeavor to improve capacity of its human resources in the field of Islamic finance through education, training and awareness campaigns; and
- (e) where it has obtained a Shariah opinion from more than one person on the same issue, it shall disclose the reasons for obtaining more than one Shariah opinion to each of the said persons, as well as in the offering document, financial statements, and any other relevant document.

Unless provided otherwise in the constitutive documents of the persons forming, constituting, appointing, or engaging a Shariah supervisory board or a Shariah advisor, as the case may be, they shall do so with the prior approval of their board of directors or a comparable governing body. The matter pertaining to removal and resignation shall also be handled accordingly.

The committee of the board, or the governing body, or the chief executive officer, if authorized by the board of directors to do so, shall meet with the Shariah advisor, as the case may be, at least twice a year to review Shariah-related matters.

4.20 Shariah Advisor

All activities of the Fund shall be undertaken in accordance with the Shariah Guidelines provided by the Shariah Advisor or Shariah Regulatory Provisions of SECP issued from time to time. The Pension Fund Manager is obligated to obtain written approval from the Shariah Advisor before implementing any amendments to the Constitutive Documents of this Fund.

The Pension Fund Manager has appointed a Shariah Advisor who shall advise the Pension Fund Manager on matters relating to Shariah Compliance.

The Pension Fund Manager, on its own expense, has appointed Muhammad Hassan Kaleem as the Shariah Advisor for the Fund. The profile(s) of the Shariah Advisor(s) is annexed as “I” in the Offering Document.

The Shariah Advisor shall be appointed under intimation to the Trustee for a period of three (03) year mutually agreed between the Pension Fund Manager and Shariah Advisor, but may be reappointed on completion of the term. The Pension Fund Manager may at any time, with prior notice to the Trustee and intimation to the Commission, terminate the Agreement with the Shariah Advisor by giving a notice as per the Agreement with the Shariah Advisor, before



the completion of the term, and fill the vacancy under the intimation of the Commission and the Trustee without the need to alter/amend this offering document or issue a supplemental offering document. Provided that till the appointment of new Shariah Adviser, the existing Shariah Adviser shall continue to perform his duties. Provided further that the Pension Fund Manager shall inform the Commission at least one month in advance for change in the Shariah Adviser.

Furthermore, the agreement entered into for the appointment of the Shariah Adviser shall be furnished to the Commission.

4.20.1 Duties and Responsibilities of Shariah Advisor

The Shariah Advisor shall advise the Pension Fund Manager on matters relating to Shariah compliance and recommend general investment guidelines consistent with Shariah and regulations issued by the Commission. Any verdict issued by the Shariah Advisor in respect of any Shariah related matter would be final and acceptable to the Trustee, the Pension Fund Manager, the participants and other parties. In case of any dispute between the Shariah Advisor and the management, the matter may be referred to the Shariah Advisory Committee for resolution routed through Islamic Finance Division of SECP.

The Shariah Advisor Shall

- a. Provide technical guidance and support on various aspect of Shariah so as to enable the Pension Fund Manager to operate the Fund as a Shariah Compliant Pension Fund.
- b. Recommend general investment guidelines consistent with the Shariah. Any verdict issued by the Shariah Advisor in respect of any Shariah related matter shall be final and acceptable to the Trustee, the Pension Fund Manager, the participants and other parties related with that matter.
- c. At the end of Annual Accounting Period, issue a certificate, to be included in the Fund's financial reports, in respect of Shariah Compliance of the preceding year's operation of the Fund and the Shariah Advisor may conduct such audit or other investigation as may be necessary for the issuance of the certificate. The Pension Fund Manager shall bear the expenses of such audit or investigation if the shariah advisor finds it, with evidence, negligent or guilty of willful breach of duty.
- d. Co-ordinate with the Pension Fund Manager in drawing up of the Deed and other related material documents including Constitutive Documents for the formation of the Unit Trust and to further provide technical guidance and support on various aspects of Shariah, so as to enable the Pension Fund Manager to mold the Unit Trust into a riba free/Halal Avenue of investment.
- e. Do the research as appropriate for the purpose of screening of investments. The Shariah Advisor will then decide as to which criteria are relevant to be used in the context of



Pakistani Markets and the instruments available therein, and which need to be modified/added/deleted.

- f. Certify that all the provisions of the Constitutive Documents of the Fund and proposed Investments to be made on account of the Fund are Shariah compliant with the established criteria.
- g. Evaluate and advise upon all new financial instruments as and when introduced for their Shariah permissibility.
- h. Determine percentage of income and cash flows included in the income and cash flows of the companies in which the Fund has invested from activities not in accordance with the principles of the Shariah, and recommend to the Pension Fund Manager the criteria for selecting the Charities registered under relevant Pakistani laws to whom such sums shall be donated.
- i. decide the methodology for calculation of “Haram income”

5 CHARACTERISTICS OF THE PENSION FUND

5.1 Eligibility

- i. All individuals fulfilling the eligibility criteria prescribed by the Commission from time to time under the Rules or any directive/circular shall be eligible to contribute to the Pension Fund authorized under the Rules, directly as well as through employers.
- ii. As per above clause, “all Pakistani nationals over the age of 18 years holding a valid National Tax Number (NTN) or Computerized National Identity Card (CNIC) and National Identity Card for Overseas Pakistanis (NICOP) or Pakistan Origin Card (POC) issued by the National Database and Registration Authority (NADRA) shall be eligible to contribute to the Pension Fund.
- iii. Eligible person who opens an Individual Pension Account with the Pension Fund Manager may make Contributions to the Pension Fund, directly as well as through employers of such Eligible Person.
- iv. As per the Income Tax Ordinance, each eligible person who opens an Individual Pension Account with the Pension Fund Manager may make Contributions to the Pension Fund, directly as well as through the employers of such eligible persons (Participants having pension policies) under Section 63 of the Income Tax Ordinance, 2001 and (issued by Takaful/Companies before 30th June, 2005) are eligible to withdraw their units and transfer the balance to their Individual Pension Account, subject to the Rules.
- v. Accumulated balance from Approved Employment Pension or Annuity Scheme or Approved Occupational Savings Scheme (i.e. approved gratuity fund or recognized provident fund) can be transferred to the Pension Fund.



- vi. The eligibility criteria may be reviewed by the Commission from time to time.

5.2 Application Procedures

The procedure herein below is designed for paper-based transactions. The Pension Fund Manager may at a later date introduce electronic/ Internet based options for the transactions for which the Pension Fund Manager shall be responsible for obtaining all approvals under the applicable laws from time to time being in force.

1. Participation in the Pension Fund shall be offered through Pension Fund Manager, Authorized Zonal Offices of the Pension Fund Manager, Distributors and Sales Agents Offices.
2. Before contribution, either himself or through the employer, to the Pension Fund, eligible person must open an account with the Pension Fund Manager, to be known as Individual Pension Account (the "IPA"), using the Prescribed Application Form.
3. Details of documents required to be submitted along with the Forms would be as per the Offering Document and as per the Rules, Regulations and Guidelines issued by the Commission from time to time.
4. The Pension Fund Manager shall make arrangements that all Forms shall be available and can be obtained in hard copy or electronic form from the offices of Pension Fund Manager, Sales Agents any authorize zonal offices of the Pension Fund Manager or downloaded from the Pension Fund Manager's website or requested from the Pension Fund Manager by courier or through electronic means.
5. The Pension Fund Manager or the Distributor shall verify the particulars given in the Prescribed Application Form. The sales agents and distributors shall ensure that only those forms are received and forwarded to the Registrar for further processing which are complete in every respect.
6. Application for opening an Individual Pension Account shall be submitted along with the first contribution payment, via cheque, bank draft, pay order, banker cheque, or online transfer in such form (except in the form of cash) as the case maybe in favor of the Trustee **"DCCL Trustee - State Life Islamic Retirement Savings Fund"** and crossed "Account Payee only" at any authorized zonal office or directly lodging the complete form with the Pension Fund Managers (for avoidance of doubt, it is clarified that no other person (including Sales Agents) shall be authorized to accept on behalf of the Pension Fund Manager any prescribed application form or any contribution or any other payment to the Pension Fund Manager or the Pension Fund). The distributor shall ensure that the submitted application is complete in every regard and shall verify that the applicant is an eligible person and that the signature of the applicant to any document required to be signed by him under or in connection with the application matches the applicant's signature as per the applicant's CNIC or NICOP or POC.



7. The Participant shall have the option to select any one of the Allocation Schemes offered by the Pension Fund Manager. In the event of no choice made by the Participant, the Pension Fund Manager will have the right to allocate the Contributions to a default Allocation Scheme in light of the Prescribed Allocation Policy, as may be considered in the interest of the participants.
8. After opening an account or at the time of opening of account a Participant may by using the Form, make Contribution towards Pension Fund. Allocation of Contributions among Sub-Funds will be made as per the Allocation Scheme selected by the Participant and the Allocation Scheme once selected can be changed as per the Rules, Regulations and Circulars issued from time to time. Initially the Allocation Scheme is intimated to the Pension Fund Manager through a Prescribed Application Form.
9. If subsequent to receipt of the application by the Distributor or Pension Fund Manager, but prior to issue of the Units, the application is found by the Registrar or the Distributor to be incomplete or incorrect in any material manner, the Registrar or the Distributor will advise the applicant in writing to remove the discrepancy, in the meanwhile the application will be held in abeyance up to fifteen days and in the event the discrepancy is not removed in the said fifteen days, the amount will be refunded out of collection account without any profit or mark-up.
10. If the contribution made through cheque and the cheque has been returned unpaid, the application for Contribution will be rejected.
11. The Applicant must obtain a copy of the application or the receipt signed and stamped by an authorized officer of the Distributor /Sales Agents acknowledging the receipt of the application, copies of other documents prescribed therein and the demand-draft, pay-order, cheque or deposit slip, as the case may be, submitted together with the application. Such receipt for applications and payment instruments (other than cash) shall only be validly issued by the Distributors. However, in case of online Contributions, if any offered by the Pension Fund Manager and with consent of trustee and approval by the Commission the online acknowledgement will be sufficient for the purpose of this clause.
12. If an application received pursuant to this clause is found by the Pension Fund Manager, Registrar or the Distributor to be complete and correct in all material respects, the Pension Fund Manager, Registrar or the Distributor shall advise the applicant in writing of the opening of the applicant's Individual Pension Account with the Pension Fund Manager and shall also advise the applicant number of such account.
13. The Pension Fund Manager may make arrangements to accept applications for opening Individual Pension account through electronic means upon satisfaction of the Trustee, subject to the conditions of Customer Due Diligence (CDD) / Know Your Customer Policy (KYC), specified by the Commission through notifications / circulars / Rules / Regulations, etc.
14. Subject to the State Bank of Pakistan's Regulations, outside Regulators or any other



authority, the Pension Fund Manager will make arrangements, from time to time, for receiving the Forms and payments from outside Pakistan from Non-Resident Pakistanis (NRPs), having valid CNIC, NICOP or POC who meet with the eligibility criteria and will disclose these arrangements through its website and its offices and agents outside Pakistan.

15. The prescribed forms can be lodged with any Distributor or sales agents. Sales Agent or authorized representatives of the Distributor can collect these Forms for onward submission to the Distributor or Pension Fund Manager.
16. If an employer decides to contribute on behalf of a Participant, the employer must register with the Pension Fund Manager by filing and submitting the required form entitled **'Employer and 3rd Party Contributor Form'**.
17. The application procedure described in this clause may be altered by the Pension Fund Manager from time to time with the approval of the Commission and the Trustee. Such alterations shall be announced through Supplementary Offering Documents issued by the Pension Fund Manager from time to time and shall be deemed to correspondingly alter the provisions of this clause without the need to execute a Supplementary Constitutive document.

5.3 Allocation/ Issue of Units

- a. The Prescribed Application Form, complete in all respects including payment (on realized basis), received by the Pension Fund Manager at its Authorized offices during Business Hours on any Dealing Day from any Participant shall be immediately credited to the Individual Pension Account of the Participant after deducting the Front-end fee (sale charges) or Takaful contributions if any. Such amount in the Individual Pension Account shall be used to purchase the Units of Sub-Funds of the Pension Fund as per the Allocation Scheme selected by the Participant, at the Net Asset Value notified by the Pension Fund Manager at the close of that Dealing Day for each Sub-Fund. Any Form received after Business Hours will be transferred to the next Dealing Day.
- b. The Pension Fund Manager shall make reallocation of the Units between the Sub-Funds as per Rules and Offering Document to ensure that the allocation of Units of all the Participants is according to the Allocation Schemes selected by the Participants or where no selection has been made, according to the Default Allocation Scheme.

5.4 Contribution Procedures and Minimum Contribution

- a. A Participant or their employer, if any, may make Contributions in one lump sum or in installments during any Tax Year.
- b. The Offering Document shall stipulate the minimum amount of initial and subsequent Contribution that is required to open an Individual Pension Account and the Pension Fund Manager reserve the right alter the minimum amount through announcement on its website or through Supplementary Offering Document with the prior consent of the



Trustee and approval of the Commission. The Participant can make Contribution at any frequency into participant Individual Pension Account. Contribution made in Pension fund shall be subject to provision of the Rules and/ or the Regulations and/ or the Income Tax Ordinance, 2001.

- c. The Pension Fund Manager shall directly or through the Registrar send an acknowledgement of receipt of each Contribution along with a statement of account to the Participant within 10 Business Days of the receipt of the Prescribed Application Form complete in all respects along with realization of payment. Such account statement shall provide all the information as per Guidelines issued by the Commission in this regard.
- d. Dispatch of the account statement as an acknowledgment through registered post / courier/email/ any other electronic means shall be sufficient to meet the needs of the above obligation. However, for contributions routed through the employers only the acknowledgement receipt of documents provided to the employers shall suffice for the above obligation. Contribution or any other frequency as prescribed by the Commission from time to time.
- e. The Pension Fund may be marketed in conjunction with group life or other Takaful schemes or any other scheme. Such supplementary schemes shall not be compulsory for all the Participants to join, and the Trustee shall on the instruction of Pension Fund Manager deduct any premium payable in respect of such schemes from the Contributions of those Participants who have opted to join such schemes. The premium in respect of such schemes deducted by the Trustee from the Contributions of any Participant shall be paid by the Trustee on the instruction of Pension Fund Manager to the relevant companies issuing such schemes for account of the Participant and only the net amount of Contributions received after deduction of such premium and any bank charges shall form part of the Trust Property.
- f. The Pension Fund Manager may make arrangements to accept contributions through electronic means upon satisfaction of the Trustee.
- g. Any alterations to the contribution procedure enunciated in above clauses arising out of amendments to or substitutions of the Rules and/or the Regulations and/or the Income Tax Ordinance, 2001 and/or the Income Tax Rules shall be announced by the Pension Fund Manager from time to time on its website and such alterations shall be deemed to correspondingly alter the provisions of the above clauses without the need for executing a supplemental constitutive document.

5.4.1 Minimum Investment Amounts

- (a) The minimum amount of Contribution to open an Account is Rs.1,000/- and the minimum amount for contribution to an existing account is Rs.500/- per transaction. There will be no penalties on delayed payments. The Pension Fund Manager may from time to time change



such minimum amount through announcement on its website or through Supplementary Offering Document, may require the prior approval of the Commission.

- (b) There is no maximum limit of Contributions to the Pension Fund. Participants can contribute any amount in one lump sum or in installments. However, tax credits will be available to the Participants up to a maximum allowable amount of contribution within any financial year according to the Income Tax Ordinance, 2001

5.5 Options and Procedures in case of Cessation, Temporary or Permanent, of Contributions by the Participants

The Pension Fund Manager shall allow the Participants or their employers, if any, to pay the desired contribution into the Pension Fund in one lump sum or in installments during any fiscal year.

There will be no penalties on delayed payments or temporary or permanent cessation of Contributions, Participants may continue to make the payments at any time till their retirement.

5.6 Individual Pension Account

- a) The Pension Fund Manager shall assign distinct number to Individual Pension Account held in the name of each participant.
- b) The net Contribution received in the Individual Pension Account shall be used for the purchase of the Units by the Pension Fund Manager and to allocate such number of Units to the relevant Sub-Funds in accordance with the Allocation Policy selected by the Participant and the Units shall be allocated at Net Asset Value notified by the Pension Fund Manager at the close of that Business/Dealing Day.
- c) Contributions shall not be treated as having been received from or on behalf of any Participant unless realized in the Bank account(s) of the fund by the Trustee in cleared funds and only such realized amount received in cleared funds shall be treated as the contribution received.
- d) The Pension Fund Manager shall make reallocation of the Units between the Sub-Funds as per Rules, Regulations and Offering Document to ensure that the allocation of Units of all the Participants are according to the Allocation Scheme selected by the Participants or where no selection has been made, a Pension Fund Manager, keeping in view the profile and age of the Participant, shall allocate the contributions preferably to an approved Lifecycle Allocation Scheme specified, and if such a scheme has not been offered, then allocate contributions to either Low Volatility or Lower Volatility Scheme
- e) if any Contribution is received from or on behalf of any Participant after the cut off timing on a day which is not a Business Day, it will be treated as having been received on the first following Business/Dealing Day.



- f) The Participant shall have a right to change Allocation Scheme as per the Rules, Regulations and Circulars issued from time to time.
- g) Individual Pension Account and the Units shall not be subject to any lien, pledge or encumbrance, attachment in the execution of a decree, nor shall it be chargeable or assignable; and any agreement to charge or assign an allowance shall be void, and on the bankruptcy of a Participant, no sum shall pass to any trustee or person acting on behalf of participant creditors. Provided that the individual pension account may be subject to be pledged, lien or encumbrance against the loan or advance given by the employer to the employee.
- h) The criteria of allocation may be subject to changes and modifications from time to time in accordance with the change in the Prescribed Investment Policy and Prescribed Allocation Policy. All such changes shall be announced by a Supplementary Offering Documents with the consent of the Trustee and shall be deemed to become part of this Trust Deed without the need to execute Supplementary constitutive document.

5.7 Change of the Pension fund/ Pension Fund Manager

- a) Participant shall be allowed to transfer whole or any part of their individual pension account with a particular Pension Fund Manager to another Pension Fund Manager or from one pension fund to another pension fund. For this purpose, the units shall be encased at the net asset value of each sub-fund notified on the working day prior to the date of transfer.
- b) Subject to VPS Rule 15 sub-rules (2) and (3), and provisions of Income Tax Ordinance, 2001, a participant shall be allowed to transfer their accumulated sum from an approved occupational savings scheme or an approved superannuation fund to a pension fund.
- c) No charge whatsoever called shall be deducted for transfer of the individual pension account from one Pension Fund Manager to another Pension Fund Manager or from one pension fund to another pension fund and from approved occupational savings scheme and approved superannuation fund to a pension fund.
- d) The Pension Fund Manager shall use any cleared funds received for the account of a Participant's Individual Pension Account from a Pension fund managed by another Pension fund manager to purchase such number of Units of the relevant Sub-Funds as is determined in accordance with Constitutive Documents and the Units shall be purchased at Net Asset Value notified at the close of the Business/Dealing Day on which such cleared funds are received by the Trustee.
- e) The transfer of individual Pension account from one Pension Fund Manager to another Pension Fund Manager or from one Pension fund to another Pension fund shall only take



place as per discretion of the participant and the notice for the change of the Pension Fund Manager or Pension fund, specifying the name of the new Pension Fund Manager or the Pension fund shall be sent by the participant at least seven working days before the effective date of the proposed change and the Pension Fund Managers shall record such transactions as transfer in the statement of account of the participant.

- f) The transferred amount shall be used to purchase the units of the sub-funds of the pension fund maintained by the new Pension Fund Manager at the net asset value notified at the close of the working day, of the receipt amount, on such percentage according to the specified allocation policy selected by the participant or default allocation policy as the case may be.
- g) In the event the Commission cancels the registration of the Pension Fund Manager as a Pension fund manager or discontinues the authorization of the Pension Fund, in each case in accordance with the Rules and other Applicable Laws, the Pension Fund Manager shall, as soon as practicably possible thereafter, transfer the Individual Pension Accounts of the Participants to Pension funds managed by other Pension fund managers as selected by the Participants or as directed by the Commission.
- h) Policy Holders having approved pension policies pursuant to Section 63 of the Income Tax Ordinance, 2001 and issued by Insurance/Takaful Companies before 30 June 2005 would be eligible to redeem their units and transfer the balance to their Individual Pension Account, with a Pension Fund Manager subject to these Rules. No charge whatsoever shall be deducted from such withdrawal. This may be subject to change due to any changes in or substitutions of the Income Tax Ordinance, 2001 and shall be deemed to become part of this document without the need to execute any Supplementary Constitutive document.

5.8 Retirement Age

- 5.8.1 A Participant may at any time before or after becoming a Participant choose or change his/her date of retirement which shall be any age between sixty and seventy years or twenty-five years since the age of first contribution to a Pension fund, whichever is earlier in accordance with rules.
- 5.8.2 The Pension Fund Manager shall send a notice to an Employee at least thirty days before the chosen date of retirement informing him/her the options available to him/her on retirement. The notice should be sent physically on the mailing address as well as electronically on email or cellular phone number.
- 5.8.3 If a Participant suffers from any of the following disabilities, as mentioned in Rule 17(2) of VPS Rules, 2005, which render the participant unable to continue any employment and the participant may, so elects, be treated as having reached the retirement age at the date of such disability and all the relevant provisions shall apply accordingly namely:
 - a. loss of two or more limbs or loss of a hand and a foot;



- b. loss of eyesight;
- c. deafness in both ears;
- d. severe facial disfigurement;
- e. loss of speech;
- f. paraplegia or hemiplegia;
- g. lunacy;
- h. advanced case of incurable disease; or
- i. any injury, wound or disease resulting in a disability due to which the Participant is unable to continue any work.

A doctor's assessment certificate confirming the said disability shall be required for this purpose.

5.9 Benefits on Retirement

At the date of retirement of the Participant all the units of the sub funds of participant account shall be redeemed at the net asset value notified at close of the day of retirement and the amount due shall be credited to participant individual pension account in the lower volatility scheme where no option is selected by the participant offered by the Pension Fund Manager. The Participant shall then have the following options, namely:

- (a) To withdraw any percentage of the amount from his individual Pension account subject to payment of tax in accordance with requirements of Income Tax Ordinance, 2001 (XLIX of 2001);
- (b) To use the remaining amount to purchase an annuity from Takaful Company/Pension Fund Manager/Window Takaful Company of participant choice, such payment shall be made directly to Takaful Company/Pension Fund Manager/ Window Takaful Company by the Trustee of the Fund on the instruction of the Pension Fund Manager; or
- (c) To enter into an agreement with the Pension Fund Manager to withdraw from the remaining amount, monthly installments following the date of retirement, according to an income payment plan, approved by the Commission.
- (d) the transfer of an individual income payment plan account from one Pension Fund Manager to another Pension Fund Manager or from one income payment plan to another income payment plan shall only take place once in a financial year and notice for the change, specifying the name of new Pension Fund Manager and the income payment plan shall be sent by the participant at least seven working days before the effective date of the proposed change.
- (e) At the expiry of the Approved Income Payment Plan according to clause (c) above, the Participant shall have option to use the outstanding balance in participant Individual Pension account to purchase an Approved annuity plan from Takaful Company/Pension Fund Manager / Window Takaful Company or buy an Approved income payment plan



for another term or to withdraw the amount from participant account subject to the conditions laid down in the Income Tax Ordinance, 2001.

- 5.9.1 According to the rules, the annuity purchased may be single life, joint or survivor life, level (with or without guarantee period), increasing, investment -linked and retail price index linked or with any additional features as may be offered by Takaful Company/Pension Fund Manager/Window Takaful Company.

5.10 Withdrawal of Funds before Retirement

- 5.10.1 On any Business Day/ Dealing Day and from time to time before the date of retirement a Participant may redeem the whole or any part of the Units held in participant Individual Pension Account subject to the conditions laid down in the Income Tax Ordinance, 2001. The withdrawals may be through single or multiple payments and may be liable to withholding tax or tax penalty, and in case any such liability exists the amount of withholding tax or tax penalty shall be deducted by the Pension Fund Manager from the amount withdrawn and such deducted amount shall be paid in the Government Treasury.
- 5.10.2 Where the request made by a Participant under clause 5.10.1 is for partial withdrawal from his Individual Pension Account, the request shall be given effect to by withdrawal of Units of Sub-Funds at the Net Asset Value at the close of the Dealing Day on which the request, complete in all respects was received in such proportion that the remaining balance in participant Individual Pension Account is in accordance with the Allocation Scheme last selected by the Participant. Afterwards, the Pension Fund Manager shall forward the request to the Trustee to make payment.
- 5.10.3 If a Participant intends to withdraw funds from his Individual Pension Account before the date of his/her retirement, he must give written notice of his intention to the Pension Fund Manager in the form prescribed for such purpose by the Pension Fund Manager, specifying therein whether the withdrawal is required of the whole or part of the Units held by him/her, and in the case of part withdrawal, the percentage of Units to be withdrawn.
- 5.10.4 The Pension Fund Manager shall ensure that the withdrawal/redemption form referred to in clause 5.10.3 shall be available from Authorized Branches of Distributors and Pension Fund Manager or on its official website and such form shall, if completed by the Participant and submitted to any Authorized Branch of distributor or Pension Fund Manager, shall be taken to be the notice to the Pension Fund Manager referred to in that clause.
- 5.10.5 On any Business Day being not later than the sixth (6th) Business Day after the Participant submitted the completed form to any Authorized Branch under clause 5.10.4, the Pension Fund Manager shall, subject to clause 5.10.2, withdraw the relevant number of Units held by Participant in Individual Pension Account at Net Asset Value notified at close of the day on which the Participant submitted the completed form as aforesaid or, if such day is not a Business Day, on the first Business Day following that day and the proceeds realized thereby shall be paid to the Participant subject to clause 5.10.1.



5.10.6 The provisions relating to withdrawal of funds before the date of retirement set out in clauses 5.10.1 to 5.10.5 may change due to amendments in or substitutions of the Rules and/or Regulations and/or the Income Tax Ordinance, 2001. Any such changes shall be deemed to become part of this Constitutive Documents without the need for executing supplemental Constitutive Documents.

5.11 Benefits on Death before Retirement

5.11.1 In case of death of a Participant before the date of retirement, all the Units of the Sub-Funds of the participant account shall be withdraw at Net Asset Value notified at close of the day on which information of the Participant's death is given in writing to the Pension Fund Manager by any nominee, executor, administrator or successor of the deceased Participant complete in all respects and acceptable to the Pension Fund Manager and/or Trustee. Provided that or, if such day is not a Business Day, the first Business Day following such day, and the proceeds realized thereby shall be transferred to participant Individual Pension Account in the lower volatility scheme offered by the Pension Fund Manager.

5.11.2 The total amount in the Individual Pension Account of the deceased Participant shall be divided among the successors /nominated survivors according to the succession certificate issued in accordance with law for the time being in force, and each successor/nominated survivors shall then have the following options, namely:

- (a) withdraw his/her share of the amount subject to the conditions laid down in the Income Tax Ordinance 2001
- (b) in accordance with rules transfer his/her share of the amount into his/her existing Individual Pension Account with the Pension Fund Manager or new individual Pension account or income payment plan account to be opened with a Pension Fund manager;
- (c) use participant share of the amount to purchase an approved annuity plan on his/her life from Takaful Company / Pension Fund Manager / Window Takaful Company, only if the age of the survivor is fifty-five years or more; or
- (d) use his/her share of the amount to purchase a deferred annuity on participant life from a Takaful Company/Pension Fund Manager/window Takaful Company to commence at age fifty-five years or later.

Such payment mentioned in clause (c) and (d) above will be made directly by the Trustee of the Fund to the Takaful Company/Pension Fund Manager/window Takaful Company without tax deduction on the instruction of the Pension Fund Manager.

5.11.3 Death benefits paid to the successor under any group life cover taken out by the Participant as part of the Pension Fund shall be additional benefits payable to them.

5.11.4 After a Participant's death the only persons recognized by the Registrar, Trustee and the Pension Fund Manager as having title to the Sub-Fund Units held in the deceased Participant's Individual Pension Account shall be the executors, administrators or successor(s) of the



deceased Participant according to the succession certificate issued in accordance with law for the time being in force.

5.11.5 Any person or persons becoming entitled pursuant to above clause to any Sub-Fund Units in consequence of the death of any Participant may, subject as hereinafter provided, upon producing such evidence as to participant title as the Registrar, Trustee and Pension Fund Manager shall think sufficient, exercise rights under clause 5.11.2;

5.11.6 The Pension Fund Manager or the Trustee shall not be liable or be involved in any manner whatsoever in any disputes among the nominated survivors and/or such executors, administrators or successors and/or the rest of the legal heirs or the legal representatives of the deceased Participant;

5.11.7 The limitations, restrictions and provisions of this Constitution Documents related to withdrawal of funds before retirement shall be applicable to withdrawals pursuant this clause.

5.12 Nomination of the Heir/ Survivor

The successor(s) or nominated survivor(s) of the deceased Participant shall be the only person(s) recognized by the Trustee as having any title or interest in the Units held by such Participant in their Individual Pension Account, provided that the Registrar or the Pension Fund Manager or the Trustee may at their discretion request the successor(s) or nominated survivor(s) to provide succession certificate in accordance with law for the time being in force, if they consider the same to be necessary.

5.13 Instruction from the Participants

All the instructions received from a Participant or participant heirs/successors according to the succession certificate or executors or administrators or survivors with regard to this Pension Fund shall be in writing or such other means as mentioned in the Offering Document or on the Pension Fund Manager website from time to time.

5.14 Allocation Scheme

5.14.1 The Pension Fund Manager shall offer different Allocation Schemes to the Participants to choose from, allowing the Participants to adopt a focused investment strategy, according to their risk/return requirements, through Sub-Funds of the State Life Islamic Retirement Savings Fund, managed by the Pension Fund Manager. The risk profile of each Allocation Scheme shall be dependent on the percentage allocation of that Scheme in the various Sub Fund. Each Allocation Scheme being offered can have exposure to the following sub-Funds:

- (a) SLIRSF Equity Sub-Fund;**
- (b) SLIRSF Debt Sub-Fund; and**
- (c) SLIRSF Money Market Sub-Fund**

The Contributions received from any Participant shall be allocated amongst the Sub-Funds in accordance with the Allocation Scheme selected by the Participant.

The Participant has the option to select any one from the Allocation Schemes or products being offered by the Pension Fund Manager at the date of opening of Individual Pension



Account. The Participant may change the Allocation Scheme as and when required till retirement subject to Rules, Regulations, Directions, Circulars etc. Form for the change in Allocation Scheme must be sent by the Participant in writing or in such other form as may be acceptable to the Pension Fund Manager.

5.14.2 The Pension Fund Manager is offering the following SIX Allocation Schemes to allocate the Contributions received from the Participants in the Sub-Funds:

a) High Volatility Allocation Scheme

This scheme shall allocate a major portion of the Contribution to the Equity Sub-Fund; the remaining portion will go to the Debt Sub-Fund, while there will be no allocation to the Money Market Sub-Fund.

The scheme is therefore suitable for participants with a high-risk tolerance and preference for equity exposure.

Allocation Scheme	Equity Sub- Fund	Debt Sub- Fund	Money Market Sub- Fund
High Volatility	Min 65%	Min 20%	Nil

b) Medium Volatility Allocation Scheme

This scheme shall seek to allocate a major portion of the Contributions to the Equity Sub-Fund and Debt Sub-Fund and the remaining portion will be allocated to the Money Market Fund.

This scheme aims to strike a balance between investments in equities and debt, thereby suiting Participants who have moderate risk tolerance.

Allocation Scheme	Equity Sub- Fund	Debt Sub- Fund	Money Market Sub- Fund
Medium Volatility	Min 35%	Min 40%	Min 10%

c) Low Volatility Allocation Scheme

This scheme shall allocate a major portion of the Contribution to the Debt Sub Fund and the remaining portion will be allocated between the Equity Sub-Fund and Money Market Sub- Fund. By placing a major portion of the funds in the Debt Sub-Fund, this scheme offers a low risk and less volatile avenue to Participants. It is therefore appropriate for individuals who are relatively risk averse in nature and prefer safer investments.

Allocation Scheme	Equity Sub- Fund	Debt Sub- Fund	Money Market Sub- Fund



Low Volatility	Min 10%	Min 60%	Min 15%
----------------	---------	---------	---------

d) Lower Volatility Allocation Scheme

This scheme shall not allocate any portion of the Contribution to the Equity Sub-Fund. The entire contribution will be allocated between the Debt Sub-Fund and the Money Market Sub- Fund. This scheme takes no exposure to equities, which are considered risky securities. By investing only in debt and money market instruments, this scheme is the least risky amongst the approved four schemes, prescribed by the Commission.

Allocation Scheme	Equity Sub- Fund	Debt Sub- Fund	Money Market Sub- Fund
Lower Volatility	Nil	Min 40%	Min 40%

e) Customized Allocation Scheme

Customized Allocation Scheme offers a personalized investment allocation between the equity and fixed income instruments through investments in Equity Sub-Fund, Debt Sub-Fund and Money Market Sub-Fund. Participants can choose varying allocations between the Sub-Funds in line with their own risk/return profile.

Allocation Scheme	Equity Sub- Fund	Debt Sub- Fund	Money Market Sub- Fund
Customized	0-100%	0-100%	0-100%

f) Life Cycle Allocation Scheme

This Allocation Scheme provides the Participants with an option to allocate their contributions in a pre- planned allocation strategy as per their age. The younger the Participant the higher the allocation towards equity market due to his/ her risk-taking ability with reference to long term horizon.

Age	Equity Sub-Fund	Debt Sub-Fund	Money Market Sub- Fund
18 – 30 years	70%	30%	0%
31 – 40 years	50%	40%	10%
41 – 50 years	25%	50%	25%
51 – 60 years	10%	40%	50%
61 years and above	0%	30%	70%



State Life Islamic Retirement Saving Fund (SLIRSF) Offering Document

The exact exposure to each Sub Fund within the Allocation Scheme would be decided by the Pension Fund Manager from time to time and informed through Pension Fund Manager website. Changes to the percentage exposure under an Allocation Scheme shall be carried out in a manner as prescribed by the Commission from time to time.

State Life Islamic Retirement Savings Fund may provide additional allocation schemes or products subject to approval of the Commission.

5.14.3 In the event no choice is made by the Participant, a Pension Fund Manager, keeping in view the profile and age of the participant, shall allocate the Contributions preferably to an approved Lifecycle Allocation Scheme specified, and if such a scheme has not been offered, then allocate Contributions to either Low Volatility or Lower Volatility or as prescribed by the Commission.

5.14.4 If Pension Fund Manager want to provide additional allocation schemes or products, it may do so subject to the approval of the Commission.

5.14.5 The percentage allocations of each Allocation Scheme will be changed at least once in a given financial year as the Pension Fund Manager deems fit, if in the opinion of the Pension Fund Manager the market conditions warrant such change and such change shall be intimated to the Participants in a manner that the Pension Fund Manager may deem appropriate. The range between which the percentage allocations of each Allocation Scheme may be changed, which are based on the guidelines and criteria announced by the Commission from time to time, are as given below:

Allocation Scheme	Equity Sub- Fund	Debt Sub- Fund	Money Market Sub- Fund
High Volatility	Min 65%	Min 20%	Nil
Medium Volatility	Min 35%	Min 40%	Min 10%
Low Volatility	Min 10%	Min 60%	Min 15%
Lower Volatility	Nil	Min 40%	Min 40%
Customized	0-100%	0-100%	0-100%
Life Cycle	Varying allocation between the sub -funds in accordance with the age and risk tolerance capabilities of the participant.		

5.14.4 The Participant shall have the option to change selection Allocation Scheme to another Allocation Scheme being offered by the Pension Fund Manager as and when required till retirement. The form for the change in Allocation Scheme shall be provided to the Pension



Fund Manager by the Participant before the relevant date, in writing through submission of the Change of Allocation Scheme Form or in such form as may be acceptable to the Pension Fund Manager. On the relevant date, the Units shall be reallocated in accordance with the new Allocation Scheme and any subsequent allocations and reallocations shall be made according to the new selected Allocation Scheme.

- 5.14.5 As a part of the Prescribed Application Form, each Participant shall provide an undertaking that participant has no objection to the investment/allocation policy determined by the Commission and offered by the Pension Fund Manager and participant is fully aware of the risks associated with them of Allocation Scheme.

5.15 Allocation among the Sub-Fund

- 5.15.1 Each Participant of the Pension Fund will in turn be the holder of Units of the Sub-Funds in proportions determined in accordance with the Allocation Scheme selected by the Participant as per clause 5.14.2 of this Offering Document or, In the event no choice is made by the Participant, a Pension Fund Manager, keeping in view the profile and age of the participant, shall allocate the Contributions preferably to an approved Lifecycle Allocation Scheme specified, and if such a scheme has not been offered, then allocate Contributions to either Low Volatility or Lower Volatility or as prescribed by the Commission.
- 5.15.2 The Pension Fund Manager shall manage the equity allocation within the prescribed limits of the scheme using various investment management tools. Increase or decrease in allocation to the Debt Sub Fund (normally higher-yielding than money market investments) in preference to the Money Market Sub Fund (normally lower risk and lower return investments) will be based on anticipated profit rates movements and risk-reward profile of underlying debt instruments.
- 5.15.3 The Pension Fund Manager will make reallocation of the Sub-Fund Units between the Sub-Funds at least once a year to ensure that the allocations of Sub-Fund Units of all the Participants are according percentages selected by the participants or where no selection has been made according to the prescribed allocation scheme.
- 5.15.4 All Participants of the Pension Fund will, in turn, be holders of Units of the Sub-Funds in various proportions or, in certain conditions, of cash held in an appropriate bank account in the name of the Trustee.

5.16 Allocation Policy

- 5.16.1 A Participant has the option to select any Allocation Scheme in relation to the Contributions and shall make such selection at the date of opening his/her Individual Pension Account. A Participant may change any Allocation Scheme selected in relation to his/her Contributions to a different Allocation Scheme selected by him by sending Form of the change to the Pension Fund Manager as per the Allocation Policy approved by the Commission.
- 5.16.2 The number of Units of any Sub-Fund purchased out of Contributions made by any Participant shall be determined in accordance with the Allocation Scheme selected by the Participant.



- 5.16.3 The Pension Fund Manager may assist a Participant in the selection of a suitable Allocation Scheme but the final decision and responsibility as to which Allocation Scheme to choose shall lie with the Participant.
- 5.16.4 The Pension Fund Manager or the Registrar shall ensure a built-in mechanism to facilitate the changes in asset allocation automatically between the Sub-Funds within the limits of the Prescribed Allocation Policy as and when required by the Pension Fund Manager.
- 5.16.5 If any Participant fails to select an Allocation Scheme at the date of opening Individual Pension Account, the Pension Fund Manager shall allocate Contributions of the Participant as per clause 5.14.2 of this Offering Document
- 5.16.6 The Default Allocation Scheme mentioned above, shall then be deemed to be a Participant's selected Allocation Scheme in the event that the Participant fails to select an Allocation Scheme at the date of opening participant Individual Pension Account.
- 5.16.7 The Pension Fund Manager shall make re-allocation of the Sub-Fund Units between the Sub-Funds at least once a year to ensure that allocations of Sub-Fund Units of all the Participants are according to the Allocation Schemes selected or deemed to be selected by the Participants.
- 5.16.8 Individual Pension account shall not be subject to any lien, pledge or encumbrance, attachment in the execution of a decree, nor shall it be chargeable or assignable; and any agreement to charge or assign an allowance shall be void, and on the bankruptcy of a participant, no sum shall pass to any trustee or person acting on behalf of participant creditors. Provided that the individual Pension account can be subject to be pledged, lien or encumbrance against the loan or advance given by the employer to the employee.;
- 5.16.9 Each Participant shall provide an undertaking when establishing their Individual Pension Account or when selecting or deemed to be selecting an Allocation Scheme that they have no objection to the Investment Policy and the Approved Allocation Policy and that they are fully aware of the risks associated with the Allocation Scheme selected by them.
- 5.16.10 The criteria of allocations may be subject to changes and modifications from time to time in accordance with the changes in the Investment Policy and the Prescribed Allocation Policy. All such changes shall be announced through Supplementary Offering Documents.

5.17 The Method of Determining Net Assets value of the Pension Fund

Net Assets of the Pension Fund will comprise of the Net Assets of all the Sub Funds, Individual Pension Account, Approved Income Payment Plan, and any other assets in any other account related to the Pension Fund.

Net Asset Value of the Unit of each Sub-Fund shall be calculated on the basis of the Sub Fund's total Net Asset divided by the number of outstanding Units in that Sub-Fund.

NET ASSET VALUE OF SUB FUNDS: Net asset value in relation to a Sub-Fund means the excess of total value of assets over total value of liabilities of the Sub -Funds. The values of assets and liabilities will be computed in the manner specified in the Rules, Regulations or as may be



specified by the Commission from time to time.

5.18 Frequency of Valuations of the Net Assets value and Dealings etc;

- 5.18.1 The valuation of the Sub-Fund Units will be carried out on each Business Day and any other day determined by the pension fund manager.
- 5.18.2 The valuation shall be conducted as at the close of a Business Day.
- 5.18.3 Contributions from Participants and requests for withdrawals and transfer to other pension fund manager will be received on all Business Days.
- 5.18.4 The Dealing Days shall be all Business Days when banks and stock exchange both are open for normal business, or as notified otherwise by the Pension Fund Manager from time to time and made available on the website of the Pension Fund Manager. The Cut-off timing is disclosed in **Annexure "E"**.
- 5.18.5 The Net Asset Value of each Sub-Fund means the excess of assets over liabilities of the Sub-Fund, divided by the number of Units outstanding of the respective Sub-Funds, such excess being computed in the manner as specified in the Rules, the Regulations from time to time. Such sum shall be rounded off to the nearest four decimal places.

5.19 Unit Pricing and the Circumstances under which it can Change

- (a) Units of the Sub-Funds will be priced at Net Asset Value per Unit determined at the close of the Business Day as per criteria given in the Rules and amendment therein from time to time.
- (b) Unit pricing may change from time to time subject to change in Rules or the Regulations without any need to register the supplementary Constitutive Documents.

5.20 The Mode of Announcement of Net Asset Value and unit price

The Net Asset Value of Units determined by the Pension Fund Manager shall be made available to the public on every dealing day at office of the Pension Fund Manager. The Pension Fund Manager shall also make it available on its website and the website of the Mutual Fund Association of Pakistan (MUFAP).

Any sum or unit price computed under this Offering Document shall be rounded to the nearest four decimal places.

5.21 Payment of Proceeds on Withdrawals and Transfers

- 5.21.1 Payment of proceeds on withdrawals and transfers shall be determined as per the Rules and the Income Tax Ordinance, 2001.
- 5.21.2 The Trustee shall, at any time during the life of the Pension Fund, authorize withdrawal from the Individual Pension Account through withdrawal of Units of Sub Funds through the authorized offices of the Fund.
- 5.21.3 The amount payable on withdrawal shall be paid to the Participant or, in accordance with the constitutive documents, to participant, nominated successors according to the succession



certificate, or executors, or administrators by crossed cheque, pay order, banker cheque or transfer to their designated banker or Takaful Company/Window Takaful Company as the case may be, provided that the documents are complete and have been found as satisfactory, not later than the sixth (6th) Business Day from the date of presentation of the duly completed “Early withdrawal Form” at any Authorized Branch.

- 5.21.4 The Pension Fund Manager shall ensure that adequate records in respect of the reason for any payment made are maintained.
- 5.21.5 On receiving the Early Withdrawal Form mentioned in sub clause 5.21.3 above, complete in all respects, the Pension Fund Manager will withdraw the required Units of the Sub-Funds equal to the requested withdrawal amount at the Net Asset Value prevailing on the close of the Business Day on which the request was received.
- 5.21.6 In the event of notification of death, or retirement (through 30 days’ notice), the Pension Fund Manager shall automatically with draw all the Units from the Sub-Funds of the respective Participant on the close of the Business Day at which the date of retirement falls or death of a Participant has been notified. The proceeds of Units redeemed will be credited to the Participant’s Individual Pension Account. The Participants or their nominated survivors, executors, administrators, or successors as per succession certificate, as the case may be, shall be entitled to withdraw amounts from the Pension Fund in accordance with the provisions of the Trust Deed, the Rules and any circulars and notices.
- 5.21.7 The transfer of individual pension account from one Pension Fund Manager to another Pension Fund Manager or from one pension fund to another pension fund shall only take place as per the discretion of the participant and the notice for the change of the Pension Fund Manager or pension fund, specifying the name of the new Pension Fund Manager or the pension fund shall be sent by the participant at least seven working days before the effective date of the proposed change and the Pension Fund Managers shall record such transactions as transfer in the statement of account of the participant.
- 5.21.8 Participants may make transfer requests, by filling the “Change of Pension Fund Manager/Pension Fund Form” and submitting the same with any authorized Distributor or designated offices of the Pension Fund Manager.
- 5.21.9 On receiving a transfer request application mentioned in clause 5.21.7 above, complete in all respects, the Pension Fund Manager shall redeem all Units of the Sub-Funds in the Individual Pension Account of the respective Participant and shall transfer the requisite en-cashed/ with draw amount to the requested pension fund/pension fund manager.
- 5.21.10 For the purposes of purchasing (issuance) and withdrawing (encashment) of Units of the respective Sub Fund, the Pension Fund Manager shall announce the Net Asset Value of each Sub-Fund at the close of each Dealing Day.
- 5.21.11 The Distribution Companies, Pension Fund Manager and Registrar shall verify the particulars given in the applications for withdrawals and transfers.



- 5.21.12 In the event that any withdrawal request or request to transfer the whole or any part of a Participant's Individual Pension Account is incomplete in any respect, the Pension Fund Manager or the Registrar shall inform the Participant of the discrepancies within one week of the receipt of the request. The payment shall not be made unless all discrepancies have been removed.
- 5.21.13 In the event requests for transfer or withdrawal from the Pension Fund would result in withdrawal of Units on any day in excess of ten per cent (10%) of the issued Units of any Sub-Fund, the transfer or withdrawal requests so in excess may be deferred in accordance with the procedure set out in clause 5.23 of this Offering Document.
- 5.21.14 The receipt of a Participant or, in accordance with the Constitutive Document, of the participant, executors, administrators or successors according to the succession certificate, or banking documents showing transfer to the Participant or, in accordance with the Constitutive Document, to the participant, executors, administrators or successors, or in accordance with their instructions to any designated banker, Takaful/ Window Takaful Company or another pension fund, as the case may be, or proof of issue of a cheque and its mail to the Participant's or, in accordance with the Constitutive Document, to the participant', executors', administrators' or successors' address for or of any moneys payable in respect of the Participant's Individual Pension Account shall be a good discharge to the Trustee and the Pension Fund Manager in respect of such moneys.
- 5.21.15 The Pension Fund Manager will make arrangements, from time to time, for receiving withdrawal forms from outside Pakistan and payment of withdrawal amounts outside Pakistan, and will disclose these arrangements through its website and its Distributors and agents outside Pakistan.
- 5.21.16 The method for payment of proceeds shall be subject to change due to any changes prescribed by the Commission under the Rules and such changes shall be deemed to become part of the Constitutive Document without the need to execute any Supplementary Offering Document.
- 5.21.17 The Pension Fund Manager may avail financing from any Islamic Bank or Islamic Window of Commercial Bank, with the consent of the Trustee for meeting withdrawal requests or transfer of funds to other Pension Fund Managers and such financing shall not exceed limits provided in the Rules.

5.22 Withholding Tax

The Trustee on the advice of the Pension Fund Manager shall withhold any tax or tax penalty from payments to the Participants or, in accordance with the Constitutive Document, to their, executors, administrators or successors, as the case may be, applicable under the Income Tax Ordinance, 2001 and shall deposit the same in the Government treasury.

5.23 Dealing, Suspension, and Deferral of Dealing

5.23.1 Temporary Change in the Method of Dealing 'Or' Suspension of Dealing

Under the circumstances mentioned in the Offering Document, the Pension Fund Manager may request the Trustee to consent to a temporary change in the method of dealing in Units



of all or any of the Sub-Funds. The Pension Fund Manager may, at any stage with the consent of the Trustee and intimation to the Commission, suspend the dealing of Units and for such periods it may so decide. Such suspension shall be immediately communicated to the Participant through publication on the website of Pension Fund Manager and through respective email to the participants.

5.23.2 Suspension of Fresh Issue of Units

The Pension Fund Manager may, with consent of the Trustee and under intimation to the Commission, at any time, subject to the Rules, suspend acceptance of all or any class of Contributions and suspend the issue of fresh Units in relation to such Contributions; provided that any such suspension shall not affect making of Contributions by the existing Participants. The Pension Fund Manager shall immediately notify the Commission if dealing in Units as provided in this Clause 5.23.1 is suspended and shall also have that fact published immediately following such decision, on the website whereby the Net Asset Values of the Units affected by any suspension of Contributions are normally published. The Pension Fund Manager shall also inform the respective existing unitholders about the fact while communicating that such unitholders are still eligible to make their respective contributions.

5.23.3 Refusal to Accept the Contributions

The Pension Fund Manager or the Distributor may at any time refuse to accept any Contribution in any of the following cases:

- a. In case the contribution is contrary to the Know-Your-Customer (KYC) rules or policy of the Pension Fund Manager or any other Applicable Laws relating to money laundering that the Pension Fund may be subject to or that the Pension Fund Manager may frame for self-regulation;
- b. In case the contribution is made by an applicant who has not provided a valid CNIC or NICOP Number or POC number;
- c. In case the contribution is contrary to the Applicable Laws of the foreign jurisdiction that the Pension Fund or the Participant or prospective Participant may be subject to or if accepting the contribution may subject the Fund or the Pension Fund Manager to additional regulations under the foreign jurisdiction;
- d. If accepting the contribution would in any case be contrary to the interests of the Pension Fund Manager or the Pension Fund or the Participants; or
- e. If advised by the Commission to do so.

5.23.4 Suspension of withdrawal of Units/ Withdrawal of Funds

The Pension Fund Manager may with the consent of the Trustee and intimation to the Commission suspend withdrawal from any of the Sub Funds, subject to the Rules / the Regulations at any time during:



- a. Extraordinary circumstances including war (declared or otherwise), natural disasters, a major breakdown in law and order, breakdown of the communication system, closure of Stock Exchange on which any of the Securities invested in by the Pension Fund are listed, closure of banking system or strikes or other events that render the Pension Fund Manager or the Distributors unable to function;
- b. The existence of a state of affairs, which in the opinion of the Pension Fund Manager, constitutes an emergency as a result of which disposal of any Investment would not be reasonably practicable or might seriously prejudice the interests of the Pension Fund or of the Participants;
- c. Break down in the means of communication normally employed in determining the price of any Investment; or
- d. When remittance of money cannot be carried out in reasonable time and if the Pension Fund Manager is of the view that it would be detrimental to the remaining Participants to withdraw Units at a price so determined in accordance with the Net Asset Value (NAV); and
- e. Execution of withdrawal of Units on any Business Day would result in more than ten percent (10%) of the issued Units of any Sub-Fund being withdrawn; provided that any suspension or deferral of withdrawal of Units shall not affect any Approved Income Payment Plans.

The Pension Fund Manager may announce, with the consent of the Trustee and intimation to the Commission, a suspension or deferral of withdrawal and such a measure shall be taken to protect the interest of the Participants in the event of extraordinary circumstances or in the event withdrawal requests accumulate in excess of ten (10) per cent of the Units of the pertinent Sub-Fund in issue or ten (10) per cent of the pertinent Sub-Fund's NAV. In the event of a large number of withdrawal requests accumulating, the requests may be processed in a Queue System and under extreme circumstances the Pension Fund Manager may decide to wind up the Pension Fund by transferring the assets and records to another Pension Fund Manager with the Prior approval of the Commission.

Such suspension or queue system shall end on the day following the first Business Day on which the conditions giving rise to the suspension or queue system shall in the opinion of the Pension Fund Manager have ceased to exist and no other condition under which suspension or queue system is authorized under the Constitutive Documents exists. In case of suspension and invoking of a queue system and end of suspension and queue system the Pension Fund Manager shall immediately notify the Commission and the Trustee and also inform Participants through its website and participant's respective email addresses.

5.24 Queue system

If the Pension Fund Manager suspends or defers the withdrawal of Units of any Sub Fund pursuant to Clause 5.23.4, the Pension Fund Manager shall invoke a queue system whereby withdrawals initiated for the affected Units shall be processed on first come- first-served basis for such of the affected Units as do not exceed ten percent (10%) of the issued Units of the



relevant Sub-Fund. Where it is not practical to determine the chronological ranking of any initiated withdrawals in comparison to other withdrawals initiated on the same Business Day, such initiated shall be processed on a proportional basis proportionate to the size of each initiated withdrawal. Withdrawals of Units in excess of 10% of the issued Units of the relevant Sub-Fund shall be treated as initiated on the next Business Day; provided that if the carried over withdrawals or the carried over withdrawals together with the fresh withdrawals initiated on such next Business Day together exceed ten per cent (10%) of the issued Units of the relevant Sub Fund, such withdrawals shall once again be processed on a first- come-first-served basis and the process for withdrawals Units as described in this Clause 5.23.4 shall be repeated and shall continue till such time the outstanding initiated withdrawals come down to a level below ten percent (10%) of the then issued Units of the relevant Sub Fund.

5.25 De-authorization and winding up of the Pension Fund

- 5.25.1 The duration of the Pension Fund shall be perpetual and shall not be wound up by way of liquidation.
- 5.25.2 If the Pension Fund Manager does not wish to maintain the authorization of the Pension Fund, it shall apply to the Commission to de-authorize the Pension Fund by giving at least three (03) months or such other notice as allowed by the Commission in writing to the Participants, the Trustee and the Commission, subject to conditions of the Rules and/or the Regulations.
- 5.25.3 In the event the Pension Fund Manager is of the view that the quantum of withdrawal/redemption requests that have built up shall result in the Sub-Funds or the Pension Fund being run down to an unmanageable level or it is of the view that the sell-off of assets is likely to result in a significant loss in value for the Participants who are not withdrawing, it may apply to the Commission to de-authorize the Pension Fund. In such an event, the queue system, if already invoked, shall cease to apply.
- 5.25.4 The Pension Fund may also be de-authorized by the Commission on the grounds provided in the Rules and/or the Regulations.
- 5.25.5 Upon the Pension Fund being de-authorized, the Pension Fund Manager shall suspend receiving contributions forthwith from any of the Participants from the date of issue of the notice under this clause proceed to transfer all the records of Individual Pension Accounts and books of accounts of the Pension Fund to another pension fund manager.
- 5.25.6 The Trustee shall ensure that accounts of the Pension Fund till the day of the transfer to the new Pension Fund Manager are audited by the Auditor of the Fund and the audit and Trustee report is submitted within one month from the date of such appointment, to the Commission, the new pension fund manager and the trustee (in case of any new appointment). The Trustee with the prior approval of the Commission shall decide the cost of such interim audit and the same shall be charged to the Pension Fund with the prior approval of the Commission.
- 5.25.7 Once the Pension Fund has been de-authorized by the Commission, the Pension Fund Manager may, after transferring all the records of Individual Pension Accounts and books of accounts of the Pension Fund to the new pension fund manager, wind up the Pension Fund



under the provisions of the Rules and/or the Regulations and in the court of competent jurisdiction.

- 5.25.8 In case the Pension Fund Manager is found guilty and the Commission decides it to be managed by another Pension Fund Manager; its cost of audit should be borne by the existing Pension Fund Manager rather than the participants.

5.26 Features of Group Takaful in the Pension Fund

- 5.26.1 The Pension Fund is offered in conjunction with Insurance scheme/Group Insurance Schemes and other optional benefits and the Trustee shall be authorized to deduct any insurance contribution or premium only from the contributions of those participants who have opted to join and contribute to such schemes. However, it should be clearly understood that it is not mandatory for the Participants to opt for the insurance scheme.
- 5.26.2 In the event the Subscriber/participant opts for a Takaful coverage with one of the Takaful companies, the Subscriber/participant will send the amount of the applicable Takaful premium along with participant contribution. The Trustee will pass on the Takaful contribution or Takaful premium to the Takaful Company on the instruction of Pension Fund Manager concerned as a free service to the Subscriber/participant.
- 5.26.3** The Pension Fund Manager may also offer free Takaful cover for accidental death, disability etc. Such free service may be terminated by the Pension Fund Manager at its discretion. Complete detailed of the insurance cover are covered in **Annexure 'F'** and on the website of the Pension Fund Manager.

6 FEES, CHARGES AND EXPENSES

All the following fees and charges are subject to change in Rule, Regulations or direction of the Commission without any need to alter this Offering Document.

6.1 Front-end fee (Sale Charges) Out of the Contributions

- 6.1.1 The Pension Fund Manager may charge front-end fee (Sale Charges) upto maximum limit prescribed by the Commission from time to time. Currently the limit is of front-end fee (sale charges) is up to 3% on all the contribution received from any participant of the pension fund. Unless such contribution are exempted from front end fee as prescribed in the rule.
- 6.1.2 The following contributions are exempt from Front-end fee (Sale Charges):
- Incoming transfer to a Participant's Individual Pension Account from another Pension fund manager;
 - Incoming transfer from pension policies approved under section 63 of the Income Tax Ordinance, 2001 and issued by Life /Takaful Companies before 30th June 2005; or
 - Such other contributions/transfers as may be declared by the Commission from time to time to be exempt from Front-end fee (sale charges).



- 6.1.3 The remuneration of Investment Facilitator / Sales Agents shall be paid exclusively from any Front-end fee (Sale charges) received by the Trustee and/or may be paid by the Pension Fund Manager when the Trustee pays the Front-end fee (Sale charges) to the Pension Fund Manager for onward payments to Distributors or Sales Agents. Alternatively, the Trustee may pay the same directly to the Distributors or Investment Facilitator / Sales Agents upon instructions of Pension Fund Manager, and no charges shall be made against the Fund Property/Trust Property in this respect. If the Front-end fee (sale charges) received by the Trustee is insufficient to pay the remuneration of the Distributors and Investment Facilitator / Sales Agents, the Pension Fund Manager shall make up the difference from its own resources.
- 6.1.4 Payments mentioned in above clause shall be made by the Trustee on the instruction of the Pension Fund Manager to Sales Agents and the Pension Fund Manager or, as the case may be, by the Pension Fund Manager to the Trustee, on monthly basis in arrears within thirty days following the end of the calendar month.
- 6.1.5 Any Distributor or Sales Agents, whether in Pakistan or overseas, shall not receive any amount of Contributions in his/her own account (so he/she will not be able to deduct any distribution fee on his/her own). Every cheque/demand draft /instrument shall be in the name of the Pension Fund and then the Trustee shall on the instructions of Pension Fund Manager, either directly or through the Pension Fund Manager, remit the commission to the Distributor/ Sales Agents as the case may be.
- 6.1.6 The Pension Fund Manager, at its sole discretion, may choose to reduce or altogether waive the Front-end fee (sale charges) to any Participant or employer. Once the Pension Fund Manager has made an exception to reduce or waive the Front-end fee (Sale Charges) for a contribution, accepted that contribution without imposing a Front-end fee (Sale Charges), the Pension Fund Manager may not later recharge that Front-end fee (Sale Charge). However, the decision by a Pension Fund Manager to reduce or waive a Front-end fee (Sale Charges) for one Participant or for one contribution of a single Participant does not obligate the Pension Fund Manager to reduce or waive the Front-end fee (Sale Charges) for other Participants' contributions or for future contributions of the same Participant.
- 6.1.7 The Front-end fee (Sale Charge) of up to 3% contribution may be subject to change due to any review by the commission and any change shall be deemed to become part of Constitutive document.

6.2 Remuneration of the Pension Fund Manager

- 6.2.1 The Pension Fund Manager shall be entitled to remuneration for its services out of the Trust Property by way of an annual management fee. The Management fee will be charged within allowed management fee caps viz., for Equity sub-fund up to 2.5%; Money Market sub-fund up to 1.0% and Debt sub-fund up to 1.25% calculated on a per annum basis of the average daily net assets of each sub fund during the year for determining the prices of the units of the Sub-Funds.



- 6.2.2 Any costs related to government levies on the charging of management fees shall be excluded when calculating the management fee for compliance with the prescribed regulatory caps. However, for Total Expense Ratio disclosure to unit holders, all costs, including taxes, shall be fully disclosed.
- 6.2.3 The remuneration due to the Pension Fund Manager shall be accrued on daily basis and paid on monthly basis, within fifteen (15) Business Days after the close of each month.
- 6.2.4 The Pension Fund Manager shall be responsible for the payment of all expenses it incurs from time to time in connection with its responsibilities as Pension Fund Manager. Pension Fund Manager shall not make any charge against the Participants or against the Fund Property or against any individual pension account for its services or for its expenses, except such expenses as are expressly authorized under the provisions of the Rules and the constitutive documents to be payable out of Fund Property. In consideration of the foregoing and save as aforesaid and as provided the Pension Fund Manager shall be responsible for the payment of all expenses incurred by the Pension Fund Manager from time to time in connection with its duties as Pension Fund Manager of the Trust. The Pension Fund Manager shall also bear all expenditures in respect of its secretarial and office space and professional management, including all accounting and administrative services provided in accordance with the provision of the constitutive documents. In the event that a Pension Fund Manager erroneously makes an incorrect charge, the Pension Fund Manager shall credit the incorrectly charged amount to the respective Sub-Funds, at its own expense.
- 6.2.5 The remuneration shall begin to accrue from the date of payment in full for all the Seed Capital Units subscribed by the Seed Investors in such manner as to achieve compliance with the undertaking given to the Commission by the Pension Fund Manager pursuant to **Rule 9(3)(b)** of the Rules (the “**Contribution Date**”). In respect of the first and the last Accounting Periods, such remuneration shall be prorated on the basis of the actual number of days during such period for which such remuneration has accrued against the total number of days during such period.

6.3 Remuneration of the Trustee

- 6.3.1 The Trustee shall be entitled to a monthly remuneration out of the Fund Property based on an annual tariff of charges annexed hereto (**Annexure "G"**), which shall be applied to the average daily Net Assets of the Pension Fund during such calendar month.
- 6.3.2 Such remuneration due to the Trustee shall be calculated and accrued on a daily basis and paid to the Trustee monthly in arrears within 15 business days following the end of each calendar month.
- 6.3.3 The Trustee shall bear all expenditures in respect of its secretarial and office space and professional management, including all administrative services in accordance with the provisions of the Constitutive document.



- 6.3.4 The remuneration shall begin to accrue from the date of payment in full of the Seed Capital units subscribed by the Seed Investors. For any period other than a full calendar month such remuneration will be prorated on the basis of the actual number of days for which such remuneration has accrued for the total number of days in the calendar month concerned.
- 6.3.5 In consideration of the foregoing and save as aforesaid the Trustee shall be responsible for the payment of all expenses incurred by the Trustee from time to time in connection with their duties as Trustee of the Trust. The Trustee shall not make any charge against the Participants or against the Trust Property or against the Distribution Account for their services or for their expenses, except such expenses as are expressly authorized to be paid out of the Trust Property under the provisions of the Rules and the constitutive document.
- 6.3.6 Any change in the remuneration of the Trustee agreed to by the Pension Fund Manager shall require the prior approval of the Commission.

6.4 Formation Cost

Formation Costs not exceeding one and half percent (1.5%) of the Seed Capital of each Sub-Fund can be charged to the Pension Fund and shall be amortized over a period of five years and shall not include any marketing, sales, promotional or educational, communication or any form of advertisement cost. Formation Costs, including expenditure incurred in connection with the establishment and authorization of the Pension Fund, shall be borne by the Pension Fund, paid to the Pension Fund Manager and amortized over a period of five years or as specified in the Rules/Regulations.

6.5 Other expenses

Other expenses that shall be chargeable to the Pension Fund and shall include the following in accordance with the Rules/ Regulations as may be amended from time to time:

- a) charges and levies of stock exchange, national clearing and settlement company and central depository company;
- b) auditors' fees and out of pocket expenses as billed by them;
- c) fees payable to the Commission;
- d) formation cost shall not exceed 1.5 per cent of the seed capital of each Sub-Fund which shall be amortized over a period of five years;
- e) brokerage and transaction costs related to investing and disinvesting of the assets of the Pension Funds;
- f) expenses incurred by trustee in affecting registration of all registerable assets in the name of the trustee;
- g) legal and related costs incurred in protecting the interests of the unit, certificate, participants of Pension Funds;
- h) bank charges, borrowing and financial costs;
- i) hedging costs including forward cover, forward purchase or option purchase cost;



- j) taxes, fees, duties and other charges applicable to Pension Funds on its income or its properties, including taxes, fees, duties and other charges levied by a foreign jurisdiction on investments made overseas;
- k) shariah advisory fee
- l) Any amount, which the Shariah Advisor may declare to be Haram and to be paid to Approved Charity Institution
- m) custody and Takaful costs relating to the safekeeping of the physical gold in the vault(s) for commodity sub-Fund; and
- n) any other expense or charge as may be allowed by the Commission.

6.6 Fees, Charges, Costs, etc. To be charged to the Sub-Funds

- 6.6.1 The Pension Fund Manager's management fee and the Trustee's remuneration shall be charged each Sub Fund in proportion to the Net Assets of each Sub-Fund.
- 6.6.2 Formation Cost shall be divided equally among all the Sub-Funds.
- 6.6.3 All other expenses shall be charged to Sub-Funds in proportion to their respective Net Assets and/ or on actual basis depending on the nature of the expense.

7 INVESTMENT POLICY, RESTRICTION, RISK DISCLOSURE AND DISCLAIMER

7.1 Objective of the State Life Islamic Retirement Savings Fund

The objective of introducing State Life Islamic Retirement Savings Fund is to provide individuals with an individualized, funded (based on defined contribution) as well as flexible Shariah compliant pension scheme which is managed by professional investment managers to assist them to plan and provide for their retirement. The design of the scheme empowers the participants to invest their pensions as per their desired asset allocations in a Shariah compliant manner.

7.2 Investment Policy of the Pension Fund

- 7.2.1 The Pension Fund Manager shall invest assets of The Pension Fund in those securities which are declared eligible by the Commission and Shariah Advisor of the Pension Fund from time to time.
- 7.2.2 The Pension Fund Manager shall make investment of the Pension Fund in a transparent, efficacious, prudent, sound manner and shariah compliant manner, and If the Fund or its Sub Funds, earn any income that is declared to be haram by Shariah Advisor, the same is to be paid to the approved charity institutions. The Pension Fund will initially consist of three Sub Funds which may be increased from time to time with the approval of Commission.
- 7.2.3 Prior to the Contribution Date the Trustee shall hold the Trust Property in respect of each Sub-Fund in cash in a separate account for each Sub-Fund with an Islamic Commercial Bank or Islamic window of conventional Bank having at least the minimum rating by a credit rating agency as specified by the Commission or shall invest such cash in short term Shariah



Compliant money market investments, as advised by the Pension Fund Manager. Any income from such investments shall accrue to the Sub Fund to which it pertains. After the Contribution Date all cash shall be invested by the Pension Fund Manager through the Trustee strictly in compliance with the Shariah guidelines and the Investment Policy laid out in Offering Documents related to each Sub Funds of State Life Islamic Retirement Savings Fund and at the direction of the Pension Fund Manager, in Authorized Investments or in cash.

- 7.2.4 All the investments of the State Life Islamic Retirement Savings Fund shall be strictly in compliance with Shariah and the Prescribed Investment Policy (subject to relaxations if any, granted by the Commission from time to time). Subject to prior approval of the Commission and Shariah Advisor, the Pension Fund may invest in foreign Shariah Compliant securities issued, listed or otherwise and traded outside Pakistan on such terms, guidelines and directions as may be prescribed by the Commission and the State Bank of Pakistan from time to time.

7.3 Investment Objective and Investment Policy of the SLIRSF Equity Sub-Fund

- 7.3.1 The Investment Objective of the Equity Sub Fund of the Pension Fund is to earn returns from investments in Pakistani Capital Markets.

- 7.3.2 The Investment Policy of the Equity Sub Fund is determined by the Commission. The current Investment Policy for equity sub-funds generally is determined by the Commission as stated below:

- a. Assets of an Equity Sub-fund shall be invested in equity securities which are listed on a Stock Exchange or for the listing of which an application has been approved by a Stock Exchange and Equity sub-fund shall be eligible to invest in units of Real Estate Investment Trusts and Exchange Traded Funds provided that entity/sector/group exposure limits as prescribed are complied with;
- b. At least ninety percent (90%) of Net Assets of an Equity Sub-fund shall remain invested in listed equity securities during the year based on rolling average investment of last Ninety (90) days calculated on daily basis;
- c. A pension fund manager may make investment maximum upto 5% of net assets of Equity Sub-Fund in units of Private Equity and Venture Capital Funds registered under Private Funds Regulations 2015;
- d. A pension fund manager may make investment maximum upto 10% of net asset; of Equity Sub-Fund in public offering and pre-initial public offering of equity securities;
- e. Investment in Shariah Compliant equity securities of any single company shall not exceed fifteen percent (15%) of Net Assets for Equity Sub-Fund or paid-up capital of that single company, whichever is lower;
- f. Pension fund manager may invest up to thirty five percent (35%) or the index weight. whichever is higher, subject to maximum of Forty percent (40%) of net assets of an Equity



Sub-Fund in Shariah Compliant equity securities of companies belonging to a single sector as classified by Pakistan Stock Exchange;

- g. Pension Fund Manager may invest any surplus (un-invested) funds in Shariah Compliant government securities having less than one-year time to maturity or keep as deposits with scheduled commercial banks which are rated not less than "A"; and
- h. Pension Fund Manager shall ensure that the investment in Shariah Compliant equity securities of the following, companies shall not exceed 10% of the net assets of the equity sub fund on monthly average basis:
 - a) Company is not traded on regular trading counter of the Pakistan Stock Exchange;
 - b) The minimum free float of the company is less than 15% of total outstanding shares;
Provided that this clause shall not be applicable on equity securities which are part of KMI-30 index at the time of investment. However, in case an equity security is subsequently excluded from KMI-30 index, the Pension Fund Manager shall rebalance the portfolio and ensure compliance within six months of such index re-composition.
 - c) The securities of the company are traded less than 50% of the total trading days during the last six months or from the date of listing as the case may be; and
 - d) Company's paid up capital is fully eroded owing to accumulated losses as per the annual audited account or half yearly limited scoped reviewed accounts, whichever is latest.
 - e) The Pension Fund Manager shall not invest the Net Assets of the Equity Sub Fund in any company against which winding-up proceedings have been initiated and/ or a qualified opinion on the going concern assumption has been issued by its statutory Auditor.

For this purpose, the following events shall be considered as winding-up events;

- i. A show cause notice for winding-up has been issued to the company by the Commission.
- ii. Winding-up petition is filed by creditors with a claim equivalent to at least 10% of the equity of the company as per latest accounts.
- iii. Winding-up petition is filed by the shareholders who own at least 10% of the company's paid-up capital.
- iv. Voluntary winding-up proceedings have commenced through passing of special resolution.

7.4 Investment Objective and Investment Policy of the SLIRSF Debt Sub-Fund

- 7.4.1 The investment objective of the Debt Sub Fund is to earn returns from investments in debt markets of Pakistan, thus incurring a relatively lower risk than equity investments.



7.4.2 The investment limits of the Debt Sub Fund are determined by the Commission. The current Investment Policy for debt sub-funds generally is determined by the Commission as stated below:

- a. The Debt Sub-fund shall consist of shariah compliant government securities, cash in Islamic bank account, money market placements, deposits, certificate of deposits (COD), certificate of musharakas (COM), TDRs, Islamic commercial paper, Sukuk or any other Islamic mode of placement, reverse repo, deposits/placements with shariah compliant Microfinance Banks and any other approved shariah compliant debt/money market security issued from time to time;

Note: Investment(s) in shariah compliant money market placements shall be made as per the authorized investment limits and may include the following mode of shariah transaction such as; principles of Bai'- Mu'ajjal, Bai'-Mussawwama, Bai'-Salam, Istisna'a, Mudaraba, Murabaha and Musharakah or any other structure as approved by the Shariah Advisor from time to time.

- b. Rating of any security in the portfolio shall not be lower than A+;
- c. Rating of any bank and DFI with which funds are placed should not be lower than A+;
- d. Rating of any NBFC and Mudaraba with which funds are placed shall not be lower than AA;
- e. At least 25% of the net assets shall be invested in deposit with scheduled Commercial banks (excluding TDRs) or government securities not exceeding 90 days' maturity;
- f. Exposure to any single entity shall not exceed 15% of net assets of debt sub fund;
- g. Exposure in debt security of an entity shall not exceed 15% of net assets for debt sub fund or 10% of size of the issue of that debt security, whichever is lower;
- h. The limits specified in clause (f) and (g) above are applicable to all securities mentioned other than the securities issued by Federal Government;
- i. Exposure to securities issued by entities of a single sector shall not exceed twenty five percent (25%) of Net Assets of Debt Sub-fund;
- j. A pension fund manager shall not place funds (including Islamic TDR, PLS Saving Deposit, COD, COM, COI, money market placements and other clean placements) of more than 25% of net assets of debt sub-fund with all microfinance banks, non-bank finance companies and Mudarabas;
- k. The weighted average time to maturity of Debt Sub-fund shall not exceed five (5) years and this condition shall not apply to securities issued by the Federal Government; and
- l. Rating of microfinance banks with which funds are placed shall not be lower than A+;

7.5 Investment Objective and Investment Policy of the SLIRSF Money Market Sub-Fund

7.5.1 The Investment Objective of the Money Market Sub-Fund is to earn returns from investments in Money Markets of Pakistan, thus incurring a relatively lower risk than debt investments.



7.5.2 The Investment Policy of the Money Market Sub Fund is determined by the Commission. The current Investment Policy for money market sub-funds as stated below:

- a. Investment avenues - – Shariah Compliant government securities, cash and near cash instruments which include cash in bank accounts (excluding TDRs), money market placements, deposits, certificate of deposits (COD), certificate of musharakas (COM) or any other Islamic mode of placement, Islamic TDRs, commercial papers;

Note: Investments in shariah compliant money market placements shall be made as per the authorized investment limits and may include the following mode of shariah transaction such as; principles of Bai'- Mu'ajjal, Bai'-Mussawwama, Bai'-Salam, Istisna'a, Mudaraba, Murabaha and Musharakah or any other structure as approved by the Shariah Advisor from time to time.

- b. Rating of any security in the portfolio shall not be lower than AA;
- c. Rating of any bank and DFI with which funds are placed should not be lower than AA;
- d. Rating of any NBFC and Modaraba with which funds are placed shall not be lower than AAA;
- e. At least 10%, of the net assets shall be invested in deposit with scheduled commercial bank (excluding TDRs) or government securities not exceeding 90 days' maturity;
- f. Exposure to any single entity shall not exceed 15% of net assets for money market sub fund;
- g. Exposure in security of entity shall not exceed 15% of net assets for money market sub fund or 10% of size of the issue of that security;
- h. The limits specified in clause (f) and (g) above are applicable to all securities mentioned other than the securities issued by Federal Government;
- i. Exposure to securities issued by entities of a single sector shall not exceed twenty five percent (25%) of Net Assets of a money market Sub-fund;
- j. A pension fund manager shall not place funds (including Islamic TDR, PLS Saving Deposit, COD, COM, COI, money market placements and other clean placements) of more than 25% of net assets of money market sub-fund with all microfinance banks, non-bank finance companies and Modarabas;
- k. The weighted average time to maturity of assets of a Money Market Sub-fund shall be up to one (1) year, and
- l. Time to maturity of any asset in the portfolio of Money Market Sub-fund shall not exceed six (6) months except in case of Shariah Compliant Government Securities such as Government Ijarah Sukuks which may be up to five (5) years.

7.6 Performance Benchmark

Performance Benchmark shall be determined in accordance with the directive of the Commission. Performance Benchmark of each is given as under:



Equity Sub Fund	KMI – 30 Index (Total Return Index)
Debt Sub Fund	75% Twelve (12) months PKISRV + 25% six (6) months average of the highest rates on saving account of three (3) AA rated schedule Islamic banks or Islamic windows of conventional banks as selected by MUFAP.
Money Market Sub Fund	90% three (3) months PKISRV rates+ 10% three (3) months average of the highest rates on savings account of three (3) AA rated scheduled Islamic Banks or Islamic windows of conventional banks as selected by MUFAP.

7.7 Investment Restrictions

7.7.1 The Fund Property shall be subject to such exposure limits as are provided in the Rules/Regulations/Circulars, subject to relaxations granted by the Commission from time to time.

7.7.2 The Fund shall not at any time:

- (a) merge with, acquire or take over management of any other pension fund or pension fund manager unless it has obtained the prior approval of the Commission in writing for such merger, acquisition or takeover;
- (b) pledge any of the securities held or beneficially owned by the Pension Fund except for the benefit of the Pension Fund;
- (c) Purchase from or sell any security to any connected person or employee except with the approval of its Board of Directors in writing and consent of the Trustee
- (d) participate in a joint account with others in any transaction; except for placement of orders under a single Universal Identification Number (UIN) subject to mechanism approved by the commission
- (e) make any investment with the purpose of having the effect of vesting the management or control in the Pension Fund; or
- (f) employ as a broker, directly or indirectly, any of its directors, officers or employees or a member of a family of such person which shall include spouse, parents, children, brothers and sisters and enter into transactions with any broker who is a Connected Person where such transactions shall equal or exceed twenty-five per cent or more of the brokerage or commission paid by the Pension Fund in any one Accounting Period;
- (g) Enter into a short sale transaction in any security.



- (h) make a loan or advance money to any person except in connection with the normal business of the Pension Fund
- (i) No Pension Fund Manager on behalf of the pension fund shall lend, assume, guarantee, endorse or otherwise become directly or contingently liable for or in connection with any obligation or indebtedness of any person: Provided that investment in sale and repurchase transactions involving Government securities or such eligible listed securities which are regulated by stock exchanges shall not be attracted by this sub-rule subject to the condition that risk management parameters are disclosed in the constitutive document of the pension fund approved by the Commission.'
- (j) Invest in any non-shariah compliant investment avenue.

7.7.3 Pension Fund Manager shall be responsible for managing and meeting the liquidity requirements of the Pension Fund.

7.7.4 Pension Fund Manager on behalf of a Pension fund shall not take exposure of more than 20% of net assets in any single group and the term "group" means persons having at least 30% of more shareholding in any other company, as per publicly disclosed information.

7.7.5 Pension Fund Manager shall not invest assets of Pension Fund in securities of a company if equity is less than paid-up capital of the company, irrespective of the limits stated in the Investment Policy.

7.7.6 Pension Fund Manager shall not invest or deposit or place assets of pension fund if the issuer or the bank or the security does not fulfill the minimum rating specified in the investment policy.

7.7.7 Pension Fund Manager shall adhere to the limits stipulated herein below; however, if the limits are breached merely due to corporate actions including take up of right or bonus issue(s) or due to change in Net Assets resulting; from fluctuation in price of securities or due to withdrawals, the Pension Fund Manager shall regularize the deviation within four months of the breach.

7.7.8 The investments of the Sub-Funds shall be subject to the restrictions/limitations prescribed by the Commission vide its Prescribed Investment Policy from time to time

7.7.9 All the investments of the fund must comply with the guidelines mentioned in Shariah Governance Regulations, 2023 issued by SCEP including the amendments made from time to time and/or guidelines of SECP registered Shariah advisor.

7.8 Financing Restriction

- (a) Subject to any statutory requirements for the time being in force and to the terms and conditions herein contained, the Trustee may at any time at the request of the Pension Fund Manager concur with the Pension Fund Manager in making and varying arrangements with Islamic Banks or Islamic Financial Institutions for Shariah Compliant financing by the Trustee for the account of the Pension Fund;



Provided that the financing shall not be resorted to, except for meeting the withdrawal requests or transfer of funds to other Pension Fund Managers and such financing shall not exceed fifteen percent of the total net assets value of the pension fund at any time, and shall be repayable within a period of ninety days.

- (b) The charges payable to any Islamic Bank or Islamic Financial Institution against financings on account of the Trust as permissible above shall not be higher than the normal prevailing bank charges or normal market rates for similar service and/or facility.
- (c) The maximum financing for the account of the Trust shall not exceed fifteen per cent of the total Net Asset Value of the Pension Fund and the maximum financing for the account of any Sub-Fund shall not exceed fifteen per cent of the total Net Asset Value of such Sub-Fund or such other limit as may be provided in the Rules. If subsequent to such financing, the Net Assets are reduced as a result of depreciation in the market value of the Fund Property or withdrawal of funds, the Pension Fund Manager or the Trustee shall not be under any obligation to reduce such financing.
- (d) Neither the Trustee, nor the Pension Fund Manager shall be required to issue any guarantee or provide security over their own assets for securing such financings from Islamic Banks and Islamic Financial Institutions. The Trustee or the Pension Fund Manager shall not in any manner be liable in their personal capacities for settlement of such financing.
- (e) For the purposes of securing any such financing the Trustee may upon instruction of the Pension Fund Manager mortgage, charge or pledge in any manner all or any part of the Fund Property provided that the aggregate amount secured by such mortgage, charge or pledge shall not exceed the limits provided under the Rules.
- (f) Neither the Trustee nor the Pension Fund Manager shall incur any liability by reason of any loss to the Trust or any loss that a Participant may suffer by reason of any depletion in the Net Asset Value that may result from any financing arrangement made in accordance with the Offering Document.

7.9 Participants Rights in terms of Investment Choice

The Participant has a right to allocate their Contributions between the three Sub Funds in a manner to allow them to adopt a focused investment strategy, according to their risk/return requirements. Each Allocation Scheme being offered shall have a different percentage allocation in Sub-Funds based on which their risk/return may be assessed.

7.10 Risk Disclosure

The Pension Fund Manager shall ensure that effective risk control measures are in place for the protection of the participants.

Participants must realize that all investments in Islamic pension Fund and securities are subject to market risks. Our target return cannot be guaranteed and it should be clearly understood that the portfolio of the Fund is subject to market price fluctuations and other risks inherent in all such investments. The risks emanate from various factors that include, but are not limited to:



- (1) **Equity Risk:** Share prices are generally volatile and may go up or down because of their dependence on market sentiments, speculative activity, supply and demand for the shares and liquidity in the market. Mutual funds that purchase shares become part owners in the companies. The companies' performance, domestic and/or industry outlook with respect to technological and consumer behavior dynamics, market activity and the larger economic scenario influence the price of these shares. Moreover, lack of trading in the investee companies' securities may result in liquidity crisis. When the economy is expanding, the outlook for many companies is positive and the value of these shares may rise, and vice versa. Share prices are also affected by the quality of the management of investee companies.
- (2) **Government Regulation Risk** - Government policies or regulations are more prevalent in some securities and financial instruments than in others. Funds that invest in such securities may be affected due to change in these regulations or policies, which directly or indirectly affect the structure of the security and/or in extreme cases a governmental or court order could restrain payment of capital, principal or income.
- (3) **Credit Risk** - Credit Risk comprises default risk, credit spread risk and down grade risk. Each can have negative impact on the value of the income and money market instruments including Sukuks etc.
- (4) **Default Risk** - The risk that the issuer of the security will not be able to pay the obligation, either on time or at all;
- (5) **Country or Political Risk** – The uncertainty of returns caused by the possibility of a major change in the political or economic environment of the country such as break down of law and order, war, natural disasters, etc. and any governmental actions or legislative changes or court orders restraining payment of principal or income.
- (6) **Price Risk** - The price risk is defined as when the value of the Fund, due to its holdings in such securities rises and falls as a result of change in interest rates.
- (7) **Liquidity Risk** – Liquidity risk is the possibility of deterioration in the price of a security in the Fund when it is offered for sale in the secondary market.
- (8) **Settlement Risk** – At times, the Fund may encounter settlement risk in purchasing / investing and maturing / selling its investments which may affect the Fund's performance etc.
- (9) **Reinvestment Rate Risk** – In a declining interest/ markup rate economic environment, there is a risk that maturing securities or coupon payments will be reinvested at lower rates, which shall reduce the return of the Fund compared to return earned in the preceding quarters.
- (10) **Sovereign Risk** - Payment of bonds/ notes may be affected by the economic and political events in the country of the relevant issuer. The occurrence of a sovereign risk event could result in the loss of all or a portion of the principal invested, as a result of any economic or political circumstance.



- (11) **Events Risk** - There may be adjustments to the performance of the Fund due to events including but not limited to, natural calamities, market disruptions, mergers, nationalization, insolvency and changes in tax law.
- (12) **Withdrawal Risk** - There may be special circumstances in which the withdrawal of Units may be suspended or the withdrawal payment may not occur within six working days of receiving a request for withdrawal from the participant.
- (13) **Shariah non-compliance Risk**: The risk associated with employing funds in investments that are not consistent with the Principles of Shariah.

7.11 Other Risks Involved:

- (a) Mismanagement of the investee company, third party liability whether through class action or otherwise or occurrence of other events such as strikes, fraud etc., in the company in which the investment is made.
 - (b) Break down of law and order, war, terrorist activity, natural disasters etc.
 - (c) Senior rights of some stake holders over other stake holders in the event of winding up.
- 7.11.1 Under exceptional (extraordinary) circumstances, the Pension Fund Manager may suspend withdrawal, invoke a queue system or announce winding-up of the Fund. In such events, the participant will probably have to wait for payment beyond the normal period and the withdrawal amount so determined may be lower than the price at the time the withdrawal request was lodged. Participants are advised to read the relevant clauses of the Fund's Trust Deed for more detailed information regarding this clause.
- 7.11.2 Risk specific to foreign investments: The Fund may invest outside Pakistan & such investments may be exposed to additional risks including political, economic & exchange rate risks that may reduce the value of the investments. However, evidence shows that diversifying internationally tends to reduce the overall volatility of the portfolio and thus may reduce risks for participants.
- 7.11.3 Investment in the Islamic Pension Fund is suitable for participants who have the ability to take the risks associated with financial and capital market investments. Capital invested in the financial and capital markets could, in extreme circumstances, lose its entire value. However, diversification of the investment into a number of highly liquid equities, income securities and repurchase transactions tends to reduce the risk substantially. The historical performance of the Funds, the financial and capital market or that of any one security or transaction included in the Fund's portfolio does not indicate the future performance.
- 7.11.4 There may be times when a portion of the investment portfolio of the Scheme is not compliant either with the investment policy or the minimum investment criteria of the assigned 'Category'. This non-compliance may be due to various reasons including, adverse market conditions, liquidity constraints or investment- specific issues. Participants are advised to study the latest Fund Manager Report specially portfolio composition and Financial Statements of the Scheme to determine what percentage of the assets of the Scheme, if any, is not in compliance with the minimum investment criteria of the assigned Category. The latest monthly Fund Manager Report as per the format prescribed by Mutual Funds



Association of Pakistan (MUFAP) is available on the website of the PFM and can be obtained by calling / writing to the PFM.

- 7.11.5 There may be times that one or more investments made by the fund may cease to be, either temporarily or permanently, compliant with the requirements of Shariah. In this case, such investments will immediately be brought in the knowledge of the Shariah Advisor and steps will be taken to dispose off or otherwise make the portfolio compliant with the requirements of Shariah as per the guidance of the Shariah Advisor.

7.12 Disclaimer

- (a) The Units of the Sub Funds of the Pension Fund are not bank deposits and are neither issued by, insured by, obligations of, nor otherwise supported by the Commission, the Stock Exchanges, any government agency, the Trustee or any of the sponsors, shareholders or employees of the Pension Fund Manager or any of the investors of the Seed Capital Units or any other Islamic Bank or financial institution.
- (b) Investment Risks and Tax Implication: All investments in the Pension Fund are subject to market risks. The value of such investments vary subject to market fluctuations and risks inherent in all such investments. Participants should read this Offering Document carefully to understand the investment policies, risks and tax implication and should consult legal, financial or tax advisors before making any investment decision.
- (c) Withdrawals from the Pension Fund before the retirement age are subject to tax under the provisions of the Income Tax Ordinance, 2001 and the Rules.
- (d) The target return of the Sub-Funds cannot be guaranteed. It should be clearly understood that the portfolio of the Sub-Funds is subject to market fluctuations and risks inherent in all such investments.
- (e) It should be noted that the value/price of Units of the Sub-Funds can fall as well as rise.
- (f) It should be noted that under certain circumstances the withdrawal from the Pension Fund may be restricted or subject to tax penalties.
- (g) It should be noted that there will be no dividend distribution by the Sub-Funds.

8 Change of the Pension Fund Manager / Pension Fund

- (a) Participants shall be allowed to transfer the entire or part of his/her Individual Pension Account with the State Life Islamic Retirement Savings Fund to another pension fund manager/pension fund or from one Pension fund to another Pension fund by completing the Forms. For this purpose, the Units shall be encashed at the Net Asset Value of each Sub-Fund notified on the dealing day prior to the date of transfer.
- (b) No charge whatsoever called shall be deducted for transfer of the Individual Pension Account from State Life Islamic Retirement Savings Fund to another pension fund manager/pension fund and from approved occupational savings scheme and approved superannuation fund to a pension fund.
- (c) The transfer of individual pension account from one Pension Fund Manager to another



Pension Fund Manager or from one pension fund to another pension fund shall take place at the discretion of participant.

- (d) The application for transfer of the account, specifying the name of the new pension fund manager/pension fund and Individual Pension Account number with the new pension fund manager must be sent by the Participant at least seven days before the effective date of the proposed change.
- (e) On receiving a transfer application mentioned in above clause, complete in all respects, the Pension Fund Manager shall redeem the requested amount out of the balance available in Individual Pension Account of the Participant at the close of first Business Day that falls on or after the effective date of the proposed change and transfer the requisite amount to the requested pension fund.
- (f) In the event the Commission cancels the registration of the Pension Fund Manager as a pension fund manager or discontinues the authorization of the Pension Fund, in each case in accordance with the Rules and other Applicable Laws, the Pension Fund Manager shall, as soon as practicably possible thereafter, transfer the Individual Pension Accounts of the Participants to pension funds managed by other pension fund managers as selected by the Participants or as directed by the Commission.
- (g) Above procedures will be followed both in case of Transfer in and Transfer out of the **State Life Islamic Pension Fund**. However, in case of transfer in, units shall only be issued upon realization of amount.
- (h) Policyholders having pension policies under Section 63 of the Income Tax Ordinance, 2001 and issued by Takaful Companies before 30 June 2005 would also be eligible to redeem their Units and transfer the balance to an Individual Pension Account with the State Life Islamic Retirement Savings Fund, subject to the Constitutive Documents and the Rules/Regulations. This may be subject to change due to any changes in or substitutions of the Income Tax Ordinance, 2001 and shall be deemed to become part of the constitutive document without the need to execute any Supplementary constitutive document.

9 Safeguard of Money

No contribution should be paid to an intermediary, except to the Pension Fund Manager or its authorized representatives as prescribed. Contributions should be in the form of "Account Payee Only" cheques, payment orders or demand drafts or direct bank transfers to the account of "**DCCL Trustee - State Life Islamic Retirement Savings Fund**". No contribution should be made in the form of cash or any bearer instrument.

10 DISTRIBUTION RESTRICTION POLICY

No distribution of Income or dividend shall be allowed from any of the sub-funds. Any income earned shall be accumulated and retained in the respective sub-funds.

11 TAXATION

11.1 Tax Credit for Contributions to the Pension Fund



- (1) An eligible person, as defined in sub-section (19A) of section 2 of the Income Tax Ordinance, 2001, deriving income chargeable to tax under the head “Salary” or the head “Income from Business”, will be entitled to a Tax Credit for a Tax Year in respect of any contribution or premium paid in the year by the person in approved pension fund under the Voluntary Pension System Rules, 2005.
- (2) The amount of a person’s Tax Credit allowed under Sub-section (1) for a Tax Year shall be computed according to the following formula, namely: -

$$(A/B) \times C$$

Where:

A is the amount of tax assessed to the person for the Tax Year, before allowance of any Tax Credit under this Part;

B is the person’s taxable income for the tax year; and

C is the lesser of -

- (i) the total contribution or premium referred to in sub-section (1) paid by the person in the year; or
- (ii) twenty per cent (20%) of the [eligible] person’s taxable income for the relevant tax year;

Provided that a person joining the Pension Fund at the age of forty-one (41) years or above, during the first ten (10) years starting from July 1, 2006, shall be allowed additional contribution of two per cent (2%) per annum for each year of age exceeding forty years. Provided, further, that the total contribution allowed to such person shall not exceed fifty percent (50%) of the total taxable income of the preceding year;

Provided also that the additional contribution of two percent per annum for each year of age exceeding forty years shall be allowed up to the 30th June, 2019 subject to the condition that the total contribution allowed to such person shall not exceed thirty percent of the total taxable income of the preceding year.

- (3) The transfer by the members of approved employment pension or annuity scheme or approved occupational saving scheme of their existing balance to their individual pension accounts maintained with one or more pension fund managers shall not qualify for tax credit under this section.

11.2 Tax Exemptions

Exemptions under Clause (57) sub-Clause (3) (viii) of Part-I of the Second Schedule of the Income Tax Ordinance, 2001:

- (a) Total income of the Pension Fund approved by the SECP under the VPS Rules, 2005.
- (b) Profit or gain or benefit derived by the Pension Fund Manager from a pension fund approved under the VPS Rules, 2005 on withdrawal of the seed capital invested in the Pension Fund.

11.3 Withholding Tax



A pension fund manager making payment from individual pension accounts, maintained under an approved pension fund, shall deduct tax from any amount:

- a) Withdrawn before the age of retirement, provided that tax shall not be withheld in the following cases.
 - eligible person suffering from any disability which render him unable to continue with any employment at the age which he may so elect to be treated as retirement age or the age as on the date of such disability if not so elected by him/her; or
 - on the share of the nominated survivor of the deceased eligible person.
- b) Withdrawn, if in excess of fifty per cent of his accumulated balance at or after the retirement age, provided tax shall not be withheld in the following cases.
 - the balance is invested in an approved income payment plan;
 - the balance is paid to a Takaful company for the purchase of an annuity plan;
 - the balance is transferred to another individual pension account of the eligible person; or
 - the balance is transferred to the survivors approved pension account in case of the death of the eligible person.

The tax is required to be withheld at the last three year's average rate of tax which shall be computed in accordance with the following formula:

A/B Where,

A= the total tax paid or payable by the person on the person's total taxable income for the three preceding years; and

B= the person's total taxable income for the preceding three years.

11.4 Zakat

Units held by resident Pakistani Participants shall be subject to Zakat at two and a half per cent (2.5%) on lower of the par value of Units and withdrawal price under Zakat and Ushr Ordinance, 1980, (XVII of 1980), except those exempted under the said Ordinance. Zakat will be deducted at source from withdrawal payment, and paid into the Government Treasury.

11.5 Disclaimer

The tax and Zakat information given above is based on the Pension Fund Manager's interpretation of the law which, to the best of the Pension Fund Manager's understanding, is correct but Participants are requested to seek independent advice from their tax advisors so as to determine the taxability arising from their Contributions to the Pension Fund.



12 Annuity Plans Offered by State Life Insurance Corporation of Pakistan to Participants Upon Retirement

12.1.1 State Life Insurance Corporation of Pakistan offers approved annuity plans to their participants at the time of Retirement options. The approved annuity plans are given as under:

1. Hayat VPS Single Life Retirement Pension Plan

12.1.2 The details of the above annuity plans are provided in **Annexure “J”** and are also available on the website of the Pension Fund Manager.

12.1.3 State Life Insurance Corporation of Pakistan may offer additional annuity products, with the approval of the Commission, from time to time. Such products shall also be disclosed on the website of the Pension Fund Manager.

13 REPORTS AND ACCOUNTS

13.1 Fund Accounts

Pension Fund Manager shall prepare Financial Accounts and Reports required under Rules, Regulations, Shariah Governance Regulations, 2023 for State Life Islamic Retirement Savings Fund including Sub-Funds as prescribed by the Commission from time to time.

13.2 Annual Accounting Period

The Annual Accounting Period shall commence on 1st July and shall end on 30th June of the succeeding calendar year.

Accounting Date shall be the 30th day of June in each year and any interim dates at which the financial statements of the Fund are drawn up. Provided, however, that the Pension Fund Manager may, with the consent of the Trustee and after obtaining approval of the Commission and the Commissioner of Income Tax, change such date to any other date.

Accounting Period shall be the period ending on and including an Accounting Date and commencing (in case of the first such period) on the date on which the full amount of Seed Capital is received and in any other case from the end of the preceding Accounting Period.

13.3 Periodic Reports to be sent to Participants

Annual report and quarterly reports will be prepared and sent to the Participants. For details, please refer to Obligations of Pension Fund Manager, clause 4.6 (e) and (f).

The balance sheet and income and expenditure accounts mentioned above shall be prepared separately for each Sub-Fund and in addition thereto consolidated accounts shall be prepared for the entire Fund.

13.4 Periodic Reports to be sent to Commission

Annual report and quarterly reports will be prepared and sent to the Commission. For details, please refer to Obligations of Pension Fund Manager, clause 4.6 (e) and (f).

14 SERVICE TO PARTICIPANTS



14.1 Availability of Forms

All forms mentioned and/or included in this Offering Document will be available at all the Authorized Branches of the Pension Fund Manager's website, the zones, regions and the distributions companies, Pension Fund Manager's website and may also be requested via post. Sales Agents will also have sufficient stocks of such forms.

14.2 Register of Participants

14.2.1 The Pension Fund Manager shall perform the Registrar Functions directly or it may appoint a Registrar for such purpose, but in each case the responsibility for performing the Registrar Functions shall be that of the Pension Fund Manager itself. Where the Pension Fund Manager appoints a Registrar for performing the Registrar Functions, the Pension Fund Manager shall ensure that the Registrar complies with all relevant provisions of the constitutive document and the Rules.

14.2.2 The Pension Fund Manager or the Registrar, as the case may be, the Registrar shall maintain the Register at their respective registered office.

14.2.3 The Pension Fund Manager shall maintain a register of participants of the Pension fund and inform the Commission of the address where the register is kept.

14.2.4 The Pension Fund Manager shall ensure that the Registrar at all reasonable times during Business Hours give the Trustee and its representatives access to the Register and to all subsidiary documents and records or certified copies thereof and to inspect the same with or without notice and without any charge. The Commission may however at any time inspect, remove or take possession of the register without any prior notice.

14.2.5 The Registrar shall, within such time/ working days of receiving a written request from any Participant, give to such Participant (whether by post, courier or through electronic means) details of such Participant's account in the Register. Such service shall be provided free of charge to any Participant so requesting once in any financial year. The Pension Fund Manager may, with the approval of the Commission, prescribe charges for servicing any additional requests. The details of charges, if any, shall be disclosed in the Offering Document or in any Supplementary Offering Document from time to time.

14.2.6 The Register, in respect of each participant, shall contain the information required by or under the Rules and shall be maintained in line with the Guidelines on record keeping issued by the Commission from time to time and shall, at the minimum, contain the following information:

- a. Registration number;
- b. Individual Pension Account number;
- c. Full names, father's name, residency status, CNIC number (in respect of Pakistani nationals)/ NICOP number (in respect of overseas Pakistanis), Pakistan Origin Card (POC), National Tax Number (if applicable) and addresses of Participant;
- d. If Participant is registered through employer the Individual Pension Account Number will be linked to an Employer Account Number that will contain the following:



- i. Employer name;
 - ii. Registered address;
 - iii. Employer Contact Details
 - iv. National Tax Number;
 - v. Number of employees contributing in VPS; and
 - vi. Telephone number and e-mail address.
 - e. Date of birth and gender of the Participant;
 - f. Complete record of the amount and date of each Contributions paid by the Participant;
 - g. Complete record of the amount and date of each Contribution paid by the Employer;
 - h. Date and amount of incoming and outgoing transfers;
 - i. The number of Sub-Fund Units allocated and held in the name of the Participant in the Individual Pension Account or Approved Income Payment Plan balances;
 - j. The date on which the name of every Participant was entered in respect of the Sub- Fund Units outstanding in participant name;
 - k. Tax/Zakat status of the Participants;
 - l. Next of kin (s);
 - m. Record of specimen signatures of the Participant;
 - n. Information on retirement of Participant and the payments made or to be made;
 - o. Information on death and transfer of account to heirs; and
 - p. Such other information as may be specified by the Commission or Pension Fund Manager may require.
- 14.2.7 The Register shall be conclusive evidence as to the Units of Sub-Funds held in a Participant's Individual Pension Account or balances of the Participant's Approved Income Payment Plan Account balances held by each participant.
- 14.2.8 The Register shall, in respect of each Participant, contain the information required by or under the Rules/Regulations, the Guidelines and such other information as may be specified by the Commission from time to time or required by the Pension Fund Manager.
- 14.2.9 Any change of address or status of any Participant shall forthwith be notified in writing to the Registrar who, upon being satisfied with the supporting evidence provided therefor, shall update the Register with the change accordingly.
- 14.2.10 The Participant or his successors according to the succession certificate (in case of death of the Participant), as the case may be, shall be the only persons to be recognized by the Trustee, the Pension Fund Manager and the Registrar as having any right, title or interest in or to the Units held by the Participant and the Trustee, the Pension Fund Manager and the Registrar may recognize the Participant as the absolute owner thereof and shall not be bound by any notice to the contrary and shall not be bound to take notice of or to see to the execution of any trust, except where required by any court of competent jurisdiction.



- 14.2.11 Upon being satisfied that any Contribution has been received by the Trustee in cleared funds from any Participant, the Registrar shall, within 07 (Seven working days) of the receipt of the Contribution, issue a receipt therefor together with an account statement that shall constitute evidence of the number of Sub-Fund Units or Individual Pension Account or Approved Income Payment Plan balances registered in the name of the Participant and shall contain such other information as may be prescribed by the Commission from time to time. However, for contributions routed through the employers only the acknowledgement receipt of documents provided to the employers shall suffice as an acknowledgement.
- 14.2.12 While making payment of the benefits from the Pension Fund to any Participant, the Pension Fund Manager shall ensure that adequate description of the reasons for the payment (for example, retirement, disability, death benefit) is mentioned in the Register.
- 14.2.13 The Pension Fund Manager shall ensure that the information on the Register shall remain accessible for three years after the last amount in relation to the Pension Fund payable to the Participant, to any other Pension fund manager nominated by the Participant to which the Individual Pension Account has been transferred or to any heirs of the Participant, has been paid.

14.3 Statement of Accounts

Upon being satisfied that the Contribution to the Fund has been received, in full, from the Participants, the Registrar will send directly to each Participant Account Statement that will constitute evidence of the number of Sub-Fund Units or Individual Pension Account or periodic payment account balances registered in the name of the Participant.

The Registrar will issue an Account Statement, each time there is a transaction in the Individual Pension Account and it will be posted or electronically transmitted to the Participant within six (6) Business Days of each transaction.

15 WARNINGS

INVESTMENT RISKS AND TAX IMPLICATION: All investments in State Life Islamic Retirement Savings Fund are subject to market risks. The value of such investments may depreciate as well as appreciate, subject to market fluctuations and risks inherent in all such investments. Participants should read the Offering Document carefully to understand the investment policies, risks and tax implications and should consult their legal, financial or tax advisors before making any investment decisions. Withdrawals from the Pension Fund before the retirement age are subject to tax under the provisions of the Income Tax Ordinance, 2001.

16 COMPLAINTS

If in any unresolved complaint or dispute arise between a Participant and the Pension Fund Manager under the VPS Rules, it shall be referred to the Insurance Ombudsman appointed under Section 125 of the Insurance Ordinance, 2000. (XXXIX of 2000). The insurance Ombudsman shall have all the powers and shall follow the procedures as required under PART XVI of the Insurance Ordinance, 2000.



16.1 Procedure for lodging a complaint with the Federal Insurance Ombudsman

The procedure for lodging a complaint with the Insurance Ombudsman shall be as provided in Section 129 of the Insurance Ordinance, 2000 and reproduced below:

- (a) A complaint shall be made in writing, addressed to the Insurance Ombudsman. The complaint shall set out the full particulars of the transaction complained of and the name and address of the Participant (complainant).
- (b) Prior to making a complaint, the Participant (complainant) shall intimate in writing to the Pension Fund Manager regarding their intention of filing a complaint and if the Pension Fund Manager either fails to respond, or makes a reply which is unsatisfactory to the complainant, within a period of one month, the Participant (complainant) may file a complaint, at any time thereafter, within a further period of three (3) months:

Provided that the Insurance Ombudsman may, if satisfied that there were reasonable grounds for the delay in filing the complaint, condone the delay and entertain the complaint.

- (c) The Insurance Ombudsman may adopt any procedure he considers appropriate for investigating a complaint.

Provided that he shall not pass any order against the Pension Fund Manager without first giving it a notice and an opportunity to be heard.

- (d) Subject to Section 128 of Insurance Ordinance, 2000, the Insurance Ombudsman shall not have any power to issue an order in the nature of a stay order or to entertain any complaints if the matter is pending before a Court, Tribunal or other legal forum.
- (e) The Insurance Ombudsman may reject a complaint summarily or he may accept the same or pass any other order he deems fit.

Provided that in each case he shall pass a reasoned order for participant decision.

- (f) The Federal Government may further prescribe rules for the conduct of proceedings in relation to complaints brought before the Insurance Ombudsman.

Note: The Pension Fund Manager will not be responsible or liable for maintaining service levels and /or any delay in processing claims arising out of this facility. The Pension Fund Manager, the Trustee and the underlying Fund shall not be held liable for honoring any claims.

16.2 Contact Details of Office of Federal Insurance Ombudsman

The Present Insurance Ombudsman and participant contact details are as follows:

Federal Insurance Ombudsman Office 2nd Floor, Pakistan Red Crescent Society, Annexe Building, Plot # 197/5, Dr. Doud Pota Road, Karachi. Phone: 021-99207761-62

17 TRANSACTIONS WITH CONNECTED PERSONS

- (a) No Pension Fund Manager on behalf of the Pension Fund shall take exposure in any form or invest in debt or equity securities of connected persons or purchase from or sell any security to any of the Connected Person with approval of its Board of Directors in writing



and consent of Trustee.

- (b) All cash forming part of the State Life Retirement Pension Fund assets shall be deposited with the Trustee or the Custodian, which is a Banking company, return shall be paid on the deposit by such Trustee or Custodian at a rate that is not lower than the rate offered by the said Banking company to its other depositors on deposits of similar amount or maturity.

18 ARBITRATION IN CASE OF DISPUTES BETWEEN THE PENSION FUND MANAGER AND THE TRUSTEE

In the event of any disputes arising out of Constitutive Documents between the Pension Fund Manager on the one part and the Trustee on the other part, including as to the respective rights and obligations of the Parties hereto, as well as those relating to the interpretation of the terms and conditions of the constitutive document and/or the Supplementary Offering Documents, relating to the Fund, the same shall be referred first to the Commission and thereafter, if the dispute still continues, for arbitration by two arbitrators, one to be appointed by the Pension Fund Manager and the other to be appointed by the Trustee. In the event of lack of consensus between the two arbitrators, the matter shall be referred to an umpire, to be selected by the two arbitrators before commencement of the reference. The unanimous decision of both the arbitrators, or the decision of the umpire, as the case may be, shall be final and binding upon both the Parties. The arbitrators and the umpire shall be selected from amongst, senior partners of renowned firms of chartered accountants, or senior partners of renowned Law Firms, or senior bankers, or senior members of any Stock Exchange (who may even be the heads of corporate members of any Stock Exchange). The venue of the arbitration shall be Karachi. The arbitration shall be conducted in accordance with the Arbitration Act, 1940.

19 DISPUTES BETWEEN THE PARTICIPANTS AND THE PENSION FUND MANAGER

If any complaint or dispute arises between the any Participant or any of its any nominated survivors, executors, administrators or successors and Pension Fund Manager under this the constitutive document or the Rules, it shall be referred to an authority as provided in the Rules.

20 GENERAL INFORMATION

The Constitutive Documents of State Life Islamic Retirement Savings Fund are:

The Constitutive Documents concerning the State Life Islamic Retirement Savings Fund may be inspected at the registered office address of State Life Building No.09, Principal Office, Dr. Ziauddin Ahmed Road, Karachi, Pakistan of the Pension Fund Manager at, **State Life Insurance Corporation of Pakistan**, or at any other address which may be notified by the Pension Fund Manager to the general public through newspapers or its website.

21 STATEMENT OF RESPONSIBILITY

STATE LIFE INSURANCE CORPORATION OF PAKISTAN ACCEPTS RESPONSIBILITY FOR THE ACCURACY OF THE INFORMATION HEREIN CONTAINED AS OF THE DATE OF PUBLICATION.

22 TERMINATION OF THE PENSION FUND



22.1 Termination and Liquidation of The Trust

- (a) The Pension Fund Manager subject to conditions of the Rules, the Trust Deed and approval of the Commission, may terminate the Pension Fund by giving at least three (03) months' notice, in writing, to the Participants, the Trustee and the Commission.
- (b) The Trust may also be terminated by the Commission on the grounds provided in the Rules.
- (c) The Trust Deed of the Pension Fund may be terminated in accordance with the conditions specified in the Rules if there is any breach of the provisions of the Trust Deed or any other agreement or arrangement entered into between the Trustee and the Pension Fund Manager regarding the Pension Fund. Both parties shall act in a manner that causes the least degree of inconvenience to the Participants and is the most cost efficient for the Pension Fund and the Pension Fund Manager.
- (d) Upon the Trust being terminated, The Pension Fund Manager will suspend the acceptance of registration, Contribution(s) and withdrawals, forthwith, and proceed to transfer all assets and liabilities and records of the Pension Fund and each Sub-Fund to another pension fund manager under a scheme of arrangement to be approved by the Commission.
- (e) The Pension Fund Manager shall ensure that accounts of the Pension Fund, till the day of the transfer to the new Pension Fund Manager, are audited by the Auditors of the Fund and the Audit and Trustee Report is submitted, within one month from the date of such appointment, to the Commission, the new pension fund manager and the Trustee. Pension Fund Manager, with the approval of the Commission, will decide the cost of such interim audit and the same may be charged to the Pension Fund with the prior approval of the Commission.
- (f) The Trustee, subject to **clauses 22.1.(d) and 22.1.(e)**, on the recommendation of Pension Fund Manager and approval of the Commission, shall transfer all the assets and liabilities and records of the Pension Fund and each Sub-Fund, including Individual Pension Accounts of Participants, to the other Pension Fund managed by the other Pension Fund Manager.
- (g) Thereafter, the Pension Fund Manager shall proceed to dissolve the Pension Fund under the relevant law and in the court of jurisdiction.

23 GENERAL

- (a) Any notice required to be served upon a Participant shall be deemed to have been duly given if sent by post or courier service to or electronically submitted or left at participant address as appearing in the Register. Any notice so served by post shall be deemed to have been served on the day following that on which the letter containing the same is posted, and in proving such service it shall be sufficient to prove that such letter was properly addressed, stamped and posted.
- (b) In case a general notice is required to be served upon all the Participants, the Trustee or



the Pension Fund Manager shall advertise any such notice in any leading daily newspapers in Pakistan having primary circulation in Karachi, Lahore and Islamabad or through website of Pension Fund Manager. The cost of issuing and publishing a general notice shall be charged to the Trust.

- (c) Service of a notice or document on any employer shall be deemed effective service on all the Participants registered through that employer unless the Participant has given notice to the Pension Fund Manager that he is no longer in the employment of that employer.
- (d) Any notice or document sent by post or courier service to or left at the registered address of a Participant shall notwithstanding that such Participant be then dead or bankrupt and whether or not the Trustee or the Pension Fund Manager have notice of participant death or bankruptcy be deemed to have been duly served and such service shall be deemed a sufficient service on all persons interested (whether jointly with or as claiming through or under him) in the Units registered in favor of that Participant.
- (e) copy of this Offering Document, Trust Deed and of any deed supplemental hereto shall be made available for inspection at the respective head offices of the Trustee and the Pension Fund Manager at all times during usual Business Hours and shall be supplied by the Pension Fund Manager to any person on application at a charge disclosed in the Offering Document.

24 **Additional Disclosure by Shariah Compliant Scheme**

Underlying Shariah Structure & Shariah Opinion

Shariah structure is mentioned in 4.17 clause of this offering document and shariah opinion on offering document is mentioned in **Annexure 'H'**

Shariah Governance Frame work and Shariah Advisor Profile

The manner to ensure shariah compliance on ongoing basis is mentioned in clause 4.6 (q) of this offering document and Shariah Advisor profile is mentioned in **Annexure 'I'**.

Certificate of Shariah Compliance

The Pension Fund Manager is compliant under the Shariah Governance Regulations, 2023 read with Section 451 of the Companies Act, 2017 and obtain necessary approvals as required under the Shariah Governance Regulations, 2023.

Key Compliance issues.

The Pension Fund Manager will report to participants with respect to key Shariah Compliance issues in annual financial statements

25 **DEFINITIONS**

Unless the context requires otherwise, in this Offering Document (including in its Recitals) the following words or expressions shall have the meaning respectively assigned to them below:



“Accounting Date” means 30th June in each year; provided, however, that the Pension Fund Manager may, with the consent of the Trustee and after obtaining approval of the Commission, change such date to any other date;

“Accounting Period” means the period ending on and including an Accounting Date or, if nearer, on and including the day on which the Net Assets of all the Sub-Funds becomes zero and commencing from and including the date of establishment of the Pension Fund or, if nearer, from and including the day after the last Accounting Date.

“Account Statement” means statement of transactions in Units of each Sub-fund in the Individual Pension Account of the Participant, containing such information as may be prescribed by the Commission from time to time;

“Act” means the Companies Act, 2017;

“Allocation Schemes” means the allocation schemes offered by the Pension Fund Manager from time to time in conformity with the Prescribed Allocation Policy issued by the Commission;

“Annuity” means a series of payments of set frequency,

“Applicable Law” means any common or customary law, constitutional law, any statute, regulation, resolution, rule, ordinance, enactment, judgment, order, code, decree, directive, notification, clarification, guideline, policy, requirement or other governmental restriction and any form or decision of or determination by or interpretation of any of the foregoing (whether or not having the force of law) by any Authority, now or hereafter in effect, in each case as amended, re-enacted or replaced to the extent applicable.

“Approval” means any consent, registration, filing, notarization, certificate, license, approval (including foreign exchange control approval), permit, Authority, confirmation or exemption from or by or with any national, supranational or regional government or administrative, fiscal, judicial or governmental body, Commission, agency, authority, central bank or similar entity and all corporate, creditors’, shareholders’ and directors’ approvals or consents required for execution of this Trust Deed and performance of the transactions contemplated herein.

“Approved Annuity Plan” has the meaning ascribed to it by Section 2(3A) of the Income Tax Ordinance, 2001.

“Authorized Branch” means those branches of the Distributors that from time to time have been authorized by the Pension Fund Manager under intimation to the Trustee to perform the Distribution Function, and whose addresses have been given in the Offering Document, or on the website of the Pension Fund Manager."

“Auditor” means the person or firm appointed to be the auditor of the Pension Fund by the Pension Fund Manager with the consent of the Trustee, in accordance with the constitutive documents and the Rules,

“Authority” means any governmental or judicial or quasi-governmental or judicial authority empowered to administer, enforce, adjudicate or ensure compliance with



Applicable Law.

“Authorized Investments” means investments, whether listed or otherwise, transacted, issued or traded inside or outside Pakistan and as permissible under the Rules or under the Investment Policy prescribed by the Commission.

“Bank” means a banking company licensed under the Banking Companies Ordinance, 1962 or any other regulation for the time being in force or an institution providing banking services under the banking laws of Pakistan or, if operating outside Pakistan, under the banking laws of the jurisdiction of its operation outside Pakistan and having such minimum entity rating as may be prescribed by the Commission from time to time.

“Bank Accounts” means the collection and disbursement account(s), maintained only in Islamic banks or in Islamic windows of Conventional Banks, in which the Contributions are received and payments are made from the account(s) of each Sub-fund, the beneficial ownership of which vests in the relevant Participants and for which the Trustee has been appointed as trustee under this Trust Deed.

“Business Day” means a day, when Banks and/or Stock Exchanges are open for business in Pakistan and for which Pension Fund Manager is open for business.

“Business Hours” means such dealing periods on each Business Day, as may be determined by the Pension Fund Manager.

“Constitutive Document” include the trust deed, offering document, supplemental documents and other principal documents governing the formation of a Pension Fund and all other related material agreements.

“Connected Person” means connected person as defined in NBFC Rules or as specified by the Commission from time to time;

“Contribution” means an amount as may be voluntarily determined by an individual payable annually, semiannually, quarterly, or monthly to one or more Pension Fund Managers and held in one or more individual Pension accounts of a participant, subject to any specified minimum limit.

“Contribution Date” has the meaning ascribed to it in Clause 6.2.5

“Custodian” means a Bank, a central depository company or any other depository for the time being appointed by the Trustee to hold and protect the Trust Property or any part thereof as custodian or nominee on behalf of the Trustee; provided that the Trustee may also itself provide custodial services for the Fund.

“Cut-Off Time”/ “Business Hours” means the day time for dealing in Units of the Fund. The current Cut-Off Timing/Business Hours are mentioned in **Annexure “E”** of this Offering Document;

“Dealing Day” means every Business Day on which dealing in the Pension Fund is conducted as disclosed in the Offering Document, provided that the Pension Fund Manager may with the prior written consent of the Trustee and upon giving not less than



seven days' notice in the newspapers declare any particular Business Day not to be a Dealing Day;

"Deed" or "Trust Deed" means this Trust Deed which is the principal document governing the formation management or operation of the Fund.

"Default Allocation Scheme" means the default asset allocation scheme as determined by the Pension Fund Manager in conformity with the Prescribed Allocation Policy for allocating between the Sub-Funds the Contributions received from Participants who have not themselves selected any Allocation Scheme;

"Distributor" or "Distribution Company" means a company, firm or bank appointed by the Pension Fund Manager under intimation to the Trustee for performing any or all of the Distribution Functions, and shall include the Pension Fund Manager itself, if it performs the Distribution Function; Provided that a Distribution company or distributor (where distributing funds of Multiple AMCs and VPS) shall have License under relevant regulations as applicable;

"Distribution Function" means the functions with regard to:

- (a) receiving applications and amounts for the issue of Units, in the name of the Trustee, from the Participants;
- (b) issuing receipts in respect of (a) above;
- (c) interfacing with and providing services to the Participants including receiving withdrawal/ transfer to / from other Pension Fund Manager(s), applications for withdrawal, forwarding transfer applications and applications for change of address or any other status, instructions, in writing, of any kind or any other information for immediate transmission to the Pension Fund Manager or the Registrar, as appropriate; and
- (d) accounting to the Pension Fund Manager for (i) Payment Instruments received from Participants for issuance of Units in Sub-fund; and (ii) payments instruments delivered to the Participants on withdrawal of Units in the Sub-fund.

"Eligible Person" means any person who qualifies the eligibility criteria under the Rules in respect of persons who can make contributions to Pension funds authorized under the Rules.

"Exposure" includes finance, subscription to or investment in securities, debt instruments, units or certificates or shares of a Notified Entity, placements, and deposits, with financial institutions, certificates, derivatives, margin trading system or any mechanism that replaces it, but does not include:

- (a) obligations under letters of credit and letters of guarantee to the extent of cash margin held by an NBFC;
- (b) finance provided to financial institutions through REPO transactions with underlying statutory liquidity requirement eligible securities; and



(c) deposits in current and savings accounts other than term deposits.

“Front-end fee (Sale Charges)” means the Sales charges which may be included in the offering price of the Units; provided however that different levels of Front-end fee (sale charges) may be applied to different investors, as determined by the Pension Fund Manager. However, aggregate of Front-end fee (sale charges) should not exceed 3% of Net Asset Value.

“Federal Government” means the Federal Government of Islamic Republic of Pakistan.

“Financial Institution” means a Bank, Development Finance Institution, Non-Banking Finance Company, Modaraba or an institution registered under relevant laws to provide financial services within or outside Pakistan.

“Financial Sector” shall comprise of the savings and term deposits / certificates/ securities/ instruments issued by the entities of Banking Sector, Financial Services Sector, Life Insurance Sector and Non- Life Insurance Sector as classified by Pakistan Stock Exchange and DFIs.

“Form” means a Form annexed to these rules.

“Formation Costs” means all preliminary and floatation expenses of the Fund including expenses in connection with authorization of the Fund and its application fee payable to the Commission, execution and registration of the Constitutive Document, issue, legal costs, and all expenses incurred during the period leading up to the authorization.

“Government Securities” includes monetary obligations of the Government or a Provincial Government or a corporation wholly owned or controlled, directly or indirectly, by the Federal Government or a Provincial Government and guaranteed by the Federal Government and any other security as the Federal Government may, by notification in the official Gazette, declare, to the extent determined from time to time, to be a Government Security.

“Haram” means anything prohibited by the Islamic Shariah.

“Income Payment Plan” means a plan constituting an agreement with the Pension Fund Manager after retirement enabling withdrawal of the remaining amount in any Individual Pension Account in monthly installments as allowed under the Rules.

“Investment” means any Authorized Investment forming part of the Trust Property of any Sub- Fund.

“Lifecycle Allocation Scheme” means an Allocation Scheme, where the percentage allocations to each Sub-Fund will automatically vary based on the age of the Participant.

“Local Governments” mean all the local / city governments in Pakistan.

“Pension Fund Manager” is defined in the preamble hereto;

“Net Assets” means, in relation to a Sub-Fund, the excess of assets over liabilities of the Sub-Fund, such excess being computed in the manner specified in the Rules, Regulations



or as may be specified by the Commission from time to time.

“Offering document” includes,-

- (a) a published document containing information on a Voluntary Pension Scheme to invite the public for purchase of certificates or units in that scheme;
- (b) a document inviting contributions from eligible persons for a Pension fund; and
- (c) all supplementary documents thereto or any document relating to an income payment plan;”

“Offer Price” means the sum to be paid by the participant for purchase of one Unit of each sub fund, such price to be determined pursuant to this document.

“Online” means transactions through electronic data-interchange whether real time transactions or otherwise, which may be through the internet, intranet networks and the like.

“Ordinance” means the Companies Ordinance, 1984 (Repealed, updated via Companies Act, 2017).

“Par Value” means the face value of Rs. 100 for a Unit of each sub-fund of the Pension Fund.

“Participant” means any eligible person who has contributed or on whose behalf Contributions are made into one or more pension funds and held in one or more identifiable Individual Pension Accounts managed by one or more Pension Fund Managers;

“Personal Law” means the law of inheritance and succession as applicable to the individual Participant.

“Provincial Governments” mean the Provincial Governments of all four provinces of Pakistan.

“Pension Fund” means a Shariah Complaint fund made up of sub-funds created from the contributions paid by the participants and would consist of all the assets for the time being held or deemed to be held by sub-funds and includes all income or investment returns thereon but excludes fees, charges and expenses related to the management of the investments of sub-funds and also means the Pension Fund that has been declared Shariah-compliant under the Companies Act, 2017 read with the Shariah Governance Regulations, 2023.

“Pension Fund Manager” means State Life Insurance Corporation of Pakistan or any registered pension fund manager or a life Takaful/window Takaful company duly authorized by the Commission to efficaciously manage the contributions made by or on behalf of participants in pension fund and meet such other conditions as may be prescribed from time to time by the Commission;



“Prescribed Allocation Policy” means the allocation policy as prescribed by the Commission from time to time under the Rules;

“Prescribed Application Form” means a Form to open an Individual Pension Account and collect other information from the Participants;

“Prescribed Investment Policy” means Investment Policy prescribed by the Commission from time to time under the Rules.

“Records” include ledgers, day books, cash books and all other manuals or magnetic records used in the business of a Pension Fund Manager.

“Redemption Price” means the amount to be paid to the participant upon redemption of Unit of each sub fund, such amount to be determined pursuant to this document.

“Regulations” means Non-Banking Finance Companies and Notified Entities Regulations, 2008 and includes all guidelines, directions, circulars, and interpretations and conditions imposed by the Commission thereunder from time to time.

“Registrar” means an organization that the Pension Fund Manager appoints for performing the Registrar Functions and, if no such organization is performing such functions, it shall mean the Pension Fund Manager.

“Registrar Functions” means the functions with regard to:

- (a) maintaining the Register as per the Rules, this Deed or as may be prescribed by the Commission from time to time;
- (b) processing requests for opening of Individual Pension Account, issue, withdrawal, transfer and transmission of Units and requests for recording changes in data / information / particulars with regard to the Participants or that of their survivors or nominees according to the succession certificate;
- (c) issuing statements of account in respect of Individual Pension Account to Participant;
- (d) such other functions as may be required under the Rules with respect to record keeping; and
- (e) such other functions as are required under this Trust Deed to be carried out by the Registrar.

“Retirement Age” means any age between sixty and seventy years or such age as may be prescribed in the Rules from time to time, which the Participant selects for retirement, in accordance with the provisions of the Rules.

“Retirement Date” means the date on which the retirement of a Participant from the Pension Fund becomes effective.

“Rules” means the Voluntary Pension System Rules, 2005, and includes all Guidelines issued, directions given, regulations and interpretations made and conditions imposed (either specifically in relation to the Pension Fund or generally) by the Commission thereunder from time to time.



“Sales Agent” means an individual, firm, corporate or other entity appointed by the Pension Fund Manager to identify, solicit and assist Eligible Persons to become Participants and make Contributions. The Pension Fund Manager shall compensate Sales Agents out of the Front-end fee (Sale charges) received by the Pension Fund Manager.

“Schedule” means the schedule of these rules.

“SECP” or “Commission” means Securities and Exchange Commission of Pakistan established under Securities and Exchange Commission of Pakistan Act, 1997 and shall include its successor.

“Seed Capital” means the amount invested or arranged by the Pension Fund Manager as initial investment in each Sub-Fund of the Pension Fund. This investment will be kept for a minimum period of three years from the date of investment or as determined by the Commission

“Seed Capital Units” means such Units of any Sub-Fund that are issued to the Seed Investors with the condition that they are not redeemable, for a period of three years from the date of issue or as may be determined by the Commission. Save for this restriction, Seed Capital Units shall all rank pari passu with all other Units;

“Seed Investors” of the Pension Fund shall be such initial investors, which may include the Pension Fund Manager, whose subscription shall in aggregate be in compliance of the requirements of Rule 9(3)(b) of the Rules. The Seed Investors shall be issued with Seed Capital Units representing their subscription.

“Shariah” or “Islamic Shariah” means divine guidance as given by the Holy Quran and the Sunnah of Prophet Muhammad (Peace Be Upon Him) and embodies all aspects of the Islamic Faith, beliefs, practices, rules and principles.

“Shariah Advisor” means an Islamic Financial Institution, an Islamic scholar or a body of Islamic scholars, having knowledge of Islamic finance, considered to be expert(s) in Islamic Shariah to be appointed and/or replaced in its place by the Pension Fund Manager from time to time for seeking advice regarding compliance with the principles of Islamic Shariah and for monitoring the operations, management and investments of the Fund

“Shariah Compliant” shall mean any activity that is in accordance with the Shariah.

“Seed Capital Investors” means the investor of Seed Capital;

“Stock Exchange” means any Stock Exchange registered under the Securities & Exchange Ordinance, 1969 (XVII 1969).

“State Life Islamic Retirement Savings Fund”, “SLIRSF” or “Trust” means the Pension fund constituted under this Trust Deed and made up of the Sub Funds.

“Sub-Fund” means a collective investment sub-scheme of a specified investment class and/or investment policy set up within the overall Pension Fund. The Trust Property shall be accounted for and segregated with respect to each Sub-Fund;

“Supplementary Offering Document” means a document issued by the Pension Fund



Manager, in consultation with the Trustee after approval of the Commission (where required), describing the special features including addition deletion and amendments made to the offering document of the Pension Fund including any Sub-Funds and inviting contributions in the Pension Fund.;

“Supplementary Trust Deed” means a supplemental deed executed between the Pension Fund Manager and the Trustee, with the approval of the Commission, describing any amendments made to this Trust Deed. Such Supplementary Trust Deed shall be binding on each Participant, as if he is party to it and so to be bound by its provisions.

“Sukuk” Sukuk means a Sukuk as defined in Sukuk (Privately Placed) Regulations 2017

“Transfer Agent” means a company including a Bank that the Management Company shall appoint for performing the Registrar Functions. The Management Company may itself perform the Registrar Function.

“Takaful Company” means any General Takaful or Family Takaful Company as defined in the Takaful Rules, 2005.

“Tax” means all forms of taxation and statutory, governmental, state, federal, provincial, local, government or municipal charges, duties, imposts, contributions, levies, withholdings or liabilities wherever chargeable and whether of Pakistan or any other jurisdiction and any penalty, fine, surcharge, profit, charges or costs relating thereto;

“Tax Year” shall have the same meaning as ascribed under the Income Tax Ordinance, 2001 (Ordinance No. XLIX of 2001).

“Trust” means a trust established by a deed under the provisions of the The Sindh Trusts Act, 2020.

“Trust Deed” or “Deed” means the Trust Deed of the Fund executed between the Pension Fund Manager and the Trustee along with all the exhibits appended hereto.

“Trust Property” means the aggregate proceeds credited in the Pension Fund including the Contributions received and seed capital received from Seed Investors of each Sub-Fund after deducting therefrom or providing there out any applicable Front-end fee (sale charges) and any other expenses chargeable to the Pension Fund including each Sub-Fund; and includes the Investments and all income, Profit and other benefits arising therefrom and all cash, bank balances and other assets, movable or immovable, and property of every description for the time being held or deemed to be held upon trust by the Trustee for the benefit of the Participants pursuant to this Trust Deed;

“Trustee” means Digital Custodian Company Limited (DCCL) or any other company appointed with approval of the Commission from time to time;

“Withdrawal Form” means a standardized form prescribed by the Pension Fund Manager to be duly filled by the participant to redeem Units.

“Unit” means one undivided share in the Sub-Fund to which the share pertains, and where the context so indicates, includes a fraction of a Unit.



“Zakat” has the same meaning as in the Zakat and Ushr Ordinance, 1980.

Words and expressions used but not defined herein shall have the meanings assigned to them in the Act and Rules and Regulations, words importing persons include corporations, words importing the masculine gender include the feminine gender, words importing singular include plural and words “written” or “in writing” include printing, engraving lithography, or other means of visible reproduction. The headings and table of contents are for convenience only and shall not affect the construction of the Trust Deed

26

INTERPRETATION

In this Offering Document, unless the context shall otherwise require:

- (a) a reference to any legislation or legislative provision includes any statutory modification or re-enactment of, or legislative provision substituted for, and any subordinate legislation under, that legislative provision;
- (b) the singular includes the plural and vice versa;
- (c) a reference to an individual or person includes a company, firm, trust, Authority or government and vice versa;
- (d) a reference to any gender includes all genders;
- (e) a reference to a Recital, Clause or Annexure is to a Recital, Clause or Annexure of or to this Offering Document;
- (f) a Recital or Annexure forms part of this Offering Document;
- (g) a reference to any agreement or document is to that agreement or document (and, where applicable, any of its provisions) as amended, novated, restated or replaced from time to time;
- (h) a reference to any party to this Offering Document or any other document or arrangement includes that party’s executors, administrators, successors, permitted substitutes, permitted transferees and permitted assigns;
- (i) where an expression is defined, another grammatical form or variation of that expression has a corresponding meaning;
- (j) a reference to any “Account” or “account” includes any renewal, redenomination, redesignation or sub-account thereof;
- (k) “include”, “includes” and “including” shall be respectively construed as “include without limitation”, “includes without limitation” and “including without limitation”, and all derivative terms shall be construed accordingly; and
- (l) words “written” or “in writing” include printing, engraving, lithography, or other means of visible reproduction.



HEADINGS

In this Offering Document, headings are for convenience of reference only and do not affect interpretation.



Securities and Exchange Commission of Pakistan
Licensing and Registration Division
Licensing Department

Registration No. /SECP/LRD/LD/01/PF/SLICP/

April 11, 2025

**CERTIFICATE OF REGISTRATION AS
PENSION FUND MANAGER**

The Securities and Exchange Commission of Pakistan, having considered the application for registration of the State Life Insurance Corporation of Pakistan and being satisfied that the said State Life Insurance Corporation of Pakistan is eligible for registration, in exercise of powers conferred by sub-rule (2) of rule 5 of Voluntary Pension System Rules, 2005 (the "VPS Rules"), hereby grants registration to the State Life Insurance Corporation of Pakistan subject to the conditions stated herein below or as may be prescribed or imposed hereafter:

- (i) State Life Insurance Corporation of Pakistan shall strictly comply with part VIII-A of the Companies Ordinance, 1984, the Companies Act, 2017, the VPS Rules, the Non-Banking Finance Companies and Notified Entities Regulations, 2008, Insurance Ordinance 2000, Insurance Companies (sound and prudent management) Regulations, 2012 guidelines and directives issued from time to time under the VPS Rules and any other law applicable in this regard; and
- (ii) State Life Insurance Corporation of Pakistan shall not make any offer to any person/public to participate in any of its pension fund(s)/scheme(s) unless the Commission has authorized such fund(s)/scheme(s) under the VPS Rules.

The registration shall be suspended or cancelled if the License to carry on life Insurance business granted to State Life Insurance Corporation of Pakistan under the Insurance Ordinance, 2000 is suspended or revoked.


(Muzzafar Ahmed Mirza)
Commissioner LRD



Annexure 'B'



Securities and Exchange Commission of Pakistan
Pension Department

Authorization No. CS/SECP/PD/SLIRSF/2025/196/218

Islamabad, April 29, 2026

AUTHORIZATION OF PENSION FUND

The Securities and Exchange Commission of Pakistan, having considered the application for authorization of the **State Life Islamic Retirement Savings Fund**, and being satisfied that the said State Life Islamic Retirement Savings Fund has provided information as specified under Form III of the Voluntary Pension System Rules, 2005, in exercise of the powers conferred by sub-rule (1) read with sub-rule 4 of rule 9 of the Voluntary Pension System Rules, 2005, hereby grants authorization to **State Life Islamic Retirement Savings Fund** subject to the conditions as may be prescribed or imposed hereafter.

(Imtiaz Haider)
Commissioner



Registration No# KAR/ST/014/2026

Date: 09/02/2026

DIRECTORATE OF INDUSTRIES & COMMERCE, SINDH (KARACHI)
TRUST REGISTRATION CERTIFICATE



I hereby certify that **STATELIFE ISLAMIC RETIREMENT SAVINGS FUND** its trustee Digital Custodian Company, 04th Floor, Pardesi House 2/1, R-Y-16, Old Queens Road, Karachi and its company name Statelife Insurance Corporation Of Pakistan, Situated at Statelife Building No. 09, Dr. Ziauddin Ahmed Road, Karachi, has this day been duly registered under section 16 of the Sindh Trust Act, 2020.

Given under my hand and seal at, **KARACHI**, this **09th** day of **February** 2026.

Seal



Fee Rs **10,500/-**

(FAREED AHMED)
ASSISTANT DIRECTOR (TRUST)
DIRECTORATE OF INDUSTRIES & COMMERCE
GOVERNMENT OF SINDH, KARACHI

NOTE: It is informed that in case of any amendment in a Trust by Trustee which shall also be registered under section 16-A (3) of the Sindh Trust (Amendment) Act 2021.



Annexure 'D'



Annexure 'E'

Business Hours	Cut off Time
Monday to Friday 9:00 am to 5:00 pm	Monday to Thursday 9:00 am to 4:00 pm. Friday 9:00 am to 4:00 pm



Annexure 'F'

Group Insurance by SLIC (Investment amount below Rs 2 million)			
Option	Benefit	Cause of Event	Sum per Investor Covered
(a)	Basic Death Benefit	Any Cause	Fund Balance upto Rs 12 million
	Accidental Death Benefit (ADB)	Accident only	Fund Balance upto Rs 12 million, plus basic death benefit
	Permanent Total Disability (PTD)	Any Cause	Fund Balance upto Rs 12 million
Group Insurance by SLIC (Investment amount Rs 2 million or above)			
Option	Benefit	Cause of Event	Sum per Investor Covered
(b)	Basic Death Benefit	Any Cause	Fund Balance upto Rs 12 million
	Accidental Death Benefit (ADB)	Accident only	Fund Balance upto Rs 12 million, plus basic death benefit
	Permanent Total Disability (PTD)	Any Cause	Fund Balance upto Rs 12 million
	Hospitalization Coverage*	Natural only	10% of Fund Balance upto Rs 1 million



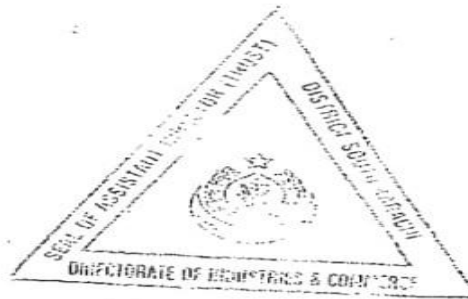
Annexure 'G'

Trust Deed

Annexure "C"

"Trustee tariff of Charges"

0.03 % of Per annum of Net Assets





Annexure 'H'

May 26, 2026

Mr. Shoaib Javed Hussain
Chief Executive Officer
State Life Insurance Corporation of Pakistan
Principal Office, State Life Building No.09
Dr. Ziauddin Ahmed Road,
Karachi

Subject: Consent of Draft Offering Document of State Life Islamic Retirement Savings Fund

Dear Sir,

This is with reference to your letter dated 06th of May 2026, regarding the captioned subject. I have reviewed the enclosed draft offering document of State Life Islamic Retirement Savings Fund and hereby pleased to convey my consent on same.

Yours faithfully,

(Mufti) Muhammad Hassaan Kaleem,
Shariah Advisor,
CNIC # 422013563377-5



Annexure 'I'

Mufti Hassan Kaleem

Mufti Muhammad Hassaan Kaleem has completed his Dars-e-Nizami (8 years Alim course) Takhassus (3 years Mufti course) from Jamia Darul Uloom, Karachi. He is a renowned figure in the field of Shariah, particularly in Islamic Finance. He is currently acting as a member of Shariah Board and Country Head of Shariah in Dubai Islamic Bank Pakistan Limited. He holds vast experience in matters of Shariah teachings and advisory as he has been teaching various courses in Islamic Studies and Arabic at Jamia Dar-ul-Uloom, Karachi for the last 17 years.

- Shariah Board Member of Pak Kuwait Takaful Company Limited, Pakistan.
- Shariah Board Member of Pak Qatar Family Takaful Limited, Pakistan.
- Shariah Board Member of Hanover Re-Takaful Bahrain.
- Shariah Board Member of Takaful Emirate, UAE.
- Shariah Consultant for Deloitte (Global Islamic Finance Team)
- Shariah Board Member of Amana Bank Limited, Sri Lanka.
- Shariah Council Member of Al-Ameen UBL Funds.
- Shariah Advisor of Pakistan Mercantile Exchange.
- Permanent faculty member of Center for Islamic Economics Karachi.
- Trainer of Shariah standards at Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) Bahrain.
- Visiting faculty member of National Institute of Banking and Finance (State Bank of Pakistan).



SECURITIES AND EXCHANGE COMMISSION OF PAKISTAN
Insurance Division
Life Policy and Approvals Department

Ref. 20250917_4184209

07-05-2026

The Principal Officer
State Life Insurance Corporation of Pakistan
Principal Office, State Life Building No. 9,
Dr. Ziauddin Ahmed Road, Karachi.

Subject: Registration of HAYAT PLUS SINGLE LIFE TAKAFUL PENSION PLAN

Dear Sir,

Reference is made to the application 20250917_4184209 from M/s. STATE LIFE INSURANCE CORPORATION OF PAKISTAN (the "SLIC") in respect of the product documents submitted relating to SLIC's new Life Insurance Products - Investment Products (Unit Linked) named HAYAT PLUS SINGLE LIFE TAKAFUL PENSION PLAN pursuant to life insurance Product Submission Requirements vide section 6(8) of the Insurance Ordinance, 2000.

We are pleased to inform you that the documents filed with the Commission relating to the aforementioned product appear to be appropriate. The Commission has no objection if SLIC commences the distribution of this product in accordance with the submission documents filed with the Commission. The registration number of the product is as follows:

Product Name	Product Registration Number
HAYAT PLUS SINGLE LIFE TAKAFUL PENSION PLAN	SL-SPIDULPAAA/0137-1809

However, SLIC is required to submit the following documents before commencement of sale of the abovementioned product:

1. Post- Registration Implementation Certificate duly signed by the Appointed Actuary; and
2. Published Marketing Brochure.

Regards,

Jibran Paracha
Joint Director



Insurance Division, 3 rd Floor, NIC Building, 63 Jinnah Avenue, Islamabad.

Web: www.secp.gov.pk
"Transparency, Innovation & Progress"



1. Introduction

The **Hayat Plus Single Life Retirement Plan** is a retirement solution aimed at providing financial security to subscribers through a structured life-long pension income post-retirement under Voluntary Pension Scheme (VPS).

2. Plan Features

a. Eligibility & Plan Structure

Feature	Description
Plan Type	Immediate Annuity (with Guaranteed period of 10 years)
Entry Age	Between 60 to 70 years or 25 years after the first contribution was received in VPS account. In case of permanent disability of the subscriber, the subscriber under VPS rules shall be deemed as having reached the retirement age at the date of such disability and benefits shall apply accordingly. Upon death of subscriber before retirement, the nominee (aged 55 years or above) may also opt for purchase of an annuity on his/her life. For employer Pension Fund, the age shall be as per the agreement between employer and Pension Fund Manager.
Contribution Term	One-time payment (Single)
Pension Duration	Immediate monthly annuity with 10 years of guaranteed period. If the subscriber outlives the guaranteed period, then the pension shall continue till the lifetime of the subscriber. In case of death of the subscriber during the guaranteed period, the beneficiary shall have the option to either withdraw the remaining cash value or continue monthly pension up until the guaranteed period.

b. Charges

Individual Life/ Corporate Agents Channel

Charge Type	Single Contribution
Allocation Charge	4% upfront
Investment Management Fee	0.15% per annum (deducted daily from unit price)
Longevity Charges and margin for fluctuation of profit rates	Deducted monthly during guaranteed period.
Modarib Fee	2.50% of surplus from PTF Longevity & Stabilization Fund

c. Surrender Benefits

Benefit Type	Single Contribution
Surrender Value	100% Cash Value (subject to taxes) during guaranteed period only.